OECD

OECD ECONOMIC SURVEYS

1998

SPECIAL FEATURES

Financial market reform

NEW ZEALAND

OECD ECONOMIC SURVEYS

1997-1998

NEW ZEALAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

Pursuant to Article 1 of the Convention signed in Paris on 14th December 1960, and which came into force on 30th September 1961, the Organisation for Economic Co-operation and Development (OECD) shall promote policies designed:

- to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;
- to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development; and
- to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.

The original Member countries of the OECD are Austria, Belgium, Canada, Denmark, France, Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States. The following countries became Members subsequently through accession at the dates indicated hereafter: Japan (28th April 1964), Finland (28th January 1969), Australia (7th June 1971), New Zealand (29th May 1973), Mexico (18th May 1994), the Czech Republic (21st December 1995), Hungary (7th May 1996), Poland (22nd November 1996) and Korea (12th December 1996). The Commission of the European Communities takes part in the work of the OECD (Article 13 of the OECD Convention).

Publié également en français

© OECD 1998
Permission to reproduce a portion of this work for non-commercial purposes or classroom use should be obtained through the Centre français d'exploitation du droit de copie (CFC), 20, rue des Grands-Augustins, 75006 Paris, France, Tel. (33-1) 44 07 47 70, Fax (33-1) 46 34 67 19, for every country except the United States. In the United States permission should be obtained through the Copyright Clearance Center, Customer Service, (508)750-8400, 222 Rosewood Drive, Danvers, MA 01923 USA, or CCC Online: http://www.copyright.com/. All other applications for permission to reproduce or translate all or part of this book should be made to OECD Publications, 2, rue André-Pascal, 75775 Paris Cedex 16, France.

Table of contents

Assessment and recommendations 1

I. The current economic cycle in perspective 13
A policy-induced mid-cycle correction 16
Short-term prospects 29
The medium-term outlook 34

II. Macroeconomic management 37
Monetary policy 37
Budgetary policy 47

III. Structural policies 56
Microeconomic reform to date: an overall assessment 56
Recent progress 61
Unfinished business 95

IV. Financial sector reform 101
Objectives of the reform 102
Nature of the reform 103
Outcomes of the reform 108
Lessons from the reform and scope for further action 134

Notes 147

Bibliography 154

Annexes
I. Estimating potential output 157
II. Some illustrative scenarios for economic growth 160

III. Recent changes to the tax system 162
IV. Key financial sector reforms 167
V. Chronology of main economic events 170

Statistical annex and structural indicators 175

Boxes

1. Monetary Conditions Indicator 40
2. Active labour market policies targeted at Maori and Pacific Island job seekers 65
3. Summary of reform measures 104

Tables

Text

1. Demand and output 17
2. The labour market 21
3. Wages and prices 25
4. Balance of payments 27
5. Trade volumes and prices 28
6. Short-term economic prospects 31
7. A medium-term scenario 35
8. Money and credit aggregates 45
9. Falling fiscal surplus 51
10. Indicators of structural performance in selected OECD countries 57
11. Contributions to potential output growth 58
12. Employment by industry 60
13. The Coalition Agreement: major structural policy initiatives 62
14. Gains of Domestic Purposes Beneficiary 66
15. Claims before the Employment Tribunal 69
16. Selected tariff and non-tariff barriers to trade 73
17. Tariff reductions under prior commitments 75
18. Effective marginal tax wedges with personal and corporate tax parameters 80

19. Education levels of the working-age population in selected OECD countries 87
20. Net immigration 95
21. Implementing the OECD Jobs Strategy – an overview of progress 97
22. Financial market volatility 109
23. Macroeconomic outcomes 119
24. Business cycle analysis of productivity growth 119
25. Banking sector efficiency pre-reform 127
26. Post-reform finance sector profitability and efficiency 129
27. Comparison of Australian and New Zealand bank performance 129

Annex

A1. Economic growth scenarios 160

Statistical annex and structural indicators

A. Selected background statistics 176
B. Gross domestic product and expenditure 177
C. Gross domestic product by kind of activity 178
D. Labour market 179
E. Prices 179
F. Monetary aggregates components 180
G. Central government revenue and expenditure 181
H. Balance of payments 182
I. Imports: value, volume, prices and commodity groups 183
J. Exports: value, volume, prices and commodity groups 184
K. Foreign trade by area 185
L. Production and employment structure 186
M. Labour market indicators 187
N. Financial market 188
O. The public sector 188

Figures

Text

1. Growth performance over the long term 13
2. GDP per head in selected OECD countries 14
3. Determinants of growth 15

4. Contributions to GDP growth 18
5. Gross fixed investment 19
6. Labour productivity 21
7. Inflation indicators 24
8. Current account 26
9. Short-term economic indicators 30
10. Monetary conditions 42
11. Interest and exchange rate movements 44
12. Decomposition of the general government financial balance 49
13. Budgetary developments 50
14. Government debt 53
15. Projections of GDP per head in selected OECD countries 61
16. Effective marginal income tax rates for wage and salary earners 81
17. Enrolment rates in full-time education 87
18. Inflation performance 108
19. Monetary aggregates 110
20. Cost and price expectations 111
21. Long-term savings trends 112
22. Sectoral saving rates 112
23. Interest rates 113
24. Gross foreign debt 114
25. Household net worth 115
26. Composition of the current account 117
27. Composition of capital inflows 118
28. Companies' operating surplus 120
29. Composition of investment 121
30. Numbers of registered banks 122
31. Retail managed funds 124
32. Finance sector employment and activity units 126
33. Average interest rate margins of registered banks 128
34. Indicators of bank soundness 131

Annex

A1. Unemployment and inflationary pressures following the Employment Contracts Act 158

BASIC STATISTICS OF NEW ZEALAND

THE LAND

Area (1 000 sq. km)	270.5
Percentage of total pasture and arable land, 1996	52.0
Urban population,[1] percentage of total (Census March 1996)	76.1
Population of major urban areas (Census March 1996, 1 000 persons):	
Auckland	997.9
Christchurch	331.4
Wellington	335.5

THE PEOPLE

Population, Census 1996 (1 000)	3 681.5
Inhabitant per sq. km	13.6
Civilian employment, December 1997 (1 000)	1 707.4
of which:	
Agriculture, forestry, hunting, fishing	149.8
Manufacturing	276.0
Trade (wholesale and retail)	380.5
Community and personal services	451.2

PARLIAMENT AND GOVERNMENT

Present composition of Parliament:	
National Party	44
Labour Party	37
New Zealand First	17
Alliance	12
ACT New Zealand	8
Independent	1
United New Zealand Party	1

Present Government: National Party and New Zealand First coalition.
Next general election: at latest by October 1999.

PRODUCTION[2]

Gross Domestic Product 1996-1997 (NZ$ million)	95 041
GDP per capita, 1996-97 (NZ$)	25 987

FOREIGN TRADE (1997)

Main exports (percentage of total):	
Manufactures	22.9
Meat and edible offal	13.5
Dairy produce	17.5
Wool	4.5
Main imports (percentage of total):	
Machinery and transport equipment	42.2
Manufactures	26.5
Mineral, chemicals, plastic materials	23.3
of which:	
Mineral fuels, lubricants, etc.	6.5

THE CURRENCY

Monetary unit: New Zealand dollar

Currency unit per US dollar, average of daily figures:	
Year 1997	1.5125
February 1998	1.7146

1. Defined a the population in the 30 main and secondary urban areas.
2. Year ending 31 March.

Note: An international comparison of certain basic statistics is given in an annex table.

This Survey is based on the Secretariat's study prepared for the annual review of New Zealand by the Economic and Development Review Committee on 2 March 1998.

•

After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 16 March 1998.

•

The previous Survey of New Zealand was issued in May 1996.

Assessment and recommendations

Following a vigorous expansion...

As noted in previous OECD Surveys, New Zealand's economic performance has greatly improved since the early 1990s. Following wide-ranging reforms undertaken from the mid-1980s, output recovered strongly, outpacing growth in most other OECD countries. This resulted in substantial job creation and a rapid fall in unemployment. Furthermore, the budget moved from sizeable deficit to a surplus position. At the same time, inflation remained at the low rates achieved early in the decade.

... economic growth has slowed...

However, economic growth in the 5 to 6 per cent range in 1993-1994 led to pressure on productive capacity, requiring a sharp tightening of monetary conditions up to the end of 1996. As a result, the economy has been undergoing a mid-cycle correction. Growth in economic activity has slowed markedly, with real GDP expanding at a rate of around 2½ per cent over the past two years or so. While this is still a better performance than achieved, on average, during the 1970s and 1980s, it has meant that the incipient catch-up of New Zealand's per capita GDP towards the OECD average has been interrupted. Nonetheless, though edging up a little, unemployment has remained at one of the lowest levels in the industrialised world. With some slack in the economy re-emerging, inflation pressures have abated, but the deficit of the external current account has continued to widen.

... but activity seems set to regain momentum...

A number of factors have set the stage for a rebound in economic growth: monetary conditions have eased significantly over the past year, reflected in a marked depreciation of the New Zealand dollar and some decline in interest rates; with increased government spending and substantial tax cuts, the fiscal stance has been relatively more stimulative than in previous years; and improving productivity and corporate profitability had bolstered business confidence until recently. Given the boost both to domestic demand and to exports coming from these broad influences, the OECD Secretariat projects that, through 1998 and 1999, real GDP could expand at rates slightly above the growth of potential output, which is estimated to average just under 3 per cent over that period. Nevertheless, with existing slack in product and labour markets exerting downward pressure on prices, inflation is expected to remain within the official 0 to 3 per cent target band, despite the adverse effects of exchange rate depreciation. At the same time, better export performance due to an improved competitive position is expected to arrest the rise in the current account deficit.

... although developments in Asia imply downward risks to the outlook

Given the current financial market turbulence in Asia, there are substantial uncertainties surrounding these projections. While New Zealand's direct trade exposure to South East Asia is relatively limited, the situation in Japan and Korea – relatively important export markets – constitutes a serious threat. The magnitude of the impact on New Zealand's growth, including indirect effects through the Australian economy – its major trading partner – could therefore be significant. This means that, even though activity in the United States and in Europe has been somewhat stronger than anticipated, the risks attached to the export projection would, on balance, appear to be on the downside. As a result, the expected recovery in domestic economic activity

could be weaker, or delayed for some quarters, relative to the above projections.

The large current account deficit is an additional source of concern...

A larger-than-expected current account deficit could also pose significant risks to New Zealand's economic prospects. After falling in the early 1990s, the external deficit-to-GDP ratio has moved again to the 6 to 7 per cent range, generating continuing increases in New Zealand's net foreign liabilities which, at over 80 per cent of GDP, are among the highest in OECD countries. Such a net foreign liability position is, in turn, reflected in sizeable and growing net investment income payments to non-residents which are the main ''structural'' component of the current account deficit. Certainly, there are a number of respects in which the current situation differs from that prevailing in the 1980s when large external deficits led to a foreign exchange crisis. Following radical reforms, the financial sector is in good shape (see below), the exchange rate has been floated, and fiscal consolidation has meant that the government's share of total foreign debt has fallen to about one-fifth. In addition, equity now accounts for more than one-third of total gross foreign liabilities, reflecting buoyant foreign direct investment in recent years, and more than half of the external debt is denominated in New Zealand dollars, limiting any adverse exchange rate effects. Nonetheless, the large capital inflows required to finance the external deficit leave New Zealand vulnerable to shifts in financial market sentiment, which could entail a sharp downward correction in the exchange rate and corresponding upward pressure on interest rates. Even in the absence of such a disruptive, market-led adjustment, foreign investors would tend to claim a higher risk premium, which could moderate capital formation and hence New Zealand's growth potential.

... which strengthens the need for a sound government financial position

In the short term, the most promising way of seeking to avoid this would be for the government to increase its savings. Being the symbol of regained macroeconomic rigour, the move of the budget into surplus in recent years had indeed a significant impact on external confidence, as evidenced by improvements in New Zealand's foreign currency credit ratings. One of the main reasons why overseas investors have so far accepted high levels of overall external liabilities is the continued repayment of sovereign debt, in accordance with the principles of prudent fiscal management laid down in the 1994 Fiscal Responsibility Act. This underscores the importance of at least meeting current fiscal targets, which are for a gradual rise in the budget surplus.

In this regard, following significant fiscal deterioration...

In the mid-1990s, when the budget surplus had reached around 3 per cent of GDP, government projections suggested that a no-policy-change approach would result in a continued marked rise in the surplus, with net public debt converging toward zero by the end of the decade. This led the authorities to adopt a programme of tax reductions and expenditure increases (mainly in the areas of health, education and social welfare). Despite these measures, public expenditure was expected to continue to decline relative to GDP, implying an ongoing increase in the budget surplus. In the event, the decrease in the expenditure ratio has stalled and the budget surplus is now forecast to fall to 1½ per cent of GDP in the current fiscal year. The combination of a shift in the policy stance, some one-off adjustments and unforeseen economic conditions has been behind that significant deterioration in the fiscal position.

... it is important to achieve budget plans

The authorities' three-year budgeting plan limits the possibility of further slippage which would be associated with additional spending initiatives. The fiscal projections now

incorporate expense provisions for all policy initiatives, not only for the current budget (as in previous years), but for all three budgets in the current political term. Moreover, to cope with the risks surrounding the fiscal position, a reprioritisation process is underway which aims to identify low priority spending. Therefore, the most likely cause of a further deterioration in New Zealand's fiscal position in the period ahead would be unexpectedly adverse economic conditions. In the 1998 Budget Policy Statement, the Government recognised that there were downside risks, and committed – appropriately – that, should fiscal surpluses be threatened, it would be prepared to defer unallocated or low priority expenditure.

At the same time, monetary conditions have eased...

Because of the more expansionary fiscal stance relative to previous years, rising house prices and remarkably buoyant economic demand, it was not before late 1996 that monetary conditions started to ease again as the first signs of receding inflation pressures induced the Reserve Bank to validate a market-led decline in interest rates. The exchange rate, however, continued to appreciate, further squeezing the export sector which had borne the brunt of monetary restraint. This was the opposite of what was desirable, since most of the price pressures had emerged in the non-tradeable sector. The situation changed only in mid-1997 when the New Zealand dollar began to weaken, reflecting continued easing in the monetary stance, international developments, as well as concerns about the rising current account deficit. At the same time, interest rates firmed, though remaining below the high levels prevailing up to 1996. As a result, overall monetary conditions have eased significantly over the past year or so, and the interest rate/exchange rate mix appears now more appropriate.

... the inflation target has been widened...

The monetary policy framework put in place by the 1989 Reserve Bank Act has proved effective in controlling inflation, which has considerably reduced inflation expectations and enhanced policy credibility. In late 1996, the inflation target band was widened from 0 to 2 per cent to 0 to 3 per cent. This is welcome insofar as it should reduce the likelihood of breaches of the target while accommodating a lengthening of the monetary policy horizon to be consistent with its lags in affecting inflation. It should thus result in less variability in monetary conditions and output than would occur if the Bank acted to reverse rapidly deviations of inflation from the middle part of the target range.

... and changes have been made to the way the central bank's intentions are signalled

The Reserve Bank has preferred to avoid directly setting either an interest rate or an exchange rate as the operating target for monetary policy. Instead, policy implementation tends to rely on statements, with formal changes to available instruments extremely rare. There have been problems with this unusual approach, however, as, despite official explanations, monetary conditions often moved in a way that was not regarded as appropriate. To signal its intentions more clearly, the Bank has introduced a formal Monetary Conditions Indicator (MCI), which captures the approximate influence of both interest rates and the exchange rate. ''Desired'' levels for such an indicator are announced each quarter. The authorities are at present satisfied with this new approach because the MCI has shown a relatively steady decline over the past year, despite a sharp change in the interest rate/exchange rate mix during that period. The use of the MCI does not eliminate, however, the potential for tensions between the Bank and markets. In general, these tensions arise from the markets' tendency to anticipate the Bank's next policy move conflicting with the Bank's reluctance to give full rein to market-led adjustments in monetary conditions.

Continued emphasis on structural reform is necessary

Together with transparent and predictable macroeconomic policies, widespread structural reform has been pursued to help create an environment conducive to a sustained improvement in the standard of living. As a result, potential output growth has picked up, driven more by increased factor inputs than by improved factor productivity. A number of elements might help explain the muted productivity response to structural initiatives: the fact that reforms in some key areas are relatively recent; the long time it takes for economic behaviour to change and adjust to different policies and incentive structures; the associated transition costs; and the possibility that, despite the extensive nature of reforms, impediments to better economic performance remain. Hence, there is a need to continue the reform process to improve New Zealand's relative per capita income.

While recent microeconomic initiatives go in the right direction...

After a period when policy efforts had largely been aimed at implementing and consolidating past measures, there has been, in effect, a renewed focus on structural reform of late. In the *labour market*, changes to the tax/transfer system have increased rewards from paid work, the coverage of active labour market policies has been extended, and responsibility for their implementation will be transferred to regional authorities. In addition, the problem of unemployment is being addressed by requiring all job seekers to engage in activities which will help them move into unsubsidised employment as quickly and as cost effectively as possible; this will include participation in part-time community work or training (in return for a ''community wage'' equivalent to the unemployment benefit). In the area of *trade*, the government has made a bold commitment to reduce tariffs unilaterally to zero, in a time frame well in advance of the deadline set by its regional (that is, APEC) trading partners, and it has already announced the removal of automobile import duties by the end of 2000. In tertiary

education, there is currently a review being undertaken of all aspects of the sector, with a view to making the system more responsive to demand over the next few years. The Government is also investigating how to improve competition in the generation and distribution of *electricity*.

... there is scope for enhancing competition, altering incentives and lessening burdens facing business

These moves are welcome, but they could go further in a number of areas. *First*, reforms so far have failed to introduce complete contestability in several markets, most importantly regarding the export of some agricultural products (through producer boards), health care provision, the delivery of many other goods and services by the public sector and accident-insurance cover (through a state-run Corporation). In the latter case, the government has signalled that it wishes to introduce an element of competition. As elsewhere in the economy, market forces should be allowed to operate in these areas. *Second*, it should be ensured that policies are conducive to enhancing both the quantity and quality of factor inputs. In this respect, resisting restrictions on foreign investment is critical on the capital side. In addition, it would be desirable to examine the scope for removing tax-related distortions to savings. Establishing clear goals and conditions for the introduction of the ''community wage'', avoiding large increases in the minimum wage, improving the quality and responsiveness of the education system, and raising immigration levels could also help on the labour side. *Finally*, there is a need to address the costs of business regulations (mainly through compliance) in certain fields, including those imposed in the area of environmental protection by the Resource Management Act. In combination, these initiatives should contribute to lifting potential growth and again making progress towards closing New Zealand's relative-income gap.

Financial markets demonstrate the benefits of past reform in that area...

The financial sector illustrates the contribution major reforms can make to better economic outcomes. Up to the mid-1980s, New Zealand's financial markets were highly regulated. Their subsequent liberalisation was probably one of the most broad-based and rapid financial policy reforms ever undertaken. As a result, overall, the financial system appears now much more efficient. In particular, in banking, there is evidence of lower costs and margins and, in recent years, the quality of bank balance sheets has improved. Reflecting this, borrowing and lending activity has expanded enormously as has the range of financial instruments available, and there has been a marked improvement of service and consumer choice. Also, taxpayers are carrying significantly fewer risks in the form of either explicit or implicit government guarantees in the finance sector. At the macro level, there are indications that the quality of investment has improved, and, following transitional problems, reforms have allowed monetary policy to focus on, and achieve, low inflation.

... including the recent introduction of a market-based approach in banking supervision...

In keeping with the reform process, in the early 1990s, the Reserve Bank initiated a review of banking supervision in order to establish to what extent disclosure could be a substitute for, or complement to, more direct forms of surveillance. The motivations for this were threefold. Intense competition, new entry, and reduced government involvement resulting from reforms potentially increased the risk of systemic difficulties. Standard approaches to prudential supervision (such as on-site examinations) were felt to have a limited ability to reduce the incidence of bank failure and distress. At the same time, they involved considerable compliance costs and encouraged the perception that the government would stand behind an institution facing problems. In 1996, the review culminated in a major reform that replaced internal controls, and limits on lending and foreign

exchange exposures, with a comprehensive public disclosure regime and requirements on bank directors to attest to the accuracy of the wide range of information to be provided. Although such a market-based approach has raised a number of observations (for example, that it relies on the efforts of overseas regulators, as almost all banks in New Zealand are foreign owned), early indications of banks' behaviour are encouraging, with, for example, bank directors now taking a more proactive approach to risk management.

... even though ongoing challenges remain

While, overall, financial reform has proved successful in New Zealand, the achievement of its objectives – promoting efficiency and enhancing both the sector's and macroeconomic stability – has not followed a smooth path. For a while, the finance sector went through a ''boom-bust'' period and monetary policy faced, and is still facing, a number of difficulties, some due to the forces unleashed by reform. Also, some – probably overoptimistic – expectations have not been fulfilled (in particular, that the reform process could enhance the economy's overall savings performance). Moreover, although, for the most part, the financial sector now seems to work well under existing arrangements, structural pressures facing it (internationalisation, technological change) mean that further adjustments are likely to become desirable. Such remaining challenges are inherent, however, in the nature of a small open economy and must be balanced against the benefits of a dynamic and efficient financial system. Outcomes to date suggest that these challenges are ones worth meeting.

To sum up

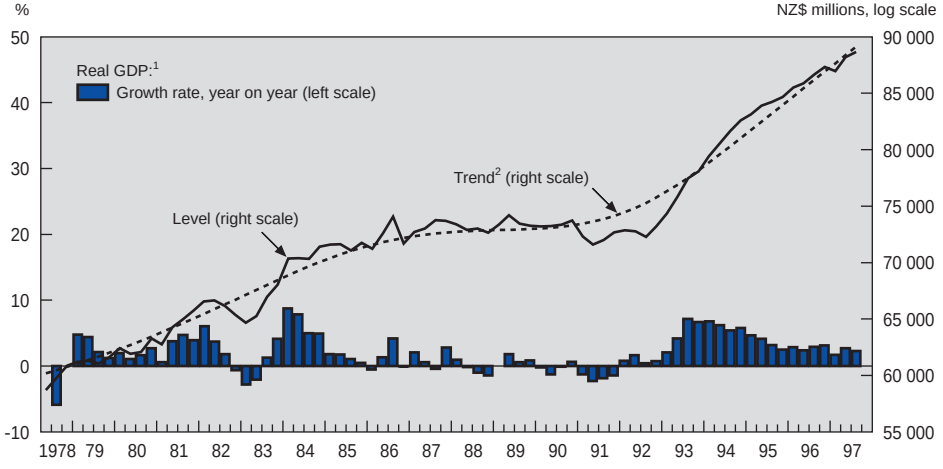
In *summary*, New Zealand's reforms have brought welcome dividends. In a marked break from past trends, the economy has experienced seven consecutive years of growth, unemployment has fallen to well below the OECD

average, and inflation has remained low despite temporary pressures. At the same time, fiscal consolidation has made considerable progress, as evidenced by a substantial decline in public debt relative to GDP. Nonetheless, more recently, some policy challenges have emerged. Economic growth has slowed, the budget surplus has slipped, and the current account deficit has widened sharply. While, so far, such imbalances have been less pronounced than they used to be in the past, vigilance is required. Given high external deficits and debt levels, preserving a sound fiscal position is crucial to maintaining confidence in the currency, thereby reducing pressure on monetary policy. Continued structural reform is also essential to enhance the country's growth potential over the medium term. Indeed, the appropriate response to ongoing concerns about productivity performance would be to extend these reforms to areas, such as the agricultural producer boards, where significant rigidities and a lack of competition remain.

I. The current economic cycle in perspective

Since the early 1990s, the New Zealand economy has experienced continued and, by past standards, relatively rapid growth. This has been reflected in a significant decline in unemployment, while inflation has remained low and the external deficit has been, on average, below the high levels recorded in the 1980s. Although economic expansion has slowed of late, the unusually protracted upswing has meant that trend growth has steepened noticeably (Figure 1). Indeed, past recoveries tended to be short-lived, as they relied on such factors as positive terms-of-trade shocks or fiscal stimulus, and from the mid-1980s the economy

Figure 1. **GROWTH PERFORMANCE OVER THE LONG TERM**



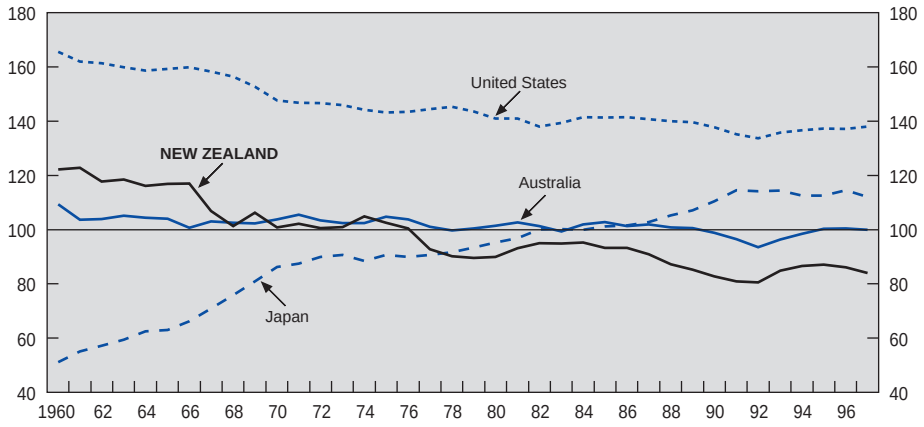
1. Output measure; 1991-92 prices.
2. Hodrick-Prescott filter, lambda = 1 600, 1978 Q2 to 1997 Q3.

Source: Statistics New Zealand and OECD Secretariat.

virtually stagnated, undergoing a difficult process of structural adjustment. Despite the recent improvement, it is too early to say whether the trend decline in New Zealand's relative economic performance over the post-War period has been definitely reversed (see Chapter III). After catching up temporarily, the country's per capita GDP has stabilised at around 86 per cent of the OECD average; it is still well below Australia's per capita income, and approximately three-quarters of Japan's and two-thirds of the United States' level (Figure 2).

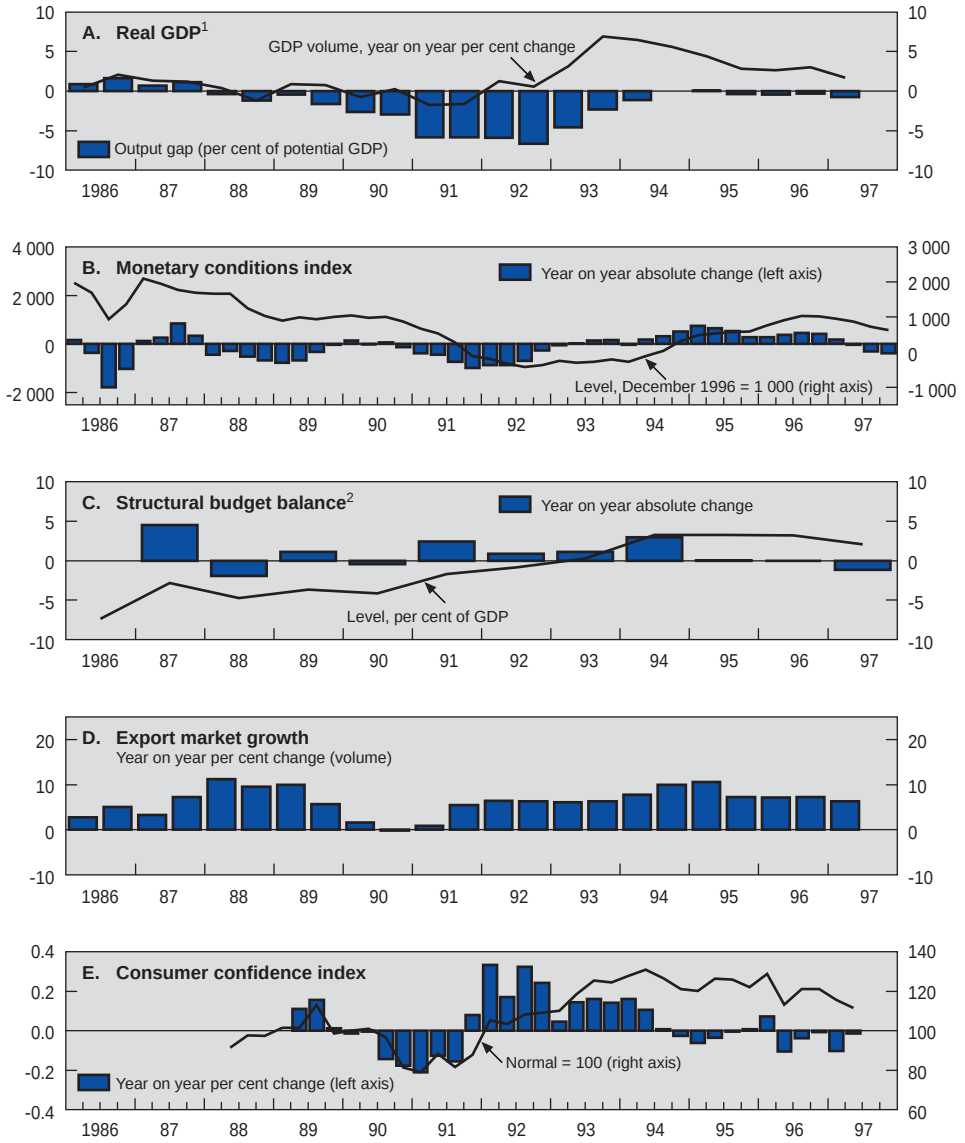
Because New Zealand is a small open economy, its business cycle is bound to be largely shaped by those in its major trading partners (in particular the United States and Australia). Nonetheless, there have been a number of country-specific influences which worked to accentuate the recent cycle. As the ongoing effects of the structural reforms undertaken from the mid-1980s had tended to amplify the impact of the international recession in the early 1990s, the degree of slack that existed at that time in the economy was substantial (Figure 3). This allowed a sharp easing of monetary conditions, including a marked depreciation of the New Zealand dollar. The resulting improvement in external

Figure 2. **GDP PER HEAD IN SELECTED OECD COUNTRIES**
Current purchasing power parities, OECD = 100



1. 1997 are OECD Secretariat estimates.
Source: OECD, *National Accounts.*

Figure 3. **DETERMINANTS OF GROWTH**



1. Output measure.
2. General government (national accounts basis).

Source: Statistics New Zealand, Reserve Bank and OECD.

competitiveness imparted a major boost to activity, reinforcing the stimulus from foreign economic recovery. Structural reforms also had the effect of rendering obsolete a considerable proportion of the existing capital stock and, at the same time, of opening opportunities of high returns for new investments. Buoyant exports and strong fixed capital formation spilled over into increased household spending, which was underpinned by pent-up demand for durables and rising consumer confidence associated with rapid employment growth and falling unemployment. The prospect of tax cuts, after a very tight fiscal policy which withdrew some 7 per cent of GDP from domestic demand over the 1991-94 period, also contributed to the strength of consumer demand. A large net inflow of migrants provided an additional boost to spending, notably for housing.

In such a context, pressures on capacity developed. By 1994, activity reached the economy's supply potential (Figure 3) and resulting inflation pressures led the monetary authorities to shift the stance of policy towards restraint. The increase in interest rates, together with a sharp appreciation of the exchange rate, then entailed a marked slowdown in economic growth and, subsequently, a decline in inflation. As discussed in Chapter II of the Survey, renewed monetary easing more recently, combined with fiscal relaxation, has set the stage for a rebound in economic activity. The rest of this Chapter reviews recent economic developments in more detail and concludes with an assessment of the short-term and medium-term outlook.

A policy-induced mid-cycle correction

Slower economic growth

After reaching rates in the 5 to 6 per cent range in 1993-1994 (Table 1), economic growth decelerated sharply through 1995 to average about 2½ per cent since. With potential output expanding at a rate of just under 3 per cent per annum, according to OECD Secretariat estimates (Annex I), this has led to some easing of pressures on productive capacity. The slowdown has been most pronounced in manufacturing while other sectors, in particular construction, have been less affected. This reflects the fact that the tightening in overall monetary conditions from 1994 was ''tilted'' towards the export sector, which has been hard hit by the strength of the New Zealand dollar (notwithstanding its recent

Table 1. **Demand and output**

Volume percentage change at annual rates, calendar basis

	1996 NZ$ billion	1970-83[2]	1984-91	1992-96	1993	1994	1995	1996	1997[3]
Private consumption	54.0	1.5	1.1	4.3	2.2	5.6	4.9	4.4	2.3
Government consumption	13.0	3.0	1.1	0.7	–0.5	–1.1	2.5	2.1	7.5
Gross fixed investment	19.0	2.2	–2.4	12.4	14.8	16.7	12.0	6.3	4.5
Public	2.7	4.3	–4.7	4.1	–14.1	16.9	3.3	15.7	38.1
Residential	4.0	0.0	–0.7	7.8	16.8	12.6	2.3	1.8	9.3
Non-residential	12.3	2.0	–2.0	16.6	13.9	18.2	15.3	7.6	3.1
Final domestic demand	**86.2**	**1.9**	**0.5**	**5.2**	**3.8**	**6.5**	**6.0**	**4.4**	**3.6**
Stockbuilding[1]	0.6	–0.1	–0.4	0.0	1.0	0.4	–0.7	–0.5	–0.4
Total domestic demand	**86.8**	**1.8**	**0.0**	**5.2**	**4.8**	**6.8**	**5.2**	**3.9**	**3.2**
Exports of goods and services	27.6	3.9	4.1	5.8	5.9	10.3	2.8	4.4	2.8
Imports of goods ans services	28.8	2.8	2.8	9.0	5.8	13.1	8.9	8.2	3.3
Foreign balance[1]	**–1.3**	**0.3**	**0.4**	**–1.0**	**0.1**	**–0.6**	**–1.8**	**–1.2**	**–0.2**
GDP (expenditure basis)	**85.5**	**2.0**	**0.4**	**4.2**	**4.8**	**6.1**	**3.3**	**2.7**	**3.0**
Agriculture and hunting	4.6	4.2	5.6	3.8	12.6	5.1	–4.6	2.8	5.5
Mining, forestry and fishing	2.3	2.2	8.0	1.3	2.3	0.4	–1.1	3.6	2.9
Manufacturing	15.9	2.8	–2.5	4.6	7.1	6.3	4.0	1.0	2.1
Construction	3.2	1.0	–5.1	8.2	6.6	11.1	11.4	4.1	5.3
Services	60.3	2.0	0.8	4.3	3.9	6.0	4.0	3.2	1.9
GDP (output basis)	**86.4**	**2.2**	**0.3**	**4.4**	**5.0**	**6.0**	**3.6**	**2.8**	**2.2**

1. Contribution to GDP volume growth.
2. 1978-83 for components of GDP by industry and GDP output measure.
3. First three quarters over corresponding period.

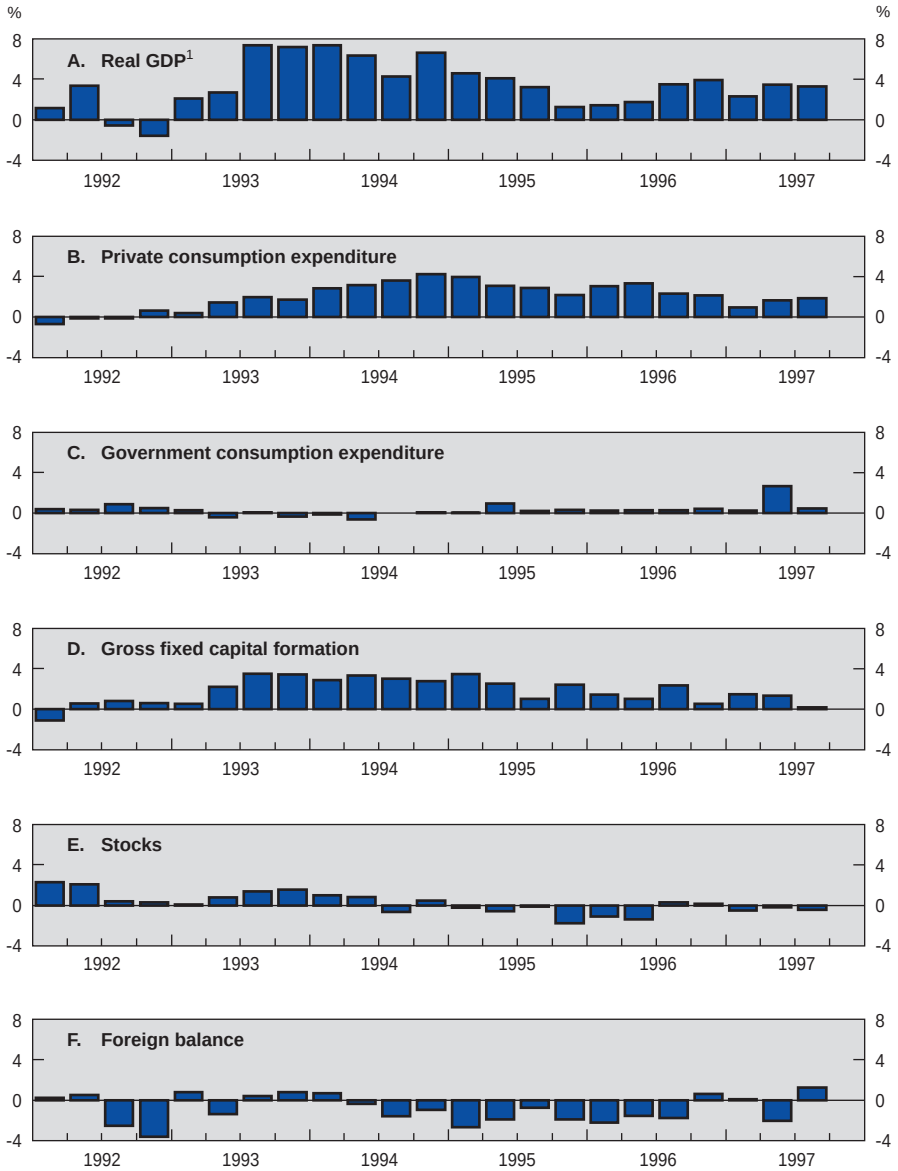
Source: Statistics New Zealand and OECD.

depreciation, see below). By contrast, and despite substantial destocking, aggregate domestic demand has held up relatively well. As a result, the import propensity remained relatively high before receding more recently. Together with weaker export performance, this has meant that the real foreign balance has been a significant drag on economic activity.

Among the major components of domestic demand, *private consumption* continued to make a substantial contribution to GDP growth through 1996 (Figure 4) despite high interest rates. This is attributable to accelerating wage increases, ongoing strong employment growth, and tax reductions which bolstered disposable income. Households actually began to step up spending well before the implementation of the tax cuts in mid-1996, with expenditure on durables (in particular motor vehicles) particularly buoyant. Only over the past

Figure 4. **CONTRIBUTIONS TO GDP GROWTH**

Per cent change over 4 quarters



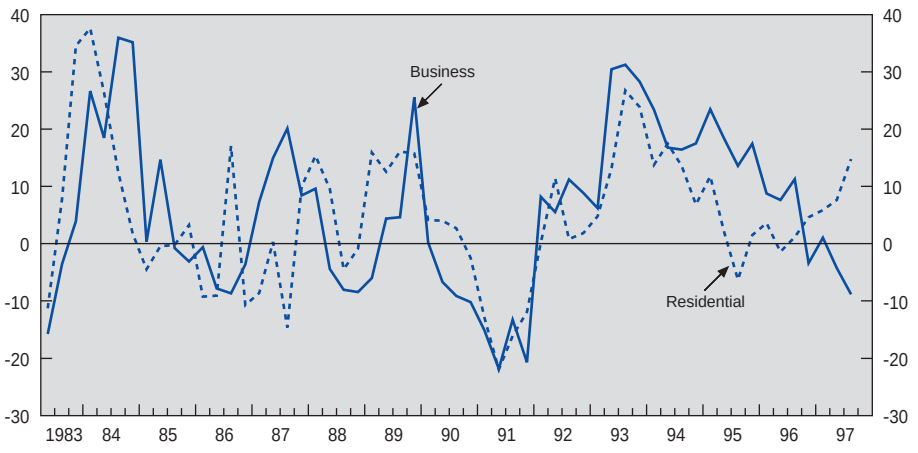
1. Expenditure measure; 1991-92 prices.

Source: Statistics New Zealand and OECD Secretariat.

year or so has the growth of private consumption slowed noticeably, owing to a number of factors: the second stage of the tax reduction programme was postponed to mid-1998; with a lag, employment has responded to weaker activity; consumer confidence has declined; and growth in personal wealth, which had underpinned household spending in preceding years, has decelerated.

Residential investment, which had been very strong in the early phase of the recovery, weakened markedly in 1995 but has rebounded since then (Figure 5). In the second half of 1997, building consents reached their highest levels in the past two decades, well above the preceding peak in 1994, pointing to a further strengthening of residential investment in recent months. To some extent, this pattern reflects the movement in interest rates. In addition, the strong migration inflow in late 1995 and early 1996 appears to have boosted the housing market. Partly related to that, house price increases picked up again following some slowdown, further stimulating building activity. However, given that, despite their recent fall, interest rates are still relatively high and that both net immigration and house price increases have abated in the meantime, the high propensity

Figure 5. **GROSS FIXED INVESTMENT**
Year-on-year volume change



Source: Statistics New Zealand and OECD.

to invest in housing – even by New Zealand's historical standards – appears somewhat puzzling. A number of factors may help explain this phenomenon, including New Zealanders' preference towards home ownership, perceived high capital returns through house price inflation, and favourable treatment of capital gains on owner-occupied housing (see Chapter IV).

Business investment decelerated more gradually (Figure 5), broadly following the slowdown in overall economic activity. In view of the fact that capital spending in the business sector had expanded at double-digit rates over the four years to 1995, its response to fluctuations in output has been unusually weak. Such a favourable performance in the face of high real interest rates and lower profitability suggests that companies' investment decisions are now more focused on the medium term. After being temporarily depressed by the completion of major projects in the Auckland area, corporate investment strengthened until recently as easier monetary conditions bolstered business confidence, before flagging again in the face of the Asian crisis. The weakening in private sector capital spending in recent years has been partly offset by higher *public investment* (Table 1), notably in the health and education areas.

Some rise in unemployment

The slowdown in economic activity has been reflected in the labour market with a considerable lag. In 1996, employment still grew by 3½ per cent and only over the past year has net job creation slowed (Table 2). This overall picture conceals, nonetheless, strong compositional changes. Growth in full-time employment has turned negative on an annual basis, while that in part-time employment, albeit slowing, is still positive. The longer-term trend towards an increasing share of part-time employment has continued. Mirroring the above-described developments in major demand components, over the two years to mid-1997 employment in the tradeables sectors declined by almost 9 per cent, as compared with a 6 per cent rise in the remainder of the economy, with construction as well as business and financial services posting the most striking job creation.

Strong employment growth has implied a poor labour productivity performance, which can only partly be explained by cyclical influences. Indeed, the increase in hourly productivity already turned negative in mid-1995, when real GDP was still expanding at a rate of 5 per cent (Figure 6), and remained so until

Table 2. **The labour market**

Annual percentage change over corresponding period

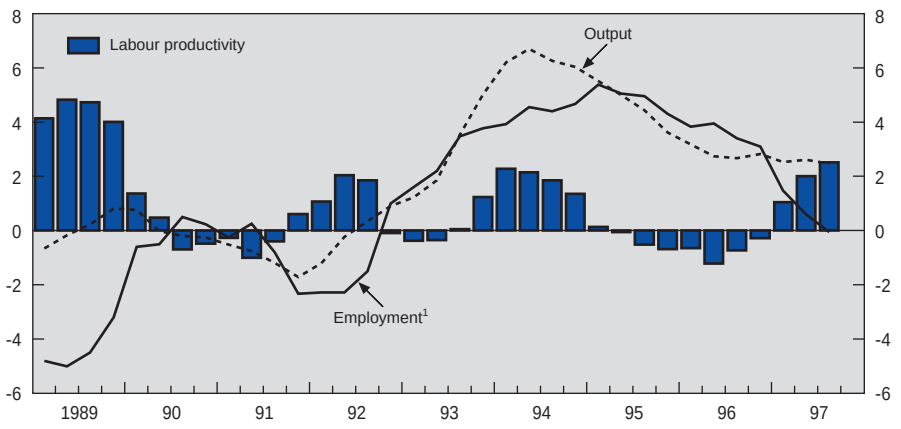
	1993	1994	1995	1996	1997	1997 Q1	1997 Q2	1997 Q3	1997 Q4
Working age population	1.1	1.4	1.6	1.6	1.3	1.4	1.3	1.3	1.3
Labour force	1.1	2.7	2.6	3.2	0.9	1.4	1.2	0.0	1.1
Employment	2.0	4.3	4.7	3.4	0.3	1.1	0.4	–0.5	0.4
Unemployment rate [1]	9.5	8.1	6.3	6.1	6.7	6.5	6.7	6.8	6.7
Participation rate [2]	63.3	64.2	64.8	65.8	65.6	65.6	65.7	65.5	65.4
Employment ratio [3]	57.3	58.9	60.7	61.8	61.2	61.3	61.3	61.1	61.1
Labour productivity									
Output basis	2.9	1.7	–1.0	–0.5	..	0.6	2.4	2.8	..
Expenditure basis	2.8	1.8	–1.3	–0.7	..	1.2	3.1	3.8	..

1. Per cent of labour force.
2. Labour force/population 15 years and over.
3. Employment/population 15 years and over.

Source: Statistics New Zealand.

Figure 6. **LABOUR PRODUCTIVITY**

Annual average percentage change



1. Full time equivalent.

Source: Statistics New Zealand and OECD.

late 1996. The substantial job creation over that period appears to reflect, to a considerable extent, the fact that the Employment Contracts Act of 1991 has led to a more moderate development of real wages and has thereby tended to encourage a switch to more labour-intensive production methods. Labour hoarding seems to have played less of a role as, up to the third quarter of 1996, firms were actively hiring and not simply holding on to existing workers. The recent subsidence of job creation, and the associated pick-up in productivity, probably have been both a lagged response to the slowdown in output growth and the result of the fact that cheaper capital imports in the period when the currency was appreciating and higher real wage growth have made a shift to more labour-intensive production processes less attractive.

With strong job creation from 1993, unemployment had come down to just over 6 per cent of the labour force by late 1995, which is close to its structural rate as estimated by the OECD Secretariat (see Annex I). Little further inroads into unemployment were made in the following year, despite robust employment growth, as the expansion of the labour force accelerated to around 3 per cent owing both to strong net immigration and a pronounced increase in the participation rate. Net migration accounted for more than half of the growth in the working age population over that period. The increase in labour force participation, which began in 1993 (Table 2), appears to have been to a large extent cyclical, although the ongoing rise in the age of eligibility for New Zealand Superannuation (that is, public pensions) has contributed. During 1997, unemployment edged up from just under 6 per cent to 6¾ per cent. This relatively moderate rise, in the face of modest job creation, essentially reflects a sharp deceleration in labour force growth due both to slowing immigration – partly as a result of tighter controls – and some decline in the participation rate. The composition of unemployment has changed little over the past two years, with the share of long-term unemployed (26 weeks or more) fluctuating around 35 per cent and the youth unemployment rate being broadly stable (at 16½ per cent and 11½ per cent, respectively, for the 15-19 and 20-24 year age groups).

Receding inflation pressures

The emergence of pressures on productive capacity led to a pick-up in inflation from mid-1994. Over the following year, the ‘‘headline’’ Consumer Price Index (CPI) rose sharply, as monetary tightening raised its significant

mortgage interest component, while the Reserve Bank's indicator of ''underlying'' inflation (see Chapter II) only slightly, and temporarily, overshot the official 0 to 2 per cent target band (Figure 7). This was followed, however, by a further, and more prolonged, breach of the target during 1996, reflecting mainly three factors:

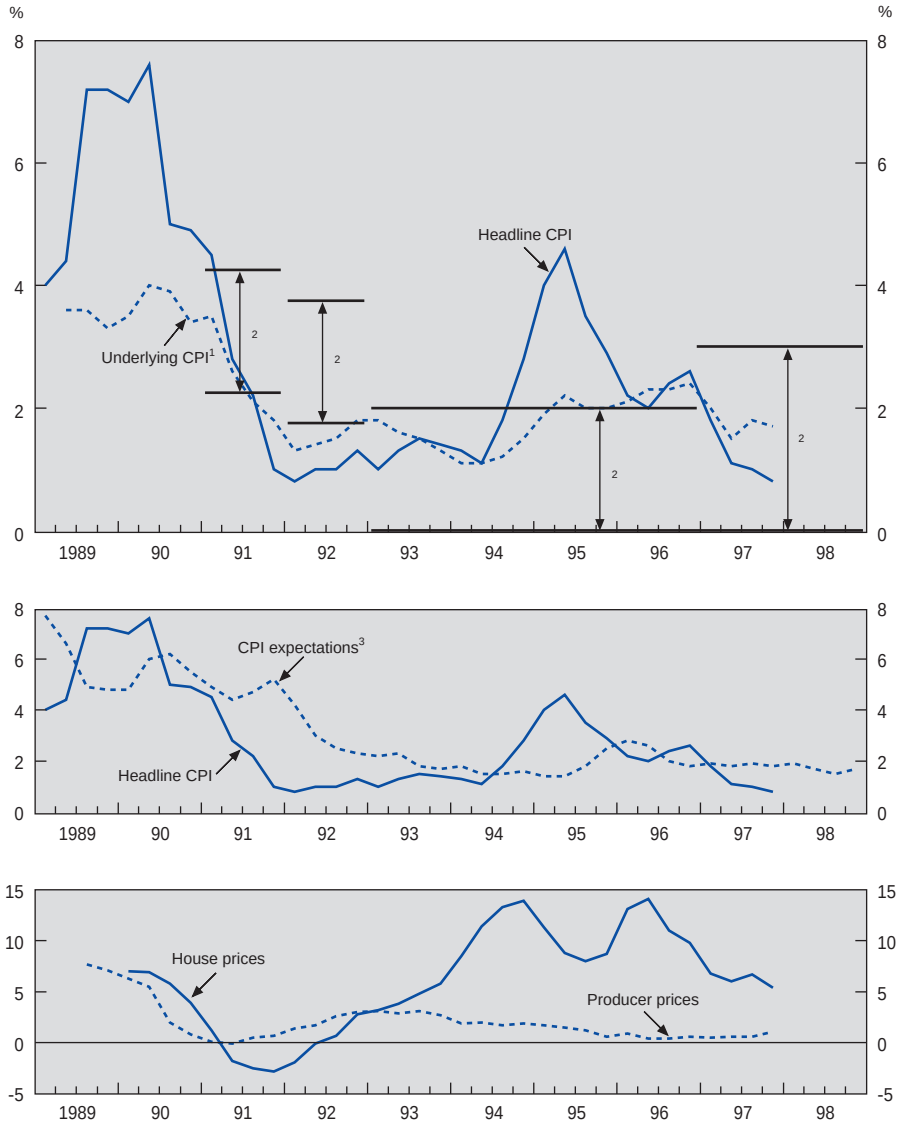
- First, domestic spending pressures were more resilient than expected, possibly because the impact of higher interest rates was muted by expectations that they would not last for long.
- Second, although inflation in the tradable sector fell towards zero, it remained higher than might have been expected given the sharp exchange rate appreciation. (The most likely reason for the weak exchange-rate pass-through is that robust demand conditions allowed a widening of profit margins.)
- Third, accelerating wage increases – maybe in part reflecting the temporary spurt in ''headline'' inflation – combined with declining productivity entailed significant upward pressure on unit labour costs.

Over the past year, in response to weaker activity, price increases have finally moderated, with ''underlying'' CPI inflation falling towards the mid-point of the new official 0 to 3 per cent target range (Figure 7). The development of some spare capacity in the economy has dampened domestically-generated inflation, while tradeables prices have picked up only moderately in response to the recent fall in the exchange rate. In addition, the pick-up in productivity has led to slower growth in unit labour costs. Nonetheless, albeit falling, non-tradeables inflation at the consumer price level has remained high, at just under 4 per cent, mainly reflecting the effect of housing costs and, to a lesser degree, public sector charges. House price increases (Figure 7) have been remarkably resilient given the marked decline in net immigration and relatively high interest rates. They are no longer confined to the Auckland area alone but have been spread more evenly around the country.

With virtually no labour market slack (that is, unemployment in excess of its structural rate) in the mid-1990s, real wage growth picked up and has since stayed high despite some rise in unemployment. Real producer wages, in particular, have increased strongly in recent years, as evidenced by the growth differential between nominal earnings and output prices (Table 3). But real consumer wages have also shown significant, and continuing, gains as some recent slow-

Figure 7. **INFLATION INDICATORS**

Annual percentage change



1. As calculated by the Reserve Bank.
2. Target bands.
3. As surveyed by the Reserve Bank twelve months earlier.

Source: Statistics New Zealand and Reserve Bank.

Table 3. **Wages and prices**

Percentage change over corresponding period

	1993	1994	1995	1996	1997	1997 Q1	1997 Q2	1997 Q3	1997 Q4
Wages									
Average weekly earnings	0.9	2.2	2.8	3.4	3.5	3.8	4.0	3.4	2.7
Salary and wage rates									
Private sector	1.2	1.2	1.5	1.9	2.0	1.9	2.1	2.1	2.0
Central government	0.4	0.6	1.3	2.3	3.2	3.2	3.7	3.5	2.6
Prices									
Consumer prices	1.3	1.8	3.8	2.3	1.2	1.8	1.1	1.0	0.8
Energy (fuel and electricity)	5.8	6.2	4.8	5.4	4.5	4.6	4.6	4.7	4.1
Food	1.1	–0.3	1.3	1.4	2.2	3.0	2.4	1.9	1.4
Wholesale prices [1]									
Inputs	2.3	1.1	0.4	–0.7	–1.0	–2.0	–1.2	–0.7	–0.1
Outputs	3.4	1.2	1.0	–0.1	–0.3	–0.3	–0.1	–0.8	–0.2
GDP price deflator	2.7	1.6	2.6	1.9	..	–0.0	0.0	0.1	..
Import price deflator	–1.7	–4.0	–2.2	–4.2	..	–5.3	–3.7	–2.1	..
Export price deflator	1.1	–3.0	–0.3	–2.9	..	–4.3	–4.4	–2.9	..

1. Manufacturing.

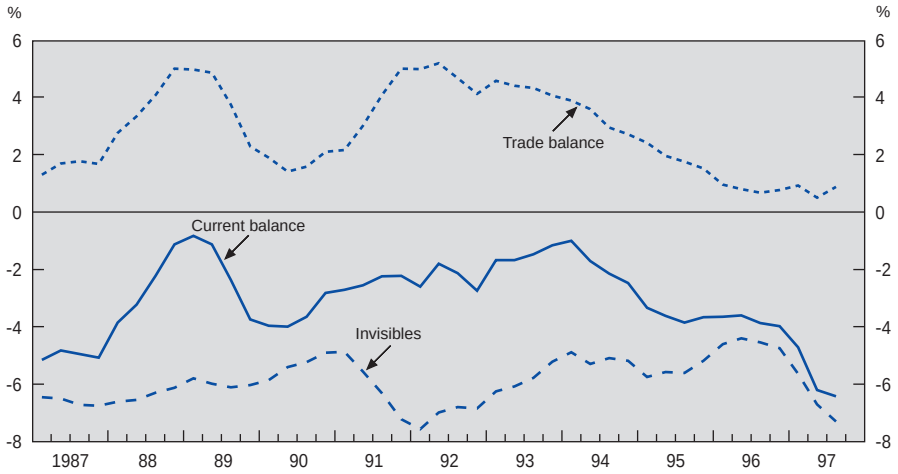
Source: Statistics New Zealand; OECD, *Main Economic Indicators.*

down in nominal earnings growth has been accompanied by falling CPI inflation. In contrast to developments in the first half of the 1990s, wage increases in the public sector have exceeded those in the private sector over the past two years, due essentially to developments in the education sector. The fact that wage and salary rates in the private sector have edged up only gradually may be explained by the introduction of labour market reforms in the early 1990s which have helped to prevent pressures in specific areas from becoming generalised.

High external deficit

In the first half of the 1990s, New Zealand's current account deficit was relatively low by historical standards. Since then, however, the country's external accounts have deteriorated markedly, driven, at first, by a gradual decline in the merchandise trade surplus and, most recently, by a sharp rise in the invisibles deficit (Figure 8). At around 6½ per cent of GDP in the year to September 1997, the current account deficit is still well below historical peaks but very high by international comparison. This widening of the deficit reflects the reversal of a

Figure 8. **CURRENT ACCOUNT**
Per cent of GDP, four quarters ended



Source: Statistics New Zealand.

number of favourable factors. *First*, while in the early 1990s the country was well placed to benefit from the international recovery due to a very competitive exchange rate, a side effect of the Reserve Bank's efforts to contain inflation in the mid-1990s was an overvalued New Zealand dollar, leading to substantial losses in export market share. *Second*, a significant improvement in the terms of trade in the early phase of the recovery has been more than offset by a continued deterioration in recent years. *Third*, exchange rate movements have been reflected in a marked rise and subsequent decline in net revenues from tourism. *Fourth*, following the boost given to the transfer balance by a wave of migration to New Zealand as the country's economic conditions improved, with slower growth and a more restrictive immigration policy transfer receipts have dropped sharply over the past year (Table 4). *Finally*, a steady improvement in income inflows accruing to direct investment abroad has suddenly gone into reverse of late, reflecting in particular weaker profit performance in forest product processing in which New Zealand firms have invested heavily.

Table 4. **Balance of payments**

NZ$ million

	1990	1991	1992	1993	1994	1995	1996	1997[1]
Exports	15 408	16 564	18 121	19 354	20 189	20 534	20 603	20 777
Imports	13 883	12 976	15 101	16 150	17 880	19 168	19 874	19 719
Trade balance	1 524	3 588	3 019	3 204	2 309	1 366	728	1 056
Non-factor services, net	–1 395	–1 457	–1 760	–1 187	–534	–527	–465	–1 001
Invesment income, net	–2 767	–4 408	–4 057	–4 186	–5 737	–6 383	–6 777	–7 693
Transfers, net	586	680	786	1 249	1 850	2 224	2 750	880
Invisibles, net	–3 575	–5 185	–5 030	–4 124	–4 422	–4 686	–4 491	–7 814
Current balance	–2 050	–1 598	–2 012	–919	–2 114	–3 320	–3 764	–6 757
Per cent of GDP	–2.8	–2.2	–2.7	–1.2	–2.5	–3.7	–4.0	–7.1

1. First three quarters at annual rates.

Source: Statistics New Zealand.

After narrowing sharply, due to the adverse effects of exchange rate appreciation and the rapid rise in import penetration associated with ongoing trade liberalisation and strong domestic demand, the merchandise trade surplus has broadly stabilised at a low level. If special factors, such as the government's import of a frigate in mid-1997 (amounting to ½ per cent of GDP), are taken into account, the trade balance has even improved somewhat over the past year or so. This reflects both slowing import volume growth in response to weaker economic activity and some rebound in export volumes (Table 5). The latter owes much to buoyant sales of some agricultural products, but it also appears that exporters of non-commodity manufactures, albeit continuing to lose market share, have finally been successful in coping with the high exchange rate. Stepping up export volume growth has, however, involved significant price reductions and sharply lower profit margins. The associated deterioration in the terms of trade has so far largely offset the incipient improvement in the real trade balance.

Underlying the large invisibles deficit is the rising cost of servicing New Zealand's high external debt. At more than 80 per cent of GDP, New Zealand's net foreign liabilities are, by a wide margin, the highest among industrialised countries (see 1996 Economic Survey of New Zealand). Although the debt ratio has not increased further in recent years, this owes much to the strong appreciation of the New Zealand dollar up to mid-1997. However, in contrast to the past,

Table 5. **Trade volumes and prices**

Percentage change

	1991 weights	1990	1991	1992	1993	1994	1995	1996	1997[1]
Export volumes									
Total goods	100.0	6.0	10.5	2.2	4.4	10.1	3.0	4.9	4.7
Food	44.7	6.4	10.2	1.3	3.0	7.7	5.2	7.7	5.2
Manufactures	33.4	7.6	9.2	8.3	7.2	14.0	4.4	3.0	7.6
Raw materials	18.7	–3.4	18.2	–2.6	–0.0	9.1	–2.5	–0.1	–2.4
Export prices									
Total goods	100.0	–1.4	–4.2	8.2	2.5	–4.0	–1.7	–3.5	–4.5
Food	44.7	0.0	0.5	10.1	0.6	–8.2	–5.3	0.2	–5.2
Manufactures	33.4	–2.0	–4.0	4.6	0.9	0.1	0.1	–5.5	–4.0
Raw materials	18.7	–6.3	–15.8	9.8	13.6	0.5	3.4	–8.7	–4.9
Import volumes									
Total goods	100.0	7.8	–9.4	10.5	4.1	16.3	6.9	3.3	3.4
Manufactures	83.2	8.5	–11.1	12.1	2.6	17.5	7.7	2.9	3.8
Energy	8.4	11.0	–7.4	1.4	8.3	16.2	1.6	11.8	2.5
Import prices									
Total goods	100.0	0.7	1.0	6.6	–0.3	–3.6	–0.1	–2.6	–2.3
Manufactures	83.2	–1.4	1.7	7.4	0.6	–2.9	–0.2	–3.5	–3.2
Energy	8.4	23.4	–2.3	1.2	–6.8	–15.6	0.7	6.5	7.0
Terms of trade	**0.0**	**–2.1**	**–5.2**	**1.5**	**2.9**	**–0.5**	**–1.6**	**–1.0**	**–2.3**

1. First three quarters over corresponding period.
Source: Statistics New Zealand; OECD.

indebtedness is now mainly the result of private sector decisions. With the budget in surplus, the government's share of total foreign debt has indeed fallen to about one-fifth. The main driver of the private external liabilities build-up in recent years has been foreign direct investment, and equity already accounts for more than one-third of total gross liabilities. Moreover, more than half of external debt is now denominated in New Zealand dollars (up from one-fifth in the early 1990s), which limits adverse effects of a weakening exchange rate. On the other hand, less than one-third of foreign debt is long-term. To date foreign investors do not appear to be unduly concerned over New Zealand's external position. Nonetheless, recent developments have frustrated further improvements in the country's credit ratings. While maintaining the latter, one rating agency has indicated that there would be ''some limit how comfortable they could be'' with the external deficit.[1]

Coping with such a situation would imply a much higher level of national saving (see Chapter IV). While the latter has risen in the 1990s, driven by substantial fiscal consolidation, its increase has been insufficient to finance the additional investment expenditure that has been encouraged by improved economic performance. With a reduction in the fiscal surplus more recently (see Chapter II), reliance on foreign savings has again increased markedly.

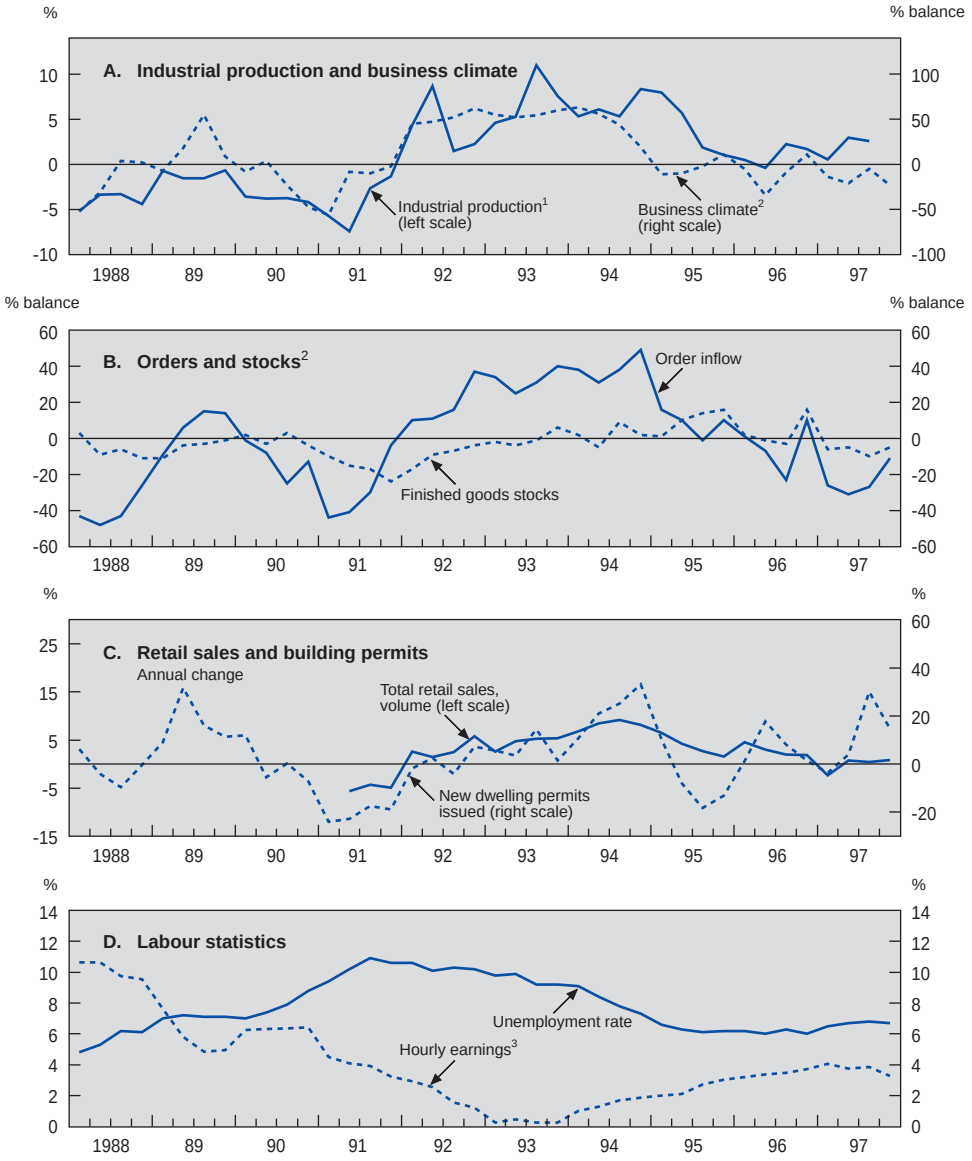
Short-term prospects

Strengthening activity

Although recent indicators have been mixed (Figure 9) – as it is generally the case when the economy is near a turning point – a number of factors have set the stage for a rebound in activity: monetary conditions have eased significantly, reflecting a marked depreciation of the New Zealand dollar and some decline in interest rates; with increased government spending and further tax cuts in mid-1998, the fiscal stance continues to be stimulative; and improving productivity and profitability have begun to underpin business confidence. Given the boost both to domestic demand and to exports coming from these broad influences, real GDP is projected to expand again at rates slightly above the growth of potential output – estimated by the OECD Secretariat to average just under 3 per cent – over the next two years or so (Table 6).

Among the components of domestic demand, residential investment is already rebounding. This should underpin consumer spending as increased purchases of durable goods – new furniture and appliances – usually follow the building of new houses. Thereafter, private consumption will receive a boost from the removal of the superannuation surcharge in April and personal tax cuts in July 1998 (see Chapter III), amounting to ¼ per cent and 1 per cent of GDP, respectively, on an annual basis. However, households' response to these measures will probably be more muted than in 1996, when they increased consumption even before the implementation of the tax reductions. Given the recent decline in consumer confidence associated with a weaker labour market as well as perceptions of lower wealth due to slower growth in property prices and reduced equity values, households are likely to be cautious in their spending decisions. This may lead them to raise, at least temporarily, their saving ratio to

Figure 9. **SHORT-TERM ECONOMIC INDICATORS**



1. Manufacturing, annual change.
2. Survey balance.
3. All industry, annual change.

Source: Statistics New Zealand and OECD, *Main Economic Indicators.*

Table 6. **Short-term economic prospects**

	Current prices, NZ$ billion		Percentage volume change		
	1994	Per cent of GDP	1997	1998	1999
Private consumption	51.9	60.8	2.4	2.9	3.3
Government consumption	12.5	14.7	6.0	3.5	–2.0
Gross fixed investment	16.9	19.8	4.3	4.3	6.2
Final domestic demand	81.3	95.3	3.4	3.3	3.1
Stockbuilding [1,2]	1.7	2.0	–0.3	0.0	0.0
Total domestic demand	83.0	97.3	3.0	3.3	3.1
Exports of goods and services	26.6	31.2	2.5	5.0	7.0
Imports of goods and services	24.4	28.5	3.3	5.5	6.3
Foreign balance [1]	2.3	2.7	–0.3	–0.3	0.1
GDP expenditure at constant prices			2.8	3.1	3.3
GDP price deflator			1.3	1.8	2.1
GDP at current prices	85.3	100.0	4.2	4.9	5.5
Memorandum items:					
GDP production at constant prices			2.4	3.1	3.3
Private consumption deflator			1.5	1.7	1.9
Private compensation per employee			2.9	3.1	2.9
Total employment			0.5	0.8	1.5
Unemployment rate			6.7	6.7	6.4
Breakdown of gross fixed investment					
Private non-residential	10.1	11.8	–1.0	3.0	7.0
Private residential	4.5	5.3	9.0	7.5	6.0
General government	2.3	2.7	20.8	5.0	3.4
Short-term interest rate			7.7	8.6	8.2
Long-term interest rate			7.1	7.0	7.0
Current balance as a per cent of GDP			–7.3	–6.9	–6.7

1. As a percentage of GDP in the previous period.
2. Including statistical discrepancy and valuation adjustment.
Source: OECD.

strengthen their balance sheets. Increased personal expenditure is expected to be followed by a rise in business investment. Indeed, firms are well placed to respond quickly to a pick-up in economic activity. By contrast to households, their balance sheets are strong as they have managed to continue to reduce their indebtedness even though economic growth has weakened. Low stock levels suggest that rising aggregate demand will feed rapidly into higher production.

Export growth is also projected to recover (Table 6). Exchange rate depreciation and low inflation has significantly improved New Zealand's competitive

position. As a result, exporters should again increase their market share, following strong losses during the past three years. This is expected to outweigh the projected deceleration in export market growth, although New Zealand's close links with the Asian region (see below) imply that its markets are likely to expand less than world trade. As exports to Asia tend to be primary commodities, sales of manufactures should be less affected by lower growth in that region and are projected to expand strongly. Tourism exports, which were particularly hurt by the high New Zealand dollar, are also expected to rebound despite a decline in Asian visitors, boosted by a number of international events in coming years. Although the Asian crisis is likely to put downward pressure on commodity export prices, New Zealand's terms of trade are projected to improve, because import prices should also be lower than otherwise while exporters of manufactures are expected to benefit from the fall in the exchange rate to restore their profit margins. Stronger growth of export volumes, broadly in line with that of import volumes, combined with somewhat better terms of trade, is expected to result in a gradual decline in the high current account deficit.

With stronger economic growth, employment is projected to pick up again. The resulting decline in unemployment is expected to be gradual, however, because labour force participation is likely to start rising too, following its recent decrease. Towards the end of the projection period, the unemployment rate may edge back to OECD Secretariat estimates of the structural rate of around 6 per cent. In the meantime, labour market slack should lead to some moderation of wage growth. Together with a cyclical boost to labour productivity due to the lagged response of employment to the rebound in output, this is expected to entail a marked deceleration in the growth of unit labour costs. Reduced labour cost increases should to some extent offset the price effects of the exchange rate depreciation. With a persistent – albeit diminishing – output gap putting downward pressure on prices, inflation is projected to remain well within the official 0 to 3 per cent target range during the projection period.

Underlying the projections are the following assumptions:

- Real GDP in the OECD area slows from 3 per cent in 1997 to 2½ per cent in both 1998 and 1999, while the expansion of world trade decelerates from above 9 per cent to around 6½ per cent.
- The New Zealand dollar's exchange rate remains unchanged against other currencies from February 1998.

- The oil price (OECD c.i.f. imports) is $16.50 in the first half of 1998 and increases slightly thereafter, in line with OECD manufactured export prices; non-oil commodity prices decline over the next eighteen months before picking up somewhat; the growth of New Zealand's import prices averages just under 1 per cent over the projection period.
- No new budget measures are implemented in addition to the Coalition Government's NZ$ 5 billion expenditure package (of which around NZ$ 1 billion has been spent) and the implementation of the mid-1998 personal tax cuts; as in 1997, government consumption in 1998 is boosted by the equivalent of nearly ½ per cent of GDP through the purchase of a frigate.
- Short-term interest rates decline somewhat throughout most of the projection period; long-term interest rates remain broadly stable at their current level of 7 per cent, implying a continued inverted yield curve.

Risks and uncertainties

Given the openness and international orientation of the economy, growth prospects in New Zealand are strongly influenced by the conjuncture in its major trading partners. While so far economic performance in the latter, with the notable exception of Japan, has remained favourable, the crisis in Asia has worsened and events are still unfolding. Although New Zealand's direct exposure to South East Asia is relatively limited (7 per cent of total merchandise exports), the negative effect of lower-than-anticipated growth in that region could be significant. The situation in Korea (almost 5 per cent of New Zealand's exports) is still evolving and the outlook for the Japanese economy (which absorbs 15 per cent of New Zealand's sales abroad) is not encouraging. While the magnitude of the impact of these developments on New Zealand's growth is uncertain, including indirect effects through the Australian economy, they constitute a serious threat.

Given the downside risks attached to the export outlook, the expected recovery in New Zealand's economic growth may be weaker, or delayed for some quarters, relative to the above projection. This would reduce price pressure and allow a further easing in monetary conditions, which should boost activity later in the projection period. However, the conduct of monetary policy may be complicated by the adverse effect of lower export volumes and prices on the

external balance. A larger-than-expected current account deficit, in particular if accompanied by a deterioration of the fiscal position, could lead to a shift in investor sentiment against New Zealand. This could require a marked rise in interest rates to protect the currency, with adverse consequences for domestic demand and economic activity. Indeed, the depreciation of the exchange rate since mid-1997, together with a widening of interest differentials, has been partly attributed to the deteriorating outlook for the external position.

Although less prominent at the time of writing, there are also upside risks to the central projection which should not be ignored. Overall monetary conditions have continued to ease, and the effects of the substantial fiscal stimulus could exceed expectations. Households might spend more than assumed, perhaps increasing consumption already ahead of the tax reductions, as it happened two years ago. In that event, firms might decide to implement their (increased) investment plans more quickly. A spurt in growth at a time when there is still relatively little spare capacity in the economy could lead to inflationary and balance-of-payments pressures, possibly requiring a tightening of monetary conditions. This would involve a more cyclical economic outlook over the medium term.

The medium-term outlook

An OECD Secretariat scenario (Table 7) – consistent with the above short-term projections – expects real GDP to grow at a rate of 3 per cent over the 1997-2003 period, compared with 2 per cent in the preceding seven-year period (and somewhat less in the 1980s) and with 2¾ per cent in the OECD area. Underlying this improved growth performance is a stronger expansion of domestic demand, with business investment in particular continuing to rise at robust rates. Exports are also projected to make a significant contribution to economic growth, expanding broadly in line with markets in the period ahead, on the assumption of a constant real exchange rate. Given strong domestic demand and the increasing openness of the economy (see Chapter III), import growth is expected to match that of exports. As a result, with little improvement in the terms of trade, the current account deficit is projected to narrow only gradually, remaining sizeable by international comparison. Employment should grow more slowly than in the first half of the 1990s when it was boosted by the introduction

Table 7. **A medium-term scenario**

Annual average percentage change, volumes

	1989-1996	1997-2003
Private consumption	2.0	2.8
Government consumption	0.8	1.5
Fixed capital formation	3.1	5.0
Stockbuilding [1]	0.0	0.0
Total domestic demand	2.0	3.1
Exports	5.7	6.4
Imports	5.6	6.4
Real foreign balance [1]	0.0	–0.1
Real GDP	2.0	3.0
Potential output	2.2	3.0
Labour productivity	0.3	1.6
Employment	2.0	1.4
Participation rate (per cent)	64.1	66.1
Unemployment rate (per cent)	8.2	6.1
Private consumption deflator	2.6	1.7
GDP deflator	2.1	1.8
Private compensation per employee	1.9	2.7
Current balance (per cent of GDP)	–2.9	–6.3
Real exchange rate	0.8	–0.2
Short-term interest rate (per cent)	9.4	7.4
Long-term interest rate (per cent)	9.2	7.2

1. Per cent of GDP.

Source: OECD.

of labour market reforms, as discussed above, implying a marked improvement in labour productivity performance. Combined with a gradual rise in labour force participation, this is expected to result in unemployment levels close to the estimated structural rate. Some spare capacity, on average, over the projection period, should help keep inflation within its target range, although this is also likely to require relatively high real short-term interest rates.

With little slack in the economy, New Zealand's growth prospects over the medium term essentially depend on the expansion of potential output. The OECD Secretariat assumption of 3 per cent potential growth over the projection period, up from an average of 2¼ per cent in the preceding seven years, is in the range of other available estimates. Nonetheless, apart from methodological problems (Annex I), there are considerable uncertainties attached to projections of produc-

tive capacity. In particular, the assumed improvement in productivity performance, which is crucial to the achievement of higher potential growth, might be optimistic. Hence the importance of further reform in the education sector (see Chapter III). With respect to labour supply, which was boosted by migrant inflows until recently, much will depend on the government's immigration policy. Finally, strong capital spending is essential to attaining the projected pace of potential output growth. In this context, a major issue is whether foreign investment levels will be maintained in the face of high current account deficits. The extensive overseas ownership of the corporate sector means that aggregate investment is highly dependent on foreign confidence in the New Zealand economy and the country's currency. Should this confidence wane, future investment levels and thus future growth may be adversely affected.

It must be highlighted that, even if achieved, better growth performance along the lines of the above medium-term scenario would probably just suffice to maintain New Zealand's relative per capita GDP roughly stable. As discussed in Chapter III, catching up with an OECD average benchmark would require significant further improvements in economic efficiency through structural reform. It is also worth noting that such a scenario is conditional on number of assumptions. For instance, commodity prices and key exchange rates are expected to be broadly unchanged in real terms beyond the short-term horizon. Moreover, in the case of New Zealand, the scenario implies that real GDP and unemployment evolve close to potential output and the NAIRU, respectively, over a protracted period of time. However, as discussed above, it cannot be excluded that tensions and imbalances emerge, leading to a more uneven growth pattern and hence below-potential growth on average. The macroeconomic policy settings in place to minimise these risks are reviewed in the following Chapter.

II. Macroeconomic management

With a view to creating a stable economic environment, two essential reforms implemented over the past decade have imparted a strong medium-term orientation to macroeconomic policies. On the one hand, the Reserve Bank Act of 1989 has given the monetary authorities independence to pursue a policy directly aimed at price stability, operationally defined by inflation targets. On the other hand, the Fiscal Responsibility Act of 1994 has called on the government to run budget surpluses until public debt has reached ''prudent'' levels, and to maintain broad budget balance thereafter. These basic changes to the framework and operation of both monetary and fiscal policy have undoubtedly contributed to the improved economic performance registered in the 1990s. Nonetheless, with the economy reaching full capacity, maintaining macroeconomic stability has become more difficult. Keeping inflation within the target range required a sharp and prolonged tightening in monetary conditions, and although economic growth has slowed markedly as a result, real interest rates are still high for this stage of the cycle. Fiscal developments probably played a role in this regard as, with the budget moving into significant surplus, the authorities concluded that there was scope to introduce a medium-term programme of tax reduction and to increase spending on social services. The resulting relaxation of the fiscal stance has implied tighter monetary conditions than otherwise by adding to upward pressures on aggregate spending and inflation. The following paragraphs discuss in more detail recent macroeconomic policy developments and the challenges facing policymakers in the period ahead.

Monetary policy

The framework

The Reserve Bank Act establishes a policy framework with three key characteristics: it sets an unambiguous goal for monetary policy of achieving and

maintaining price stability; it provides the Reserve Bank with operational autonomy to pursue that goal, guided by a Policy Target Agreement (PTA) between the Governor and the Minister of Finance (or Treasurer); and it calls for a high degree of accountability and transparency. The December 1992 PTA defined price stability as annual increases in the Consumer Price Index (CPI) of between 0 and 2 per cent. To give the Bank a little more room for manoeuvre, the PTA of December 1996 widened the inflation target band to 0 to 3 per cent. It also made it clear that the purpose of the price stability objective is to enable monetary policy to make its maximum contribution to sustainable growth, employment and development opportunities within the New Zealand economy.

Until late 1997, the Bank used a measure of ''underlying'' inflation as a representation of the CPI increase permissible after allowance for a set of ''caveats'' listed in the PTA, including natural disasters, changes in the Goods and Services Tax (GST), as well as significant movements in other indirect taxes, government and local authority levies, the terms of trade and the interest cost components of the CPI. This practice was abandoned at the time of the December 1997 PTA which defined the (otherwise unchanged) inflation target in terms of the CPI excluding credit services (CPIX), following the decision of Statistics New Zealand to exclude interest payments from the official CPI from 1999. Interest payments were the major source of the sometimes important divergence between the Bank's measure of ''underlying'' inflation and the increase in the ''headline'' CPI.

Given that it takes approximately six months to two years for monetary policy to have an impact on the core rate of inflation, the Reserve Bank's approach to inflation targeting is forward-looking, with the appropriate policy stance determined on the basis of quarterly economic projections. Initially, those included simple ''straight line'' assumptions regarding the future path of interest rates and the exchange rate. In order to give better guidance to financial markets, this was changed in mid-1997: rather than showing how inflation would probably develop in response to maintaining a particular set of monetary conditions, the projections now indicate how the latter might be expected to evolve in order to achieve a path for inflation that converges over time towards the middle of the target range.

The Bank has preferred to avoid directly setting either an interest rate or an exchange rate as the operating target for monetary policy. Instead, in addition to

the projections, policy implementation has tended to rely on statements, with formal changes to available instruments – such as the settlement cash target – being rare. Targeting the overnight interbank interest rate was considered but finally rejected because the authorities felt that it risked giving undue prominence to the interest rate component of monetary conditions. In addition, it was argued that an overnight rate target could provide a perverse signal when interest rates were being moved in the opposite direction to the desired trend in overall monetary conditions. Concerns over occasional signalling problems were addressed in December 1996, when the Bank started to quantify the (actual and desired) level of monetary conditions, and again in June 1997, when it began to publish a formal monetary conditions indicator (MCI) which captures the approximate influence of both interest rates and the exchange rate (see Box 1 and Figure 10).

Recent changes in monetary conditions

Beginning in 1994, the Reserve Bank shifted the stance of policy towards restraint in order to contain emerging inflation pressures. Monetary conditions tightened sharply up to late 1996, reflecting both a doubling in short-term interest rates (to around 10 per cent) and a rise in the effective exchange rate by one-fifth (equivalent, according to the Reserve Bank's ''rule of thumb'', to a 10 percentage point increase in interest rates). Nonetheless, and although policy changed course well before inflation actually picked up, a repeated breach of the ceiling of the 0 to 2 per cent target band during the course of 1995-96 could not be avoided. While these breaches were small in terms of the Bank's measure of ''underlying'' inflation, they were persistent, leading the authorities to reinforce an already tight monetary stance.

With inflation pressures finally abating following a marked slowdown in economic activity, monetary conditions have eased considerably over the past year or so (by more than 400 basis points interest rate equivalent according to Bank's MCI, Figure 10). Initially, the easing came through a market-led decline in short-term interest rates (which dropped to around 7 per cent) while the exchange rate continued to appreciate. This was the reverse of what the authorities deemed desirable, because the export sector was already hard-pressed by the strong New Zealand dollar while inflation persisted in some domestic sectors of the economy (notably housing). In mid-1997, however, the mix of monetary

Box 1. **Monetary Conditions Indicator**

The Reserve Bank's Monetary Conditions Indicator (MCI) is a short-hand way of describing the approximate influence that both interest and exchange rates have on real economic activity and hence on inflation pressures. The Bank calculates both a real and nominal MCI, indicating that over short periods of time, a nominal measure tracks a real index since inflation differentials (between New Zealand and foreign economies) and inflation expectations change only gradually (see Figure, Panel A). In nominal terms, the indicator is defined as:

$$MCI = [90\text{-day interest rate} - 8.9 + (1/2)*(\log(TWI) - \log(67.1)*100]*100 + 1\,000$$

where TWI is the Reserve Banks' trade-weighted exchange rate (June 1979 = 100). The indicator has a base of 1000 for the December 1996 quarter, corresponding to an average nominal 90-day interest rate of 8.9 per cent and an average trade-weighted exchange rate of 67.1. The weight of 1/2 on the TWI reflects the estimated 2:1 relative impact of interest and exchange rates on economic activity in New Zealand. That is to say, a percentage point change in short-term interest rates has approximately the same impact on aggregate demand as a 2 per cent change in the trade-weighted exchange rate. In its semi-annual *Monetary Policy Statements* and *Economic Projections*, the Bank publishes its outlook for the MCI, 90-day bank bill and trade-weighted exchange rate up to three years ahead (see Table).

As the Figure (panel B) shows, the MCI is sensitive to the weight attached to the interest and exchange rates. In that regard, the Reserve Bank of New Zealand gives much more prominence to the exchange rate than other monetary authorities which use such an indicator. The Bank of Canada, for instance, places a 1/3 weight on the exchange rate although the openness of the Canadian and New Zealand economies is similar. The MCI appears to be much less sensitive to the choice of the effective exchange rate (panel C), lending support to the Reserve Bank's choice of a relatively small basket of currencies to calculate the measure, although exceptional developments (such as the recent turmoil in Asian financial markets) can have a significant impact.

Reserve Bank projections [1]

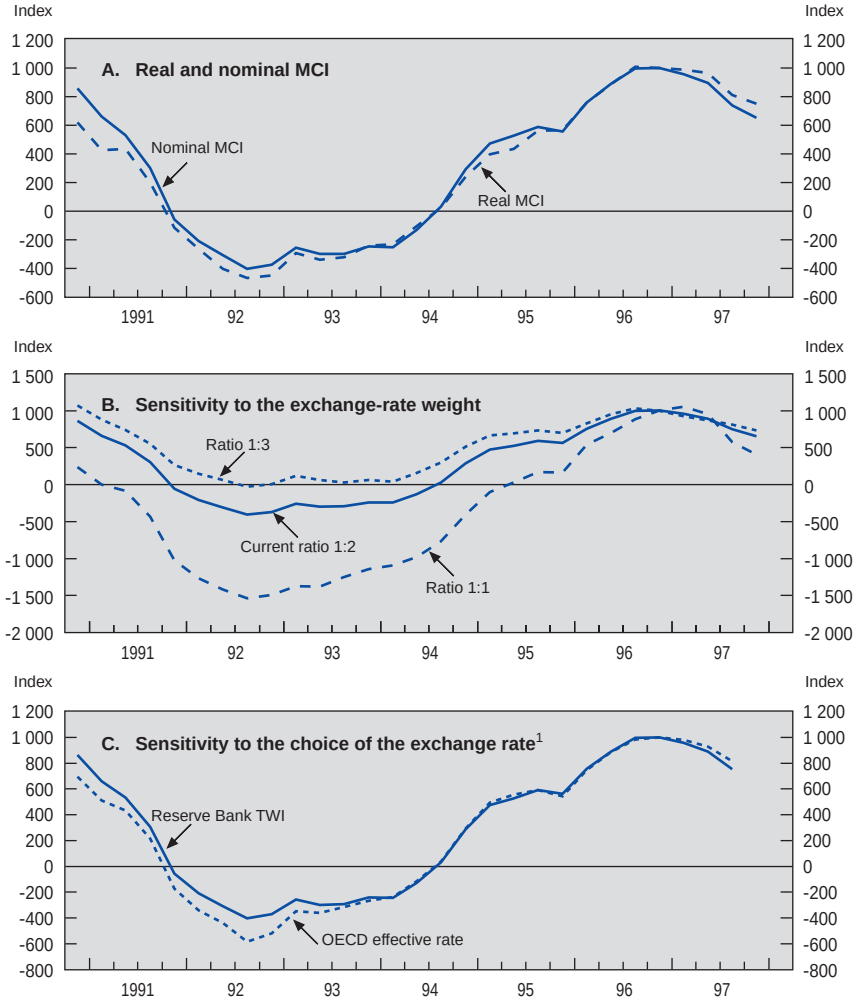
	Quarterly projections							Annual projections [1]			
	June	Sept.	Dec.	Mar.	June	Sept.	Dec.	1997	1998	1999	2000
June 1997											
Underlying inflation	1.6	1.5	1.2	1.0				2.0	1.0	1.1	1.7
Nominal MCI	897.0	825.0	785.0	808.0				960.0	829.0	886.0	1 029.0
TWI	68.0	67.3	66.9	66.8				66.4	67.3	67.2	68.0
90-day bank bill rate	7.2	7.0	6.9	7.2				9.0	7.1	7.7	8.5
September 1997											
Underlying inflation	1.5	1.8	1.6	1.7	1.8			2.0	1.7	1.4	1.5
Nominal MCI	897.0	740.0	725.0	700.0	670.0			961.0	770.0	700.0	900.0
TWI	68.0	64.6	64.4	64.4	64.5			66.4	65.3	65.0	66.8
90-day bank bill rate	7.2	8.2	8.2	8.0	7.6			9.0	7.9	7.5	8.1
December 1997											
CPIX [2]	1.5	1.8	1.8	2.1	2.2	1.9	1.6	2.0	2.1	1.4	1.2
Nominal MCI	897.0	746.0	665.0	650.0	650.0	625.0	625.0	961.0	750.0	625.0	675.0
TWI	68.0	64.8	64.4	64.2	64.2	64.1	64.1	66.4	65.3	64.1	64.2
90-day bank bill rate	7.2	7.6	7.6	7.6	7.6	7.5	7.5	9.0	7.6	7.5	7.9

1. March years. End of year for inflation. Year average for other variables.
2. CPI excluding credit services.

Source : Reserve Bank of New Zealand, *Monetary Policy Statement*, June and December 1997, and *Economic Projections*, September 1997.

MONETARY CONDITIONS INDICATOR (MCI)

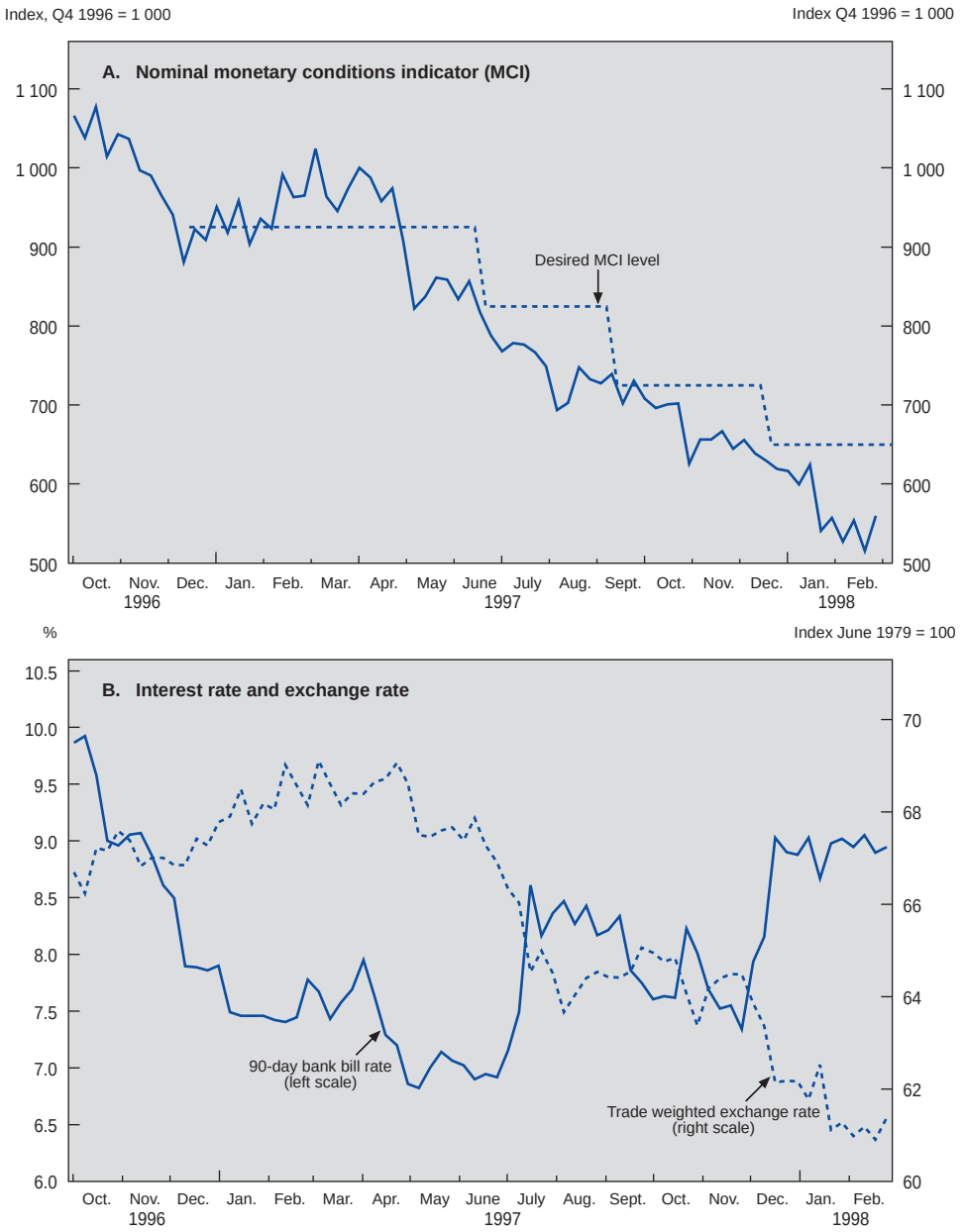
Index, December 1996 quarter = 1 000



1. The Reserve Bank's trade-weighted exchange rate (TWI) is based upon the movements in nominal exchange rates of New Zealand's five largest trading partners (United States, United Kingdom, Australia, Japan and Germany, while the OECD effective exchange rate is based upon a basket of all OECD countries, plus Hong Kong-China, Singapore and Chinese Taipei.

Source: Reserve Bank of New Zealand and OECD Secretariat.

Figure 10. **MONETARY CONDITIONS**



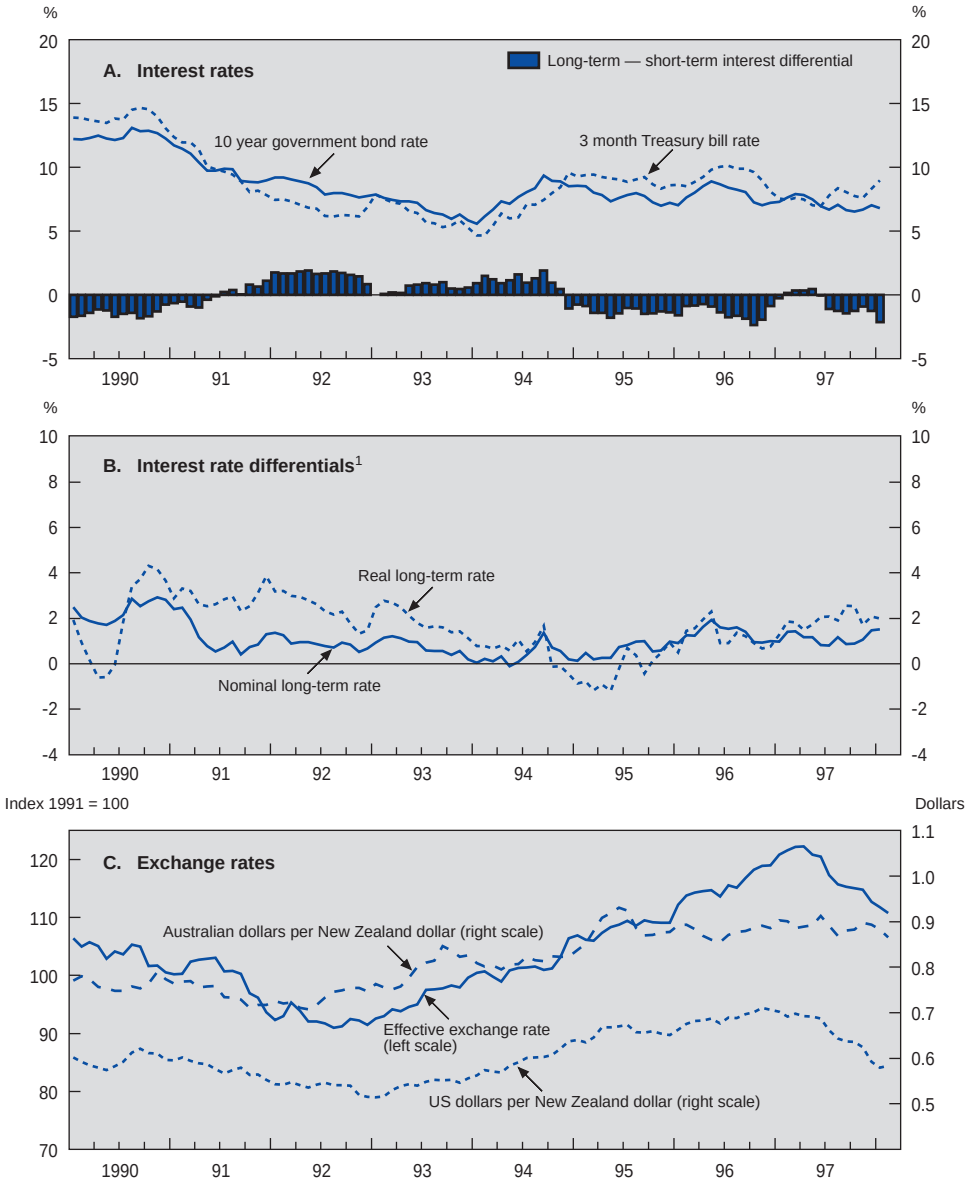
Source: Reserve Bank of New Zealand.

conditions changed sharply. The exchange rate started falling rapidly, partly reflecting the continued easing in the stance of monetary policy, partly international developments and perhaps also concerns about New Zealand's rising current account deficit. This was partially offset by a rise in short-term interest rates, which has taken them about half way back to where they were in late 1996. In recent months, monetary conditions have continued to ease gradually, with the Bank repeatedly validating market developments which had brought down the MCI below its ''desired'' level (Figure 10).

Nonetheless, the stance of monetary policy is still relatively tight, as evidenced by the yield gap, which has been negative since late 1994 except for a short period in early 1997 (Figure 11, first panel). This reflects the renewed firming in short-term interest rates in the face of downward pressure on the exchange rate. Long-term interest rates, on the other hand, have, to a considerable extent, followed international trends, rising during 1994 and again in early 1996 and easing each time thereafter. Specific New Zealand influences, however, have played a role too, as indicated by developments in the interest-rate differential *vis-à-vis* major trading partners (Figure 11, second panel). With economic fundamentals improving, long-term interest spreads decreased during the first half of the 1990s and had virtually disappeared towards the end of that period. Since then, significant interest-rate differentials have re-emerged (especially in real terms). A major factor behind this has been that both actual and expected monetary conditions have tended to firm relative to those in other countries. Another one may have been uncertainties in the run-up to the 1996 election and prior to the formation of the Coalition Government. A widening in the spread between conventional and indexed bond yields seems to lend support to this view. More recently, the deterioration in the current external account could have added to the risk premium built into New Zealand long-term interest rates. Relatively high yields have made Eurokiwi retail bonds attractive to investors. Associated capital inflows have helped to underpin the new Zealand dollar which, despite its recent weakening, is still well above its level of the early 1990s (Figure 11, third panel).

In assessing developments in monetary conditions, the Reserve Bank looks at a wide range of indicators. Given its current policy framework, the focus is on interest rates (including the slope of the yield curve) and exchange rates. Nonetheless, although financial market reform (see Chapter IV) has reduced their

Figure 11. **INTEREST AND EXCHANGE RATE MOVEMENTS**



1. *Vis-à-vis* the weighted average of major trading partners: United States, United Kingdom, Japan, Australia, Germany and Canada.

Source: OECD and OECD, *Main Economic Indicators*.

Table 8. **Money and credit aggregates**

Per cent year-on-year growth rate

	End of month	M1	M3	Private sector credit	Domestic credit	CPI
1992	March	2.1	11.3	5.9	8.5	0.8
	June	6.8	7.8	3.8	6.0	1.0
	September	2.8	13.5	13.7	12.6	1.0
	December	0.7	10.7	14.2	10.7	1.3
1993	March	–2.7	6.2	8.7	6.5	1.0
	June	–0.2	9.6	11.1	8.5	1.3
	September	5.1	5.3	4.2	2.7	1.5
	December	8.7	5.4	9.1	6.8	1.4
1994	March	15.1	6.6	13.0	10.3	1.3
	June	22.0	5.8	10.6	9.2	1.1
	September	11.9	4.2	10.5	6.7	1.8
	December	6.0	3.5	8.2	6.5	2.8
1995	March	2.6	6.7	7.8	4.2	4.0
	June	–1.4	8.8	11.5	7.1	4.6
	September	–1.7	10.2	12.1	11.6	3.5
	December	6.3	15.6	14.2	11.6	2.9
1996	March	7.5	11.8	15.2	11.5	2.2
	June	0.6	17.4	16.6	12.2	2.0
	September	1.1	13.1	14.8	11.8	2.4
	December	–3.2	11.6	11.6	9.3	2.6
1997	March	8.1	11.2	11.3	11.1	1.8
	June	8.7	4.8	9.4	9.7	1.1
	September	12.8	7.8	10.8	10.5	1.0
	December	8.0	2.0	10.0	9.5	0.8

Source: Reserve Bank; OECD.

indicator value, monetary aggregates are still monitored, and the Bank has begun a project to improve data quality in this regard. Growth of the broad aggregate M3 has declined markedly since mid-1996 (Table 8). The expansion of private sector credit has come off similar peak rates but has slowed less, reflecting continued strength of lending to households. These trends are broadly consistent with output and price developments, following the slowdown of economic activity with a lag of several quarters and being more or less coincident with the easing of inflation pressures.

The challenges ahead

In recent years, monetary policy has been successful in maintaining low inflation and lowering inflation expectations. However, as indicated above, this has involved very tight monetary conditions over a protracted period of time, with high real interest rates by international comparison and a sharply appreciating exchange rate, and a marked slowdown in economic activity, with the export sector bearing the brunt of monetary restraint. Now that the economy seems set to regain momentum, the challenge for the central bank in the period ahead will be to generate monetary conditions that both preserve price stability and support a stable recovery.

The widening of the inflation target band should facilitate the task of monetary policy in this respect, as it gives greater room to accommodate forecast errors and unforeseen shocks. In addition, a wider target range may be more compatible with the lengthening of the Reserve Bank's policy horizon in recent years, driven partly by experience and partly by firmer empirical evidence on the impact of policy action on inflation.[2] The widening of the target band effectively gives the Reserve Bank more scope to dampen output variability while at the same time pursuing the inflation target.

The recent adoption of a new inflation target variable, which excludes interest payments is unlikely to have significant implications for the conduct of monetary policy. The change should, however, simplify the Reserve Bank's accountability for inflation outcomes, eliminating the main source of difference between the previous target variable (that is, the overall CPI) and the Bank's measure of ''underlying'' inflation. The authorities should, nonetheless, continue to provide a regular accounting for inflation outcomes and, especially, for the impact of other shocks of the kind outlined in the new PTA.

The recent introduction of a formal monetary conditions indicator (MCI) as a policy instrument should allow the Reserve Bank to signal its intentions more clearly while focusing market attention on the overall level of monetary conditions, rather than its individual components. Indeed, as noted above, the Bank has, from time to time, experienced problems with signalling, with overall monetary conditions moving in a way that was not intended despite clarifying official statements. This may have reflected both uncertainty about the respective roles of interest rates and the exchange rate in the policy framework and the use of qualitative rather than quantitative terminology by the Bank when referring to

monetary conditions. The use of the MCI, and the publication of a conditional projection for this Indicator (Box 1), has not eliminated, however, the potential for tensions between the Bank and the financial markets as to the appropriate level of monetary conditions (as illustrated in Figure 10).

Specific features of the New Zealand economy related to the housing sector help explain why maintaining low inflation has required higher interest rates than in any other inflation-targeting country. As noted, the associated exchange rate appreciation has squeezed the export sector, although inflation pressures have emerged primarily in the non-tradeables sector, and in particular the housing market. Notwithstanding the subdued profile for inflation overall, house price increases and growth in bank lending for housing purposes have remained strong. This is attributable in part to the traditional preference of New Zealanders for investing in real estate. Other factors which appear to have been relevant include: a pick-up in population growth as a result of strong immigration; aggressive marketing of home loan finance by banking institutions (see Chapter IV); slow response on the housing supply side due to restrictive town planning requirements; and the favourable tax treatment of owner-occupied housing. Structural reforms in these areas (see Chapter III) could thus help reduce the burden on monetary policy in keeping inflation under control.

Fiscal developments have also been an important factor shaping monetary conditions. As noted, although the government continues to run budget surpluses, tax cuts and increased spending have meant that fiscal policy has become more stimulative. Many of the fiscal measures taken are desirable on microeconomic grounds, but the timing and magnitude of the policy shift has added to inflation and current account pressures. As discussed below, a cautious fiscal stance would also clearly reduce the risk of undue pressure being placed on monetary policy.

Budgetary policy

Reduction in the fiscal surplus

Following a decade of large, persistent budget deficits, New Zealand's fiscal position changed dramatically during the first half of the 1990s: on a national accounts basis, the general government financial balance moved from a deficit of 5½ per cent of GDP to a surplus of 3 per cent. According to OECD Secretariat

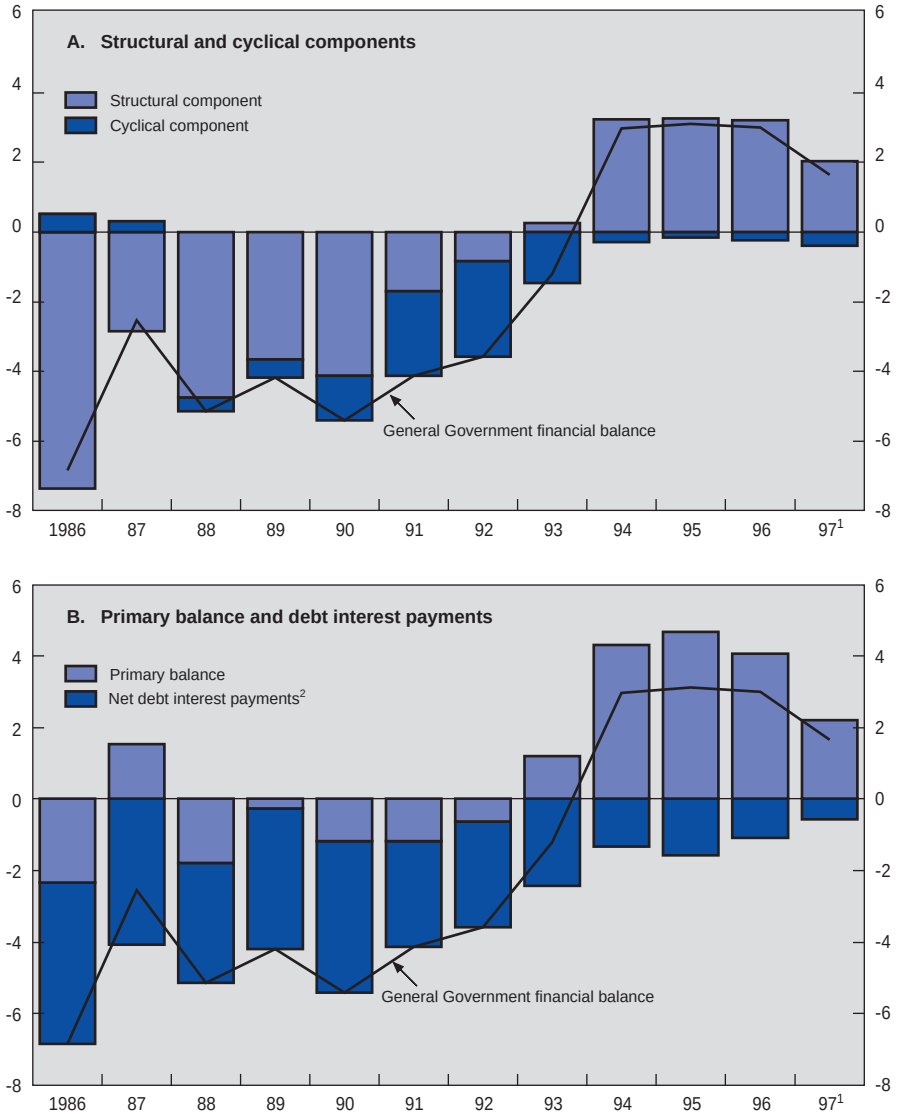
calculations, four-fifths of this improvement was due to discretionary measures, the remainder reflecting cyclical influences (Figure 12, first panel). Despite a very tight fiscal stance, progress in budget consolidation was at first gradual given the adverse effect of the economic recession on government finances, but it gathered considerable momentum when activity picked up in 1993-94. Spending cuts were mainly responsible for this remarkable turnaround, with revenue remaining roughly stable relative to GDP. A reduction in net debt interest payments, which had accounted for a large part of the budget deficits, also contributed (Figure 12, second panel).

The fiscal progress outlook presented in the 1994 Fiscal Strategy Report (which accompanies the Budget) suggested that, by the end of the decade, a no-policy change approach would result in a budget surplus of about 8 per cent of GDP and a net public debt approaching zero. The government therefore declared its intention to reduce taxes subject to certain conditions, notably the maintenance of budget surpluses and the absence of strong inflationary and balance-of-payments pressures. In late 1995, the government indicated that it was satisfied that these conditions would be met and announced both tax cuts and expenditure increases in priority areas. Despite these measures, public spending was projected to decline further relative to GDP and the budget surplus to continue to rise (to just over 30 per cent and 5½ per cent of GDP, respectively, towards the end of the decade). In the event, the expenditure ratio has stalled at around 35 per cent and the budget surplus has fallen to 1½ per cent (Figure 13).

The extent of, and reasons for, the reduction in the fiscal surplus are summarised in Table 9 which shows changes in budget projections for the current year (1997/98) since late 1994. Over this period, the forecasts of the ‘‘operating surplus’’ (see Annex II of the 1996 Economic Survey) have fallen from NZ$ 7.6 billion to NZ$ 1.5 billion (roughly the same as a percentage of GDP). More than half of the deterioration in the fiscal position is attributable to policy measures, the remainder to forecast errors which affected revenue and expenditure estimates to about the same extent. The first major downward revision to the expected budget surplus in late 1995 mainly reflects tax reductions[3] and discretionary expenditure increases. ‘‘Forecast errors’’ mostly affected the budget estimates in the recent period. In part they reflect the fiscal impact of factors unrelated to economic conditions, such as privatisation (which, in some cases, involved revenue losses and expenditure increases) or Waitangi Treaty

Figure 12. **DECOMPOSITION OF THE GENERAL GOVERNMENT FINANCIAL BALANCE**

Per cent of GDP (National Accounts Basis)

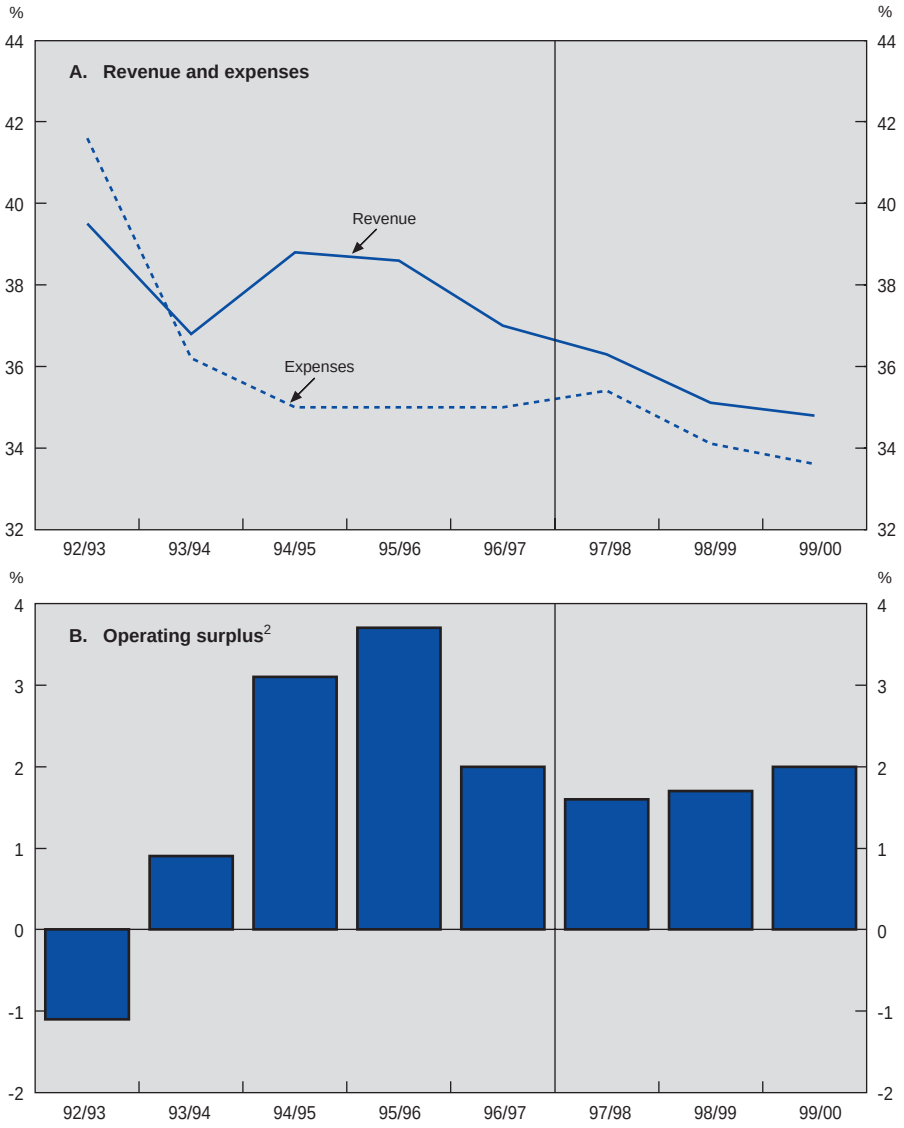


1. 1997 data are OECD Secretariat projections.
2. Interest payments are shown with a negative sign.

Source: Statistics New Zealand; OECD Secretariat estimates.

Figure 13. **BUDGETARY DEVELOPMENTS**[1]

As a percentage of GDP



1. Central government. Accrual basis. Projections from 1997/98 onwards from 1997 December Fiscal Update.
2. Including net balance of State-owned enterprises and crown entities.

Source: New Zealand Treasury.

Table 9. **Falling fiscal surplus**

NZ$ billion

A. Projected 1997/98 operating balance	
1994 DEFU	7.63
1995 Budget	7.81
1995 DEFU	3.99
1996 Budget	3.29
1996 Pre EFU	3.39
1996 DEFU	3.13
1997 Budget	1.53
B. Change from 1994 DEFU to 1997 Budget	
Revenue	–2.46
Tax policy	–1.08
Forecasting[1]	–1.38
Expenses	3.61
Policy	2.39
Forecasting[1]	1.22
SOE/CE Surplus	–0.03
Balance	–6.10
Policy	–3.47
Forecasting[1]	–2.63

Note: DEFU: December Economic and Fiscal Update.
Pre EFU: Pre-election Economic and Fiscal Update.
SOE/CE: State-owned and Crown Enterprises.

1. Includes changes attributable to different macroeconomic conditions than projected, revised tax and welfare bases and one-off factors such as dividend flows.

Source: New Zealand Treasury.

settlements.[4] But about half of the overall effect of forecast changes can unambiguously be traced to revisions to macroeconomic projections. The non-anticipated slowdown in economic growth, in particular, significantly reduced tax revenues. Moreover, higher-than-expected inflation led to additional government spending on indexed social benefits.

As noted, how far the fiscal surplus has fallen has become clear only quite recently. The 1996 Budget still expected an ‘‘operating surplus’’ of close to 3 per cent of GDP for the fiscal year 1996/97 (ending in June), despite increased social expenditure and the implementation of the first stage of the tax reduction programme (see Chapter III for details). The limited decline in the budget surplus was projected to be followed by a renewed increase in the subsequent years. In

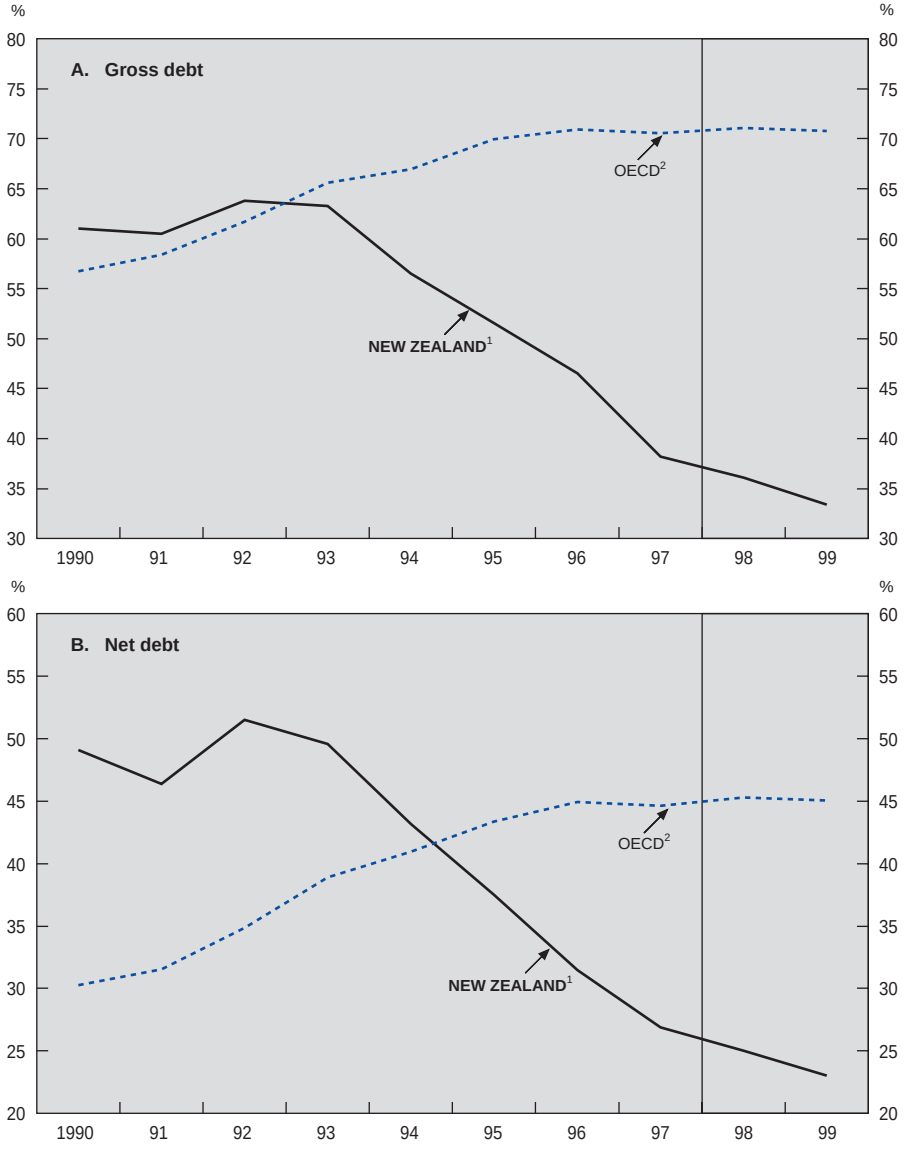
the event, in contrast to the years before when it constantly exceeded expectations, the budget surplus narrowed to 2 per cent of GDP in 1996/97. This mainly reflected a number of one-off factors and the above-mentioned effects of less favourable economic conditions. In addition, there were some foreign exchange losses compared with significant gains in previous years (which were not forecast as a matter of policy).

Given the lower outcome for 1996/97, slower economic growth and the Coalition Agreement's spending initiatives, the 1997 Budget projected the ''operating surplus'' to decline further in the fiscal year 1997/98, to 1½ per cent of GDP, before rising again gradually. Fiscal outturns to date suggest that the outcome for the current year could be somewhat better than forecast. The projections contained in the 1997 Budget incorporate, for the first time, expenditure provisions for initiatives to be announced in coming Budgets, up to the Coalition Agreement's NZ$ 5 billion spending cap. This has the effect of making fiscal planning more realistic, thereby limiting the possibility of further slippage owing to policy decisions. In addition, to assist with containing expenditure within announced limits, a reprioritisation process is underway which aims to identify at least NZ$ 400 million low priority spending. The December 1997 Economic and Fiscal Update shows some further slippage on the expenditure side due to higher welfare benefits and financing costs. In the current fiscal year this is expected to be offset by higher tax revenue, but for coming years the budget surplus was revised downward somewhat.

Despite less favourable than expected fiscal outcomes, continuing budget surpluses have meant that public debt ratios have declined rapidly (Figure 14). Over the past five years, gross public debt has fallen from 64 to 38 per cent of GDP, and net public debt from 51½ to 27 per cent. Meanwhile, the respective ratios for the OECD average have increased to 71 and 45 per cent. Although the data for New Zealand are not strictly consistent with those for the rest of the OECD area as they do not include local government, they are roughly comparable since, in the case of New Zealand, local government indebtedness is relatively small relative to GDP. The declining debt ratio is reflected in lower interest payments (Figure 12), which has helped contain overall expenditure growth. In recent years, the government has fully repaid net foreign-currency debt, which in the early 1990s accounted for nearly half of its liabilities, thereby eliminating a major fiscal risk.

Figure 14. **GOVERNMENT DEBT**

As a percentage of GDP



1. Central government. Projections from 1997 December Fiscal Update.
2. General government.

Source: New Zealand Treasury and OECD Secretariat estimates.

Outlook and policy options

As underlined above, one of the principles of responsible fiscal management in the 1994 Fiscal Responsibility Act is that the government should achieve budget surpluses every year until ''prudent'' levels of debt have been achieved, and to maintain budget balance, ''on average over a reasonable period of time'' thereafter. The term ''prudent'' is not defined in the Act, but left open for the government to define in its Fiscal Strategy Reports. Current long-term objectives call for: a reduction in gross and net public debt to below 30 and 20 per cent of GDP, respectively; budget surpluses, on average, over the cycle once the debt reduction has been achieved; and a decline in public expenditure to below 30 per cent of GDP in order to create room for reducing taxes. These goals were initially expected to be attained before the end of the decade (see 1996 Economic Survey of New Zealand). According to the December 1997 Economic and Fiscal Update, by 1999/2000, with a slightly rising budget surplus, gross and net public debt will have fallen to 31 and 21 per cent of GDP, respectively, while the expenditure ratio will have edged downwards to 33½ per cent (see Figures 13 and 14).

Notwithstanding the government's efforts to improve fiscal planning, there are a number of risks and uncertainties associated with these projections. In particular, they assume that economic growth will average around 3 per cent per annum. As discussed in Chapter I, this might be optimistic given recent developments in Asia. On the other hand, if such growth, in excess of that in potential output, is accomplished, this might lead to inflation and balance-of-payments pressures, necessitating corrective policy action. The question thus arises whether current and projected surpluses are a sufficient ''buffer'' against these risks and whether the authorities should not scale back their medium-term expenditure plans and/or delay the planned tax cuts in order to ensure the achievement of their fiscal objectives.

Alternatively, it could be argued that a further decline in the budget surplus, or even temporary deficits, are not necessarily inconsistent with maintaining a ''prudent'' level of debt, as the government's objectives are, to some extent, arbitrary and New Zealand's public debt is already low by international standards. However, there are a number of reasons which speak against further fiscal slippage and rather suggest that the authorities should, at least, strive to meet current budget targets. As noted, although under the current framework fiscal policy is in principle medium to long-term orientated, the government recognised

that it has a role to play in ensuring macroeconomic stability in the short run when it made the implementation of tax cuts subject to the fulfilment of certain conditions. In particular, this measure should not lead to strong inflation and balance-of-payments pressures. In the event, while inflation has abated, the current account deficit has widened considerably, adding to New Zealand's net foreign liabilities, which are already the highest in the industrialised world. In such circumstances, the disappearance of the fiscal surplus could adversely affect investor confidence and trigger a sharp, market-driven currency correction, obliging the Reserve Bank to tighten its policy stance to protect the inflation target.

Over the longer term, demographic developments will put strong pressures on the fiscal position. Running surpluses would strengthen the budget's capacity to cope with rising pension and health-care costs. At the same time, reforms in these areas are required to contain spending pressures. This would create room for reducing the relatively high tax burden, as called for by the government's long-term fiscal objectives. These issues are discussed in the following Chapter.

III. Structural policies

Since the mid-1980s, New Zealand has undertaken what a recent commentator describes as ''one of the most notable episodes of liberalisation that history has to offer'',[5] transforming a sheltered and heavily-regulated economy into one of the most open and market-oriented of the OECD area. Nevertheless, despite an impressive economic performance in recent years, overall output growth has not been sufficiently robust in the post-reform period to markedly elevate New Zealand's *relative* standard of living. This chapter briefly examines the possible reasons for this and then reports on measures taken in a number of areas over the past eighteen months or more to ameliorate this situation, including: the labour market; international trade and investment; taxation; superannuation; health; education; privatisation; regulation; environment; infrastructure; and immigration. A concluding section identifies unfinished business in the structural policy field.

Microeconomic reform to date: an overall assessment

It is inherently difficult to disentangle the impact of specific reforms. International experience suggests that it is the combination of well-designed economic policies, working together over a broad field, which is essential for success on a macro scale.[6] In that regard, New Zealand's structural policy framework probably provides a favourable environment. In key areas such as labour and financial markets and international trade, in particular, its standing among OECD countries is high. For example: the Employment Contracts Act arguably makes New Zealand's labour markets the least regulated in the OECD area; there are no entry or cross-ownership barriers, nor regulations prohibiting the provision of financial services across institutions which creates a financial sector which is unmatched in its openness; and its trade regime is very liberal by international comparison.

Nevertheless, some aspects of New Zealand's policy framework could also be considered somewhat inconsistent, for instance: the labour market is flexible but unemployment-benefits are relatively high given their unlimited duration and a statutory minimum wage has been maintained; import barriers are low, but a significant share of the export market is monopolised; as discussed in the next Chapter, there is a liberal financial sector, but foreign investment restrictions exist in other areas; and though government support to industry is virtually nil, there remains a significant portion of national output still being generated by State-owned enterprises or Crown entities.

Performance indicators that should reflect the impact of structural reform are summarised in Table 10. Compared with the major and fast growing smaller OECD countries, Ireland and New Zealand are estimated by the OECD Secretariat as those having raised the potential rate of economic growth most considerably (in the latter case from around 1½ per cent in the 1970s and 1980s to 3 per cent more recently;[7] details of the OECD Secretariat's methodology for calculating potential output for New Zealand are given in Annex I). However, New Zealand's potential growth still falls short of that in a number of countries

Table 10. **Indicators of structural performance in selected OECD countries**[1]

	Potential output growth[2]				Structural unemployment rate[3]				Total factor productivity[2]		
	1970-79	1980-89	1990-96	1997	1970-79	1980-89	1990-96	1997	1970-79	1980-89	1990-96
New Zealand	1.5	1.7	2.3	3.0	0.6	4.2	6.9	6.0	–0.2	1.2	1.3
United States	3.0	2.7	2.3	2.4	6.7	6.6	5.8	5.6	0.8	1.0	0.5
Japan	4.4	3.9	2.5	2.0	1.8	2.5	2.6	2.8	2.0	1.7	–0.1
Germany	2.8	2.1	3.9	2.4	2.3	6.4	8.7	9.6	1.9	1.0	–0.6
France	3.4	2.3	1.9	2.1	3.4	8.4	9.7	10.2	2.1	1.7	0.6
Italy	3.7	2.5	1.7	1.7	4.8	7.9	10.3	10.6	2.1	1.3	1.2
United Kingdom	1.8	2.5	2.1	2.6	5.1	10.7	8.1	7.1	1.6	2.2	1.6
Canada	4.3	2.9	2.2	2.6	6.7	8.6	8.9	8.5	1.5	0.5	0.0
Australia	3.7	3.3	2.8	3.6	3.9	7.5	7.9	7.5	1.2	0.7	1.6
Ireland	4.8	2.9	6.2	6.7	6.4	12.1	13.3	11.2	3.9	3.6	3.2
Netherlands	2.3	2.0	2.7	2.8	2.9	7.2	6.3	5.5	2.3	1.3	1.0
Norway	3.7	2.4	1.9	2.7	1.8	2.9	4.8	4.4	1.8	–0.4	1.1

1. The structural unemployment rate is defined as the NAWRU, or non-accelerating wage rate of unemployment; total factor productivity is that of the business sector only.
2. Average percentage change.
3. Period average.

Source: OECD Secretariat estimates.

(including Australia). Structural unemployment is substantially higher than in the 1970s (as in all countries except the United States), but it remains relatively low by international comparison, and New Zealand is one of the few countries where it is estimated to have fallen in recent years. Most importantly, from the perspective of augmenting the standard of living, potential output growth in the 1980s and 1990s has not been lifted to the extent hoped for by the authorities. (Some forecasters like the Reserve Bank of New Zealand in their December *Monetary Policy Statement*, project a slowing of potential output growth from the current rate of 3.6 to 2.6 per cent in 2000, and a decline in total factor productivity growth from 1 to 0.5 per cent over the same period.) While New Zealand's performance in this respect was markedly worse than for other OECD countries in the past, it now ranks about average.

In the period since the onset of reform, according to OECD Secretariat estimates, improvements in potential output growth in New Zealand have been primarily driven by increases in both the capital stock and working-age population, and to a lesser extent a decline in the structural rate of unemployment, with only an incremental contribution from accelerating trend productivity (Table 11). This begs the question: why has total factor productivity not improved more, given the sweeping nature of economic reforms undertaken to date? A number of

Table 11. **Contributions to potential output growth**[1]

Percentage change at annual rates

	1986-89	1990-93	1994-97
Trend productivity	0.6	0.7	0.8
Capital stock	0.6	0.1	0.9
Trend participation rate	0.0	0.0	0.1
Working-age population	0.5	0.8	1.0
NAWRU[2]	–0.4	–0.1	0.2
Potential output	1.3	1.5	3.0
Memorandum item			
Real GDP growth[3]	0.7	1.0	3.5

1. Details concerning the OECD Secretariat's method of calculating potential output growth for New Zealand can be found in Annex I.
2. NAWRU is defined as the non-accelerating wage rate of unemployment.
3. Production based measure of real GDP.

Source: OECD Secretariat estimates.

elements might have played a role in explaining the slow response of total factor productivity growth:[8]

- First, it takes time for (deeply entrenched) economic behaviour to change and for both producers and consumers to adjust to a different set of policies and incentive structures.[9] After all, although the reform programme was initiated in 1984, many of the key policies are still being implemented and as such, have yet to have their full effects felt. For example, trade liberalisation was pursued from the start but remains ongoing; privatisation began in 1988 and is continuing, albeit slowly; the overhaul of the labour market was put into place as late as 1991; and changes to environmental (resource) management practices have only just started to evolve.
- Second, although there is a range of evidence of limited adjustment within and between sectors, given offsetting developments there are few signs of structural change at the aggregate level. In the labour market for example, rationalisation seems to have taken place in ways which have not yet resulted in significantly higher output and productivity growth.[10] The destruction and creation of jobs over the period 1985-95 was enormous (Table 12), causing substantial shifts of labour from shedding (primary producers and manufacturing) to employing sectors (mainly services) for which the inter-industry transfer of human (and probably physical) capital may not have been a good match. Moreover, these employing sectors have not necessarily been those which have been growing strongly in output terms (building and construction, wholesale and retail trade, and financing, insurance and real estate). A recent study tentatively concluded that New Zealand continues to have too high a proportion of modestly or badly performing sectors.[11] The existence of a flexible labour market, which has made it easier to employ (relatively low priced) labour, has triggered a strong increase in employment but possibly also led to some substitution towards labour use, including by allowing low-productivity firms to survive longer than they otherwise would have.
- Third, up to the early 1990s structural adjustment coincided with poor real output growth, reflecting the international recession and macroeconomic stabilisation. In this macroeconomic environment, it is perhaps not surprising that the beneficial effects of structural reform would not readily

Table 12. **Employment by industry**[1]

Thousands

	1986/87	1996/97	Net gain/loss	Sectoral contribution to the growth in employment (per cent)
Agriculture, hunting, forestry, fishing	164.2	159.5	–4.7	–0.3
Mining and quarrying	6.1	5.3	–0.8	–0.1
Manufacturing	318.0	286.8	–31.2	–2.0
Electricity, gas and water	16.6	13.7	–2.9	–0.2
Building and construction	103.0	110.4	7.4	0.5
Wholesale and retail trade	295.8	360.0	64.1	4.2
Transport, storage and communication	109.4	98.8	–10.6	–0.7
Financing, insurance, real estate, etc.	133.5	188.7	55.2	3.6
Community, social and personal services	389.8	458.3	68.6	4.4
Not specified	7.7	6.0	–1.7	–0.1
Total all industries	1 544.1	1 687.5	143.4	9.3
Memorandum items:				
Unemployed	64.2	109.9	45.7	
Labour force	1608.3	1797.4	189.2	

1. New Zealand fiscal years.

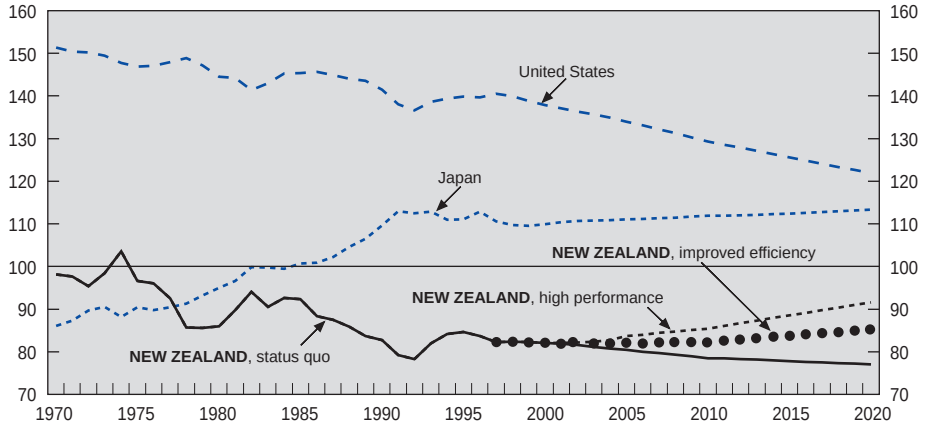
Source: Statistics New Zealand, Key Statistics.

emerge.[12] However, in recent years economic conditions have been much more favourable.

– Fourth, despite the extensive nature of the reforms, there are a number of areas where potentially important rigidities and lack of competition remain; incentive structures may still be distorting outcomes; and government regulation imposes onerous burdens on business.

In the absence of an acceleration in the rate of productivity growth, it is unlikely that New Zealand's per capita incomes (measured in purchasing power parities) will catch-up to the OECD average. Using current estimates of factor inputs, productivity and population growth, a long-term scenario constructed by the OECD Secretariat highlights the potential under the ''status quo'' for an ongoing gap in New Zealand's standard of living relative to that of other Member countries (Figure 15, details of the scenario are outlined in Annex II). Making substantial progress towards closing that gap over the next decades would probably require significant and sustained improvements in both economic efficiency and resource allocation. For example, even combining a long-term pickup in total

Figure 15. **PROJECTIONS OF GDP PER HEAD IN SELECTED OECD COUNTRIES**[1]
Current PPPs, OECD = 100



1. See Annex II for details of the assumptions underlying the projections.
Source: OECD, *National Accounts* and Secretariat estimates.

factor productivity growth from the currently projected rate of around 1 to 1¾ per cent per annum, a decline in the structural rate of unemployment from 6 to 3 per cent, and a constant rate of capital accumulation of 3 per cent per annum still leaves New Zealand's per capita incomes below the OECD average by the year 2020.[13]

Recent progress

Following the major labour market reforms in the early 1990s policy efforts on the structural side have been aimed at implementing and consolidating past measures. The Coalition Agreement (1996) and the 1997 Budget re-emphasise microeconomic reform. The Agreement – signed in December 1996 between the National and New Zealand First political parties and extending over the period until the General Election due in 1999 – sets out, in general terms, the objectives and parameters of the Coalition government's policy agenda which includes, in the structural area, measures to: further trade liberalisation; reduce long-term

Table 13. **The Coalition Agreement: major structural policy initiatives**

The National-New Zealand First Coalition Agreement (December 1996) sets out the broad economic and social strategy of the Coalition government for a three-year term concluding with the 1999 General Election

Policy area	Major initiatives
Accident compensation	Control the escalating costs of the Accident Rehabilitation and Compensation Insurance Corporation; consider experience rating; expediting clients re-entry into the workforce.
Compulsory superannuation	Conduct a Referendum on a compulsory savings scheme to increase the national savings rate; introduce such a scheme on 1 July 1998, if approved by the Referendum.
Education	Improve education and skill levels through additional funding for early childhood education and addressing the problems of teacher supply and accommodation for the compulsory sector.
Employment	Reduce long-term unemployment; require registered unemployed to undertake a prescribed level of work or training in return for the unemployment benefit; develop a more regionally driven approach to achieving employment policy objectives; raise the adult minimum wage to NZ$ 7 from 1 March 1997 and review the minimum wage for young people; review decisions of the Employment Court and the Court of Appeal with regard to personal grievances and procedural matters.
Environment	Review Resource Management Act for clarity and action in decision making; introduce ''polluter pays/degrader pays'' strategy with a view to implementation before 1999.
Exports/trade	Actively pursue border liberalisation and other agreed positions taken in the Uruguay Round; proceed with the 1998 Tariff Review, taking into account the policies and progress of other trading partners.
Foreign investment	Maintain an open foreign investment policy; however, strengthen the ''national interest'' by tightening restrictions on the sale of farm land; retain public ownership of strategic assets (Electricorp, Contact Energy, Transpower, New Zealand Post, TV1 and Radio New Zealand).
Health	Ensuring principles of public service replace commercial profit objectives for all publicly-provided health and disability services; limit private sector involvement in services usually provided by the public sector; replacing Crown Health Enterprises with Regional Hospital and Community Services.
Immigration	Maintain current immigration flows as per the last quarter of 1996 until the Population Conference has been held in May 1997.
Local government	Undertake regular audits of economy, efficiency and effectiveness of local government units, including the use of the Resource Management Act.
Taxation	As a matter of urgency, establish a committee of experts to recommend policies with respect to, among other things: business taxation; tax evasion; and the coherence of the tax system.

Source: The National-New Zealand First Coalition Agreement, 11 December 1996.

unemployment and to replace the unemployment benefit with a ''community wage'' for work or training; improve health and education outcomes; and introduce polluter/degrader pay principles to environmental management (Table 13). On balance, the Agreement reinforces the commitment to past reforms (except perhaps, in the area of health), and in many ways enhances that position through initiatives which will create greater incentives for New Zealanders to provide more for their own well-being, and to face a *quid pro quo* when receiving state benefits. But it also reflects a desire to strengthen or ''protect'' national interests, through tightening restrictions on the sale of rural land and excluding privatisation of certain state-owned assets.

The 1997 Budget put into place some of the Coalition's policy platform, with an emphasis on promoting economic growth and bolstering business confidence. Key elements (which are further elaborated on below) are:

- liberalising air transport to help reduce the disadvantages of New Zealand's geographical isolation;
- a commitment to unilaterally reduce tariffs to zero (including for motor vehicles), well in advance of the 2010 deadline set by APEC member countries;
- improving business performance, principally through considering further privatisation (on a case-by-case basis) of non-strategic assets; and
- raising the quality of education through increased funding.

Labour market

Over the past year or so, several initiatives were launched in this area: focusing on upgrading basic educational levels, skills and competencies; providing resources to assist those at risk of long-term unemployed or benefit dependency, who would not move into paid employment without help; and addressing shortcomings in the tax/transfer system. In general terms, the objectives are to enhance education standards, improve labour market prospects for the long-term unemployed and the young, and to increase work incentives for beneficiaries of state-assistance and for those with low incomes. In the latter instance, the tax/transfer system has for many years placed burdens in the way of beneficiary families who need to work part-time. Some of these measures were described in the previous *OECD Survey of New Zealand.*[14] In brief, the main elements of

policy and the progress made in their implementation so far consist of the following:[15]

- The Employment Service has been progressively implementing an Individualised Employment Assistance (IEA) case-management approach which will assist in better targeting employment resources on the basis of risk of long-term unemployed or benefit dependency. A Needs Based Assistance Assessment tool has been developed which focuses on identifying an individual's employability, capacity to find work within the opportunities offered in their local labour market, and willingness to take up such work opportunities.[16] The IEA programme will be operational in April 1998.
- Raising the school leaving age from 16 to 17 years, beginning with the 1998 academic year, in order to increase student participation in formal education and to provide greater incentives for schools to respond to at-risk pupils. However, at this time, the date of implementation of this measure has been deferred.
- Extending the coverage of active labour market policies such as Youth Action (for those aged 16-20) and Job Action (for those job seekers registered as unemployed for two or more years).[17] A range of programmes directly targeted at Maori and Pacific Islands job seekers (see Box 2 for details) were also introduced and these are now operating. In addition, a Skill Enhancement programme provides Maori and Pacific Islands people under the age of 21 with fully subsidised access to vocational education and training. At any one time, around 750 trainees are involved and a recent review of the programme has led to additional resources being allocated to it from July 1997.[18]
- An increase in a range of income support measures (such as Family Support and Guaranteed Minimum Family Income), the introduction of an Independent Family Tax Credit, and the lowering of abatement rates for beneficiaries of a number of welfare programmes (such as the Domestic Purpose, Widows' and Invalids' Benefits). These changes, which substantially increase the rewards from paid (and particularly part-time) work (Table 14), are being phased in over two years with the first step already taken in fiscal year 1996/97. In addition to these initiatives, the responsibilities of beneficiaries (for those receiving Domestic Purpose,

Box 2. **Active labour market policies targeted at Maori and Pacific Island job seekers**

Unemployment rates between Pakeha (those of European origin) and Maori and Pacific Islands people remain at substantially diverse levels. Thus, any progress in reducing New Zealand's' aggregate unemployment rate will depend, in large part, on progress in improving labour market outcomes for these latter groups. In that regard, the government has recently initiated separate Maori Labour Market and Pacific Islands Labour Market strategies. These include additional funding for education (Maori) and child-care centres (Pacific Islands) and the following active labour market policies.*

- **The Maori Youth programme:** designed for Maori job seekers aged 16-24 years to increase their self esteem and self management skills, to install work habits and help them identify appropriate career and training options.
- **The Job Plus Maori Assets pilot programme:** designed to allow Maori communities access to Job Plus wage subsidies for temporary work related to projects involving economic or other development of Maori owned assets.
- **The Wahine Pakari programme:** provides business skills training for Maori women. The programme aims to improve the employment opportunities and prospects of Maori women by increasing their participation in self employment, business, or other employment, or education and training.
- Projects to aid liaison between school, community and Iwi groups in Northland, the East Coast and South Auckland (areas with large Maori populations) to focus resources and support on schools to improve Maori student achievement levels were implemented. A similar programme was established in Auckland, Tokoroa and Wellington (areas with large Pacific Island populations) to assist Pacific Islands students.
- A Pacific Islands Employment Co-ordinator was appointed in April 1996 responsible for improving the co-ordination and responsiveness of Employment Service Programmes and services to Pacific Islands job seekers. In addition, a Pacific Islands Local Employment Co-ordination Group was established in South Auckland.
- **Tama Tane:** a five-day job information seminar designed to assist Pacific Islands men over the age of 35 to return to the workforce was established.
- The government also announced programmes to assist potential Pacific Islands providers of employment assistance to meet the standards needed to tender for contracts with the New Zealand Employment Service.

* More details can be found in New Zealand Treasury, *Tax Reduction and Social Policy Programme details*, February 1996.

Table 14. **Gains of Domestic Purposes Beneficiary**

With one child who works part-time for NZ $180 per week

	Before July 1996	From 1 July 1996	Gain	From 1 July 1997	Gain
Gross part-time earnings	$180 a week	$180 a week		$180 a week	
Abatement of benefit	–$76.00	–$30.00		–$30.00	
Tax at secondary rate	–$50.40	–$43.20		–$37.80	
Net part-time income of beneficiaries not on Accomodation Supplement	***$53.60***	***$106.80***	***+$53.20***	***$112.20***	***+$58.60***
Accomodation supplement abatement	–$20.00	–$20.00		–$20.00	
Net part-time income of beneficiaries receiving at least $20 a week in Accomodation Supplement	***$33.60***	***$86.80***	***+$53.20***	***$92.20***	***+$58.60***

Source: New Zealand Department of Social Welfare.

Widows' and Unemployment Benefits) to be available for and to seek work (depending on family circumstances) as a condition of entitlement, were increased from April 1997.[19] These requirements reflect the government's expectation that these groups have some capacity to work, and should, therefore, make some progress towards self sufficiency.

The Coalition Agreement set out a number of labour market policies, focusing on: reducing long-term unemployment; developing a more regional approach to achieving employment objectives; raising the adult minimum wage; reviewing the functioning of the Employment Contracts Act; and addressing some of the problems with the accident compensation scheme.

The share of long-term unemployed (those unemployed for 26 weeks or more) in total unemployment peaked at 58 per cent in September 1992, and has fallen steadily since, but still amounts to around one-third of the total. The Coalition Agreement identifies two main instruments for achieving the desired goal of further reducing long-term unemployment. The first is to replace the unemployment benefit with an equivalent ''community wage'', in return for which unemployed job seekers must fulfil specific obligations, including actively seeking work. A significant number of job seekers will also be required to

participate in part-time community work and training, based on the notion that such placements, if designed effectively, will not reduce incentives for moving into paid work. Involving the unemployed in these activities is seen as a means to ensure that they remain active and motivated, maintain an attachment to the labour force, retain or develop work disciplines, and most importantly provide a route through which they may re-enter employment. It also reflects the current thrust of policy (as outlined in the Coalition Agreement and 1997 Budget), in that participating in community work provides job seekers with an opportunity to give something back to society in return for receiving state support.

Specific details of the ''community work and training/community wage'' initiatives have not yet been announced, but it is expected that implementing legislation will be introduced in the first half of 1998, and the programme will be operational before the end of 1998. There is limited experience with this type of initiative at the international level. Such a policy might face difficulties, which must be guarded against from the start. Specifically, it will be important to offer types of work or training placements that provide some assurance that skills will be enhanced; provide for monitoring of participants to ensure they are actively seeking work in their off-time; create effective sanctions for lack of participation or compliance; and buttress such efforts with other ALMPs to inform these relatively hard-to-employ participants about job opportunities and the nature of job search.

The second instrument to reduce long-term unemployment, and to generally streamline the service received by the unemployed, is to change the structure of the agencies providing services to this group. The government has announced plans to merge by mid-year the Employment and Income Support services and the Community Employment Groups, to create a ''one-stop shop'' where job seekers can go to have their benefit, employment and training needs addressed. Within the new agency, there will be greater regional influence over employment policy in order to take advantage of specific knowledge of local labour market conditions.[20]

Minimum Wage

Given the liberal thrust of labour market policies, it is perhaps noteworthy that New Zealand continues to maintain a statutory minimum wage. The latter remained unchanged from September 1990 when it was set at NZ$ 6.125 per

hour (around 43 per cent of the average wage) until March 1995 when it was increased to NZ$ 6.25 (around 41 per cent of the average wage). In March of each of the following two years it was further raised to the current level of NZ$ 7.00 per hour, back to the same share of the average wage as it was in 1990. Since March 1994, there also exists a minimum wage for teenagers (aged 15 to 19), which is set at 60 per cent of the adult level.

Evidence from across OECD countries is not clear-cut but suggests that the effect of minimum wages depends very much on their level relative to average earnings and that, where there are negative effects on employment, they impact disproportionately on younger people. Survey data for New Zealand indicate that only a small number of employment contracts currently provide for wage rates at or below the statutory minimum, thus mitigating any impact of changes in the latter.[21] (Further, among these contracts, a majority are in the government area which contain provisions specifying that the lowest adult wage is the legal minimum wage.) As for young workers, international results are confirmed by an empirical study covering the period 1985 to 1996, which concluded that a 10 per cent increase in the adult minimum wage reduces the employment of young adults (those aged 20 to 24) by almost 3.8 percentage points.[22] But there is no evidence of a similar negative effect on teenagers. Indeed, the teenage minimum wage is so low relative to the average wage that no employment effect may exist at all, although its relatively recent introduction makes it difficult to identify a statistically significant relationship. Adverse consequences may become more widespread, however, if the level of the minimum wage continues to rise at the rate envisioned in the Coalition Agreement, that is, to NZ$ 7.50 in March 1998, since an appreciable number of employment contracts specify wages not much above that level.[23] (Such an increase would also bring the New Zealand minimum wage towards the high end of the international scale.)

Employment Contracts Act

The most significant reform to the labour market in New Zealand was the introduction of the Employment Contracts Act (ECA) in 1991. The Act radically altered industrial relations by introducing a decentralised wage-bargaining structure based on employment contracts similar to contracts in other areas of activity. At the same time, the authorities adopted grievance and dispute-settlement procedures (through the Employment Court and Tribunal), preserved a statutory mini-

mum code of employment rights relating to a minimum wage (see above), as well as to holidays, sick leave and occupational health and safety.[24] The new system has been extensively analysed in past *OECD Surveys* and, by now, some of its effects appear non-controversial: it has contributed to better labour market efficiency; resulted in much lower trade union membership; led to a decline in the coverage of collective, towards individual or firm level contracts; and to a high degree helped quell the level of labour unrest. On the other hand, no clear empirical evidence has yet emerged concerning the ECA's impact on wage growth, wage relativities and productivity, although survey data suggest a majority of firms have experienced positive effects from it.[25] This, however, should not be surprising since, as noted above, it is difficult to separate out the effects of a particular policy from those of other reforms and cyclical developments which occur at the same time.

To a large extent, the ECA is perceived as functioning relatively well and there is little support for returning to the previous system of compulsory arbitration and national awards. That being said, one ongoing concern with the Act relates to the area of personal grievance and procedural matters; and more specifically, to the degree of flexibility employers have in dismissing redundant and non-performing labour. Since the introduction of the ECA in 1991, grievances to the Employment Tribunal have risen significantly from 2 332 in the first year of operation to 5 144 in 1996 (Table 15). Personal grievances alleging unjustified dismissal accounted for the majority of claims (84 per cent) handled so far.[26] The process for redundancy or dismissal is very cumbersome, placing an

Table 15. **Claims before the Employment Tribunal**

Year to June	Outstanding applications at start	Applications received	Applications withdrawn	Applications disposed	Outstanding applications at end
1992	17	2 332	459	743	1 079
1993	1 079	3 207	743	1 568	1 919
1994	1 919	3 592	1 046	2 447	1 954
1995	1 954	4 248	976	3 040	2 184
1996	2 184	5 144	1 121	3 218	2 985

Source: Harbridge, Raymond *et al.* ''The Employment Contracts Act and Collective Bargaining Patterns: A Review of the 1996/97 Year'', Graduate School of Business and Government Management, Victoria University of Wellington, Wellington 1997.

onerous burden on the employer to support his actions. This is because, when dismissing an employee, an employer must have both a justifiable ‘‘substantive’’ reason for doing so, and undertake any action in a ‘‘procedurally’’ fair manner. The burden arises above all in the latter respect. To dismiss a worker for misconduct in a lawful manner, an employer must initiate the following procedures:[27]

1) He must *warn* the employee of that misconduct and should also state explicitly that there must be an improvement in the employee’s conduct and performance. This warning procedure should be documented and there should be no room for doubt that the employee’s behaviour has been noted as unacceptable and requires improvement.
2) He must *demonstrate* that he has taken a full investigation of all relevant facts before carrying out a dismissal. The result of the investigation should be communicated to the employee.
3) He must *communicate* the reasons for the dismissal to the employee before it is carried out.
4) He must give the employee a real *opportunity to be heard* and also the opportunity to explain the alleged misconduct before the dismissal. In general, this implies that a ‘‘good employer’’ will have to: 1) tell the employee in clear terms that dismissal is a possibility; 2) explain to the employee that he or she is entitled to seek assistance from a union or other representative; and 3) explain to the employee that any explanation offered by him or her will be taken into account by the employer. It should also be noted that the opportunity given to improve must be a reasonable one, which might require for example, the employer to take proactive steps to enable the employee to reach the requisite standard (for instance, through providing further training).

The government is fully aware that these requirements can be a source of problems and indeed, the resolution of Personal Grievance concerns has a central role in the industrial relations section of the Coalition Agreement.[28] The issues will be addressed on two fronts: 1) an immediate review on ‘‘whether and how, decisions of the Employment Court and the Court of Appeal with respect to personal grievance and procedural matters under the Act can be codified into legislation’’; and 2) a study of Court decisions to establish ‘‘whether Parliament’s intentions have been clearly expressed for the purposes of minimis-

ing judicial activism in the employment area''. These actions are welcome and should proceed promptly, so that the full intent of labour market reform can be reaped.

Accident Rehabilitation and Compensation

The Accident Compensation Scheme (ACC) provides all New Zealanders with compulsory comprehensive no-fault insurance coverage for accidents. It is a stand-alone, contributory scheme – funded by employers', earners' and motor vehicle premiums and from general government revenue for non-earners – which is not intended to be part of the welfare system.[29] Instead, it is administered by a Crown-owned agency, the Accident Rehabilitation and Compensation Insurance Corporation which operates as a statutory monopoly. The evolution of ACC over time is creating widespread concern among both business and policymakers, related to several aspects of its operation and funding.

First, the cost of the scheme both to premium payers and to the government has become burdensome. In the year to June 1994, the size of employers' premiums amounted to more than 2 per cent of total employee compensation, and the Crown's payments to the Corporation are expected to rise from NZ$ 59 million in 1994/1995 to NZ$ 210 million in the year 1999/2000 (1997 Budget). In addition, since ACC premiums are intended to cover only current costs (*i.e.* as a pay-as-you-go system with a contingency reserve) there is a mounting unfunded liability, estimated by the Corporation totalling NZ$ 6.9 billion at the end of June 1997.

Second, just under 30 000 ACC clients have received accident compensation for more than a year, reinforcing the notion that the relative generosity of benefit levels (which are greater than those provided through either the welfare system or unemployment benefit), their potentially unlimited duration, and the ease with which the scheme can be accessed is eroding recipients' attachment to the labour force. Many of those long-term claimants could work with the proper assistance or social rehabilitation.

Third, as a statutory monopoly, the Corporation lacks the incentives and market pressures to reform and be more responsive to customers' needs (claimants and premium payers). On the payers' side for example, there is a perception that premiums do not reflect insured parties' true risk, implying that low-risk

industries with few accidents subsidise high-risk industries with relatively higher numbers of accidents.

In response to these problems, an Amendment Act was adopted in 1996. It contained measures to reduce the number of long-term claimants by allowing for work capacity tests (which have not yet been applied), thus permitting greater corporate discretion in providing social rehabilitation, and to improve efficiency by letting ACC purchase elective health-care procedures directly from private and public providers. A number of initiatives in the Coalition Agreement foreshadow further improvements, including:

- reducing demand for claims, through refocusing the scheme away from minor to more serious injuries; and raising employer involvement in injury prevention and rehabilitation;
- tightening the supply of claims, through efficient management and reduction of long-term claimants by implementing the work capacity tests and reviewing both entitlements and duration; introduce more experience rating to create incentives for injury prevention and rehabilitation; and disentitle certain behaviour (for example, drunk drivers and other serious criminal offenders) from some ACC benefits; and
- lifting the performance standard of the Corporation, ideally by introducing competition into the provision of accident compensation, and making the current scheme more accountable and transparent in its operations (such as through introducing a capital budgetary process) to improve both financial and beneficial outcomes.

Such changes would be helpful and the government should proceed with several of the proposals without further delay, particularly those on the supply side, in order to stem the rising cost of the system on the overall economy. In addition, it should examine the merits of relinquishing ACC's monopoly in accident-insurance cover. In this regard, the government recently signalled its intent to introduce an element of competition and this is a welcome first step.

International trade and investment

Trade

For a small open economy such as New Zealand, competition from abroad and access to foreign markets is a critical element in underpinning better produc-

tivity performance. Free trade is the route through which it can overcome some of the impediments associated with its small market, by extending production runs and reaping the benefits of specialisation. Further, there is evidence that openness to international trade is a powerful driver of business investment, which in turn can raise potential output growth.[30] These advantages of trade liberalisation are well understood in New Zealand, and consequently, trade ranks high on the economic policy agenda. Taken as a whole, import protection is now arguably lower in New Zealand than in any other OECD country (Table 16). Tariffs are the import instrument of choice, indicating the high degree of transparency in the country's border protection. New Zealand applies no export subsidies and the main persisting anomaly in the trade area is the existence of agricultural marketing boards (see below).

Trade policy is pursued along four tracks: unilateral, bilateral, regional and multilateral. In recognition of the benefits of free trade, unilateral action is the main thrust of the strategy, and importantly, there has been no back-tracking to this approach, either through tariff reversals or resort to administered protection,

Table 16. **Selected tariff and non-tariff barriers to trade**

Percentage

Indicators	**New Zealand**		United States		European Union		Australia	
	1989	1996	1989	1996	1989	1996	1989	1996
Bound tariff lines	55.0	100.0	98.1	100.0	91.8	100.0	18.4	96.0
Duty-free tariff lines	36.1	50.0	17.4	17.8	10.5	11.4	8.7	40.4
Simple average applied tariff rate[1]	14.5	8.7	6.2	6.2	7.4	9.5	14.2	6.1
Domestic tariff ''spikes''[2]	2.4	8.3	4.5	3.8	2.2	4.8	3.1	10.8
Tariffication (MFN applied tariff rate)[3]	26.1	27.9	15.8	198.2	n.a.	52.8	30.5	23.8
Tariff escalation (all products)[4]	14.6	8.5	6.2	6.2	7.5	8.4	14.3	5.9
Import coverage ratios (all NTBS)	11.5	0.2	16.7	7.7	13.2	6.7	8.9	0.6
NTB escalation (all products)[5]	14.2	0.8	25.6	16.7	25.1	12.9	3.4	2.4

n.a.: not available.

1. UR bound rates aligned to 1996 tariff schedules are available only for the EU. For all other countries, bound rates were provided based on the base year (1988/89) tariff nomenclatures. With the exception of the EU. The average for 1996 is therefore based on those nomenclatures.
2. Domestic tariff ''spikes'' are defined as those exceeding three times the overall simple averge MFN rate.
3. MFN averages are calculated for the tariffed lines for which ad valorem rates or their equivalents are available. They include estimates for tariff equivalents of tariff quota when available.
4. Based on simple applied MFN tariff averages.
5. Based on frequency ratio for core NTBs.

Source: OECD Indicators of Tariff and Non-Tariff Trade Barriers, (1998).

thus adding considerable credibility to the process. This thrust should continue to be applied with the same vigour and consistency as in the past as there are a number of advantages to unilateralism for a small open economy like New Zealand: it gives policymakers freedom to set the agenda according to domestic constraints (and not the pace of its trading partners); it frees up resources to pursue more sensitive issues or avenues; it sends a strong signal to its trading partners about its seriousness in achieving real reductions in trade barriers; and it gives such a country the moral high ground (to compensate for the lack of economic strength) in trade negotiations.

As noted above, in the context of the 1997 Budget, the government has announced two tariff reviews, which will establish a time path for the shift to zero tariffs. Under current tariff reduction commitments (made in December 1994 and running from 1997 to 2000) most rates will be cut by one-half (Table 17), yielding a simple average applied tariff rate of just over 3 per cent. In addition, the current programme will also rationalise the tariff structure, with all rates being either 0, 5, 10 or 15 per cent by July 2000. Before mid-1988, the government will undertake a General Tariff Review of all products (excluding motor vehicles, but including motor vehicle parts and after-market components). In December, as a result of the Motor Vehicle Tariff Review[31] the government has decided to follow planned cuts, from 22.5 per cent currently to 15 per cent in July 2000, and then to abolish automobile (and light truck) tariffs altogether by the end of that year.[32] This is a rapid adjustment, but since the goal is to eliminate barriers to trade, a relatively short timetable to remove tariffs is preferred, in order to heighten the transfer of resources into other sectors and to avoid the decay of human capital and further pressures for assistance which often accompany more prolonged periods of structural adjustment. (Not to mention the benefits of substantially lower car prices in the near term, which are expected to be around NZ$ 3 000 to NZ$ 4 000 lower.) In the event, these unilateral tariff reductions will put New Zealand well ahead of its major trading partners. The Australian government, for example, has recently announced its intention of freezing automobile tariffs at 15 per cent until 2005, after which they will fall to 10 per cent.

On the bilateral front, the Closer Economic Relations Trade Agreement (CER) with Australia is among the most extensive arrangements in existence. It extends free trade to all goods, most services, and replaces anti-dumping

Table 17. **Tariff reductions under prior commitments**

Period	Commitment			
1988-1992	Cut current rates by half			
1993-1996	Cut rates by one-third			
1997-2000	Cut most rates by half			
	Examples (*ad valorem*, per cent)			
	July 1987	July 1992	July 1996	July 2000
Whiteware	34	17	11.5	5
Apparel	65	40	30	15
Textiles	30	25	20	10
Cars	55	35	25	15
	Memorandum item: Simple average applied rates (per cent)			
1987	16.3			
1993	8.5			
1996	5.7			
2000	3.1			

Source: New Zealand Treasury.

measures with the coverage of each country's competition laws. Since its inception in 1984, bilateral trade has expanded by 370 per cent (in value terms) and the stock of two-way direct investment has grown by NZ$ 25 billion.[33] CER is being furthered in a number of ways: standards are being harmonised, and from mid-1997, the Trans-Tasman Mutual Recognition Agreement permits goods produced in one country to be sold in the other without further restrictions (it will also allow mutual accreditation of occupational standards). New Zealand has recently considered other free trade agreements (FTA) with Chile and the United States as prospective partners. The latter country opens up the greatest potential benefits, but US government capacity for engaging in further trade negotiations is for the moment limited, without fast-track authority[34] from the US Congress. In the case of Chile, preliminary talks failed and as such, bilateral negotiations have ended since no agreement could be reached concerning the sectoral coverage of a possible FTA. In any event, it is not immediately clear what advantages enhancing bilateralism holds for New Zealand, especially with APEC countries who already share a commitment to free trade among members[35] although it could provide a backstop should the regional initiative break down. New Zealand will

host the APEC leaders' meeting in 1999. It hopes to advance that forum's agenda (and its own regional trade strategy) by building a consensus for scheduled WTO negotiations, to form part of a new comprehensive multilateral ''Round''.

At the multilateral level, New Zealand has made the necessary changes to its trade regime to comply with its Uruguay Round obligations, which included: increasing the share of bound tariff lines (from 55 to 99 per cent); amending various legislation related to intellectual property; and modifications to safeguard and trade remedy laws. Through the WTO, New Zealand's immediate trade policy objectives are 1) to establish firm progress in the analysis and information exchange process in order to set the ground for the next set of global trade talks mandated for 1999/2000, and 2) to reach a successful outcome from the financial services negotiations due to be concluded by the end of the year.

Producer Boards

Currently, five statutory export monopolies exist: Apple and Pear Marketing Board; Dairy Board; Hop Marketing Board; Kiwifruit Marketing Board; and the Raspberry Marketing Board. There are also a host of others with varying degrees of statutory powers. Producer boards operate without financial assistance from the government and are directly or indirectly producer-controlled. They engage in a variety of activities, including regulatory ones (for example, licensing exports, quality control and transportation organisation); commercial ones (for example, processing, marketing and purchasing); and servicing (for example, advisory services, research and development, and marketing strategies). In 1996, exports from industries controlled by boards with a monopoly accounted for around 18 per cent of total goods exports. The main argument in favour of the boards' existence is to help level the playing field in highly distorted world markets by allowing the single-exporter to price-discriminate and, thereby, enable them to achieve better returns which can be passed back to producers.

Even so, there are several disadvantages to these arrangements which may be affecting the agricultural sector's long-run economic performance and hence collectively may far outweigh any benefits:

- their continued existence distorts market signals and thus leads to an inefficient allocation of the sector's resources;
- as monopolists, the boards face no threat of domestic competition which is being exerted on nearly every other sector of the economy; they are

granted an exceptional exemption from competition legislation which might also impact on their behaviour; and
– such lack of contestability probably suppresses accountability, innovation, and perhaps expansion in the industry.

Given the economic costs involved, the authorities should reconsider their support for the export monopolies. Left on their own, producer boards are evolving only slowly in response to domestic and international pressure. The Dairy Board, for example, has been corporatised with its shares being held by dairy farmers, processing co-operatives and the Board. However, return on equity is still bundled into milk prices, which provides clouded price signals. As for the Apple and Pear Marketing Board, it has allowed independent fruit exports where these add to, rather than detract from, its own marketing efforts. The government has also announced the deregulation of the onshore activities of the Kiwifruit Board. While these are welcome changes they fall short of what could be considered reform of the system.

Air Service Agreements

For a geographically-isolated country relying heavily on international trade, an efficient and competitive air transportation sector is a crucial factor in furthering economic progress. With this in mind, the New Zealand Government concluded separate ''Open Skies'' air service agreements with the United States and Singapore in 1997 (bringing the number of air service agreements to 32). The key features of the arrangement with the United States are the removal of government regulations on routing, capacity, frequency, pricing and code-sharing between and beyond the two countries, as well as the fact that it applies to both passenger and cargo services. However, it does not include provision for cabotage opportunities. The agreement with Singapore involves similar provisions but also extends them with regard to investment and airline ownership, and for that reason might be regarded as one of the most liberal ''Open Skies'' deals in existence.

In isolation, the US agreement is likely to generate only small economic benefits to New Zealand. Nevertheless, in terms of its ability to stimulate broader air service deregulation in the Asia-Pacific region, it represents an important development. In comparison, the agreement with Singapore is likely to generate much greater gains, since high load factors on this route indicate that capacity

constraints may in the past have been hurting trade and other business between the two countries.

As for bilateral air service liberalisation between New Zealand and Australia, neither country allows the other access to its domestic market nor grants ''beyond'' rights other than those in effect in November 1994. As a result, each country's airlines are forbidden to carry domestic passengers in the other's market, and are limited to carrying the equivalent of twelve Boeing 747 services per week beyond the other's market. Not surprisingly, the Australian Bureau of Industry Economics ranks restrictions on trans-Tasman civil aviation as one of the most important barriers to CER trade.[36] Thus, the greater exchange of beyond rights with Australia remains a key objective for New Zealand.

Investment

In the area of foreign direct investment (FDI), New Zealand does not provide any incentives, considering that stable macroeconomic policies and a ''business friendly'' economic environment is the best way to attract FDI. This strategy has been effective in recent years as direct investment flows into the country have been running at high levels (see also Chapter IV). New Zealand strongly supports the development of a Multilateral Agreement on Investment through the OECD. Its goals in those negotiations are to ''clarify countries' climate on foreign investment and obliging fair treatment within those limits'' (1997 Budget). At the same time, New Zealand has taken the position that it will enter the minimum reservations necessary to bind the status quo of its foreign investment regime.

Despite its declared support of fair treatment for FDI, the government has also staked out a clear commitment to maintain New Zealand's control and ownership of certain assets viewed as strategic and to tighten restrictions on the sale of rural land, on the premise that such assets are advantageous to the country's economic sovereignty. The Coalition Agreement has declared the following assets as being strategic and as such, the authorities do not view them as candidates for privatisation: Electricorp, Contact Energy, Transpower, New Zealand Post, TV1, and Radio New Zealand. Changes to be made to the overseas investment screening regime with regard to the purchase of farm land include: strengthening the ''national interest'' test; requiring an individual purchaser to hold and continue to hold permanent residence status, or at least make a material

contribution to the local or New Zealand economy; producing evidence that the property has been offered on the open market; and concerning the sale of over 24.9 per cent of power and gas utilities, airports and ports presently owned by local bodies and consumer trusts, requiring the approval of ratepayers (local taxpayers) or consumers. (The area of foreshores requiring approval has decreased from 0.4 to 0.2 hectares.)

The government's recent stance on foreign investment seems inconsistent with its policy of openness and sends a poor signal to the international investment community. For a variety of reasons this shift might prove to be counter-productive since: 1) there is no *prima facie* evidence that foreign-owned enterprises act in ways that are contrary to the national interest; 2) the majority of the country's largest companies (for example in finance, oil, shipping, telecommunications and airlines) are already foreign owned and as such, further FDI is unlikely to have systemic effects; and 3) the extensive foreign ownership in the business sector necessarily implies that aggregate investment (and possibly FDI as well) is highly dependent on foreign confidence in both economic prospects and policies. Likewise, the potential of the privatisation programme is limited (see below) – particularly with the exclusion of strategic assets – which is unfortunate since gains from previous sell-offs have clearly emerged.[37] The central case for privatisation – that privately held enterprises are more efficient, productive and accountable, and that it leads to a reduction in the Crown's exposure to risk – is as valid now as it was when public asset sales began nearly a decade ago.

Taxation

Marginal effective tax rates measuring tax wedges on different sources of financing and different physical assets using 1989 tax parameters were published by the OECD Secretariat in 1991.[38] The 1989 calculations showed New Zealand as having the least distorting tax system among 24 member countries; tax wedges were below the OECD average and their profile across different asset and financing categories was very smooth. Updated figures (using 1996 personal and corporate tax parameters) continue to show New Zealand as having a relatively non-distorting tax system; however, as a result of tax reform many other countries' tax systems now match New Zealand's (Table 18). In particular, the average OECD tax wedge has fallen from 2.4 percentage points of marginal taxation to 1.6. This means that New Zealand is now at about the average of the

Table 18. **Effective marginal tax wedges with personal and corporate tax parameters**[1]

Percentage points

	Retained earnings	New equity	Debt	Machinery	Building	Inventories	Overall average	Standard deviation
Australia	2.30	–0.71	2.45	1.71	1.79	3.15	2.05	1.22
Austria	1.22	3.23	0.13	0.42	0.96	2.53	1.04	1.12
Belgium	1.63	3.72	–0.08	0.32	1.36	3.19	1.24	1.39
Canada	3.21	3.05	1.46	1.66	3.13	3.99	2.58	0.90
Denmark	0.97	1.44	3.24	1.46	1.68	2.76	1.81	0.80
Finland	1.97	–0.02	0.86	0.99	1.48	2.15	1.38	0.73
France	2.66	2.71	0.37	1.49	1.52	3.14	1.86	0.95
Germany	0.99	1.97	1.76	1.05	1.61	1.74	1.36	0.37
Greece	2.42	2.42	0.03	1.66	0.54	2.72	1.58	1.01
Iceland	5.22	9.93	–0.98	2.99	3.40	4.86	3.52	3.26
Ireland	2.30	0.14	2.05	1.56	1.94	3.07	2.00	0.89
Italy	3.68	–4.81	–2.70	0.78	0.94	5.08	–0.84	3.45
Japan	2.15	4.83	0.42	0.82	3.03	2.51	1.81	1.47
Luxembourg	2.58	1.47	1.95	1.73	2.15	3.55	2.25	0.68
Mexico	..	..	..	..	..	..	..	..
Netherlands	0.53	6.22	2.88	1.66	2.31	2.02	1.92	1.79
New Zealand	1.89	0.13	1.89	1.61	1.52	2.21	1.72	0.67
Norway	2.22[2]	0.03	1.17	1.34	1.69	2.25	1.64	0.76
Portugal	2.29	0.63	–0.31	1.17	1.18	1.37	1.22	0.79
Spain	0.55	–1.52	2.39	0.60	1.50	1.20	0.99	1.21
Sweden	1.95	2.59	0.88	1.31	1.70	2.31	1.64	0.58
Switzerland	1.24	4.13	0.85	0.93	1.64	2.14	1.39	1.13
Turkey	..	..	..	..	..	..	..	..
United Kingdom	2.27	1.51	1.87	1.61	1.97	3.17	2.05	0.55
United States	–1.39	1.70	–1.10	–4.27	2.62	1.94	–0.98	2.43
Average	1.95	1.95	0.93	1.07	1.81	2.74	1.53	1.22

1. Data are for 1996. The difference between the pre-corporate tax rate of return necessary when real interest rates are 5 per cent and the post-personal tax rate of return to an investor. The calculations make the following assumptions: *i)* the tax payer pays out the top marginal rate; *ii)* the overall average is calculated using OECD average balance sheets (machinery 50 per cent, building 28 per cent, inventories 22 per cent, retained earnings 55 per cent, new equity 10 per cent and debt 35 per cent; *iii)* inflation rates are each country's 1996 average CPI increase; *iv)* all capital gains taxes are paid in the year gains are earned.
2. This does not include Norway's treatment of capital gains, which allows acquisition cost to be increased annually by the portion of retained earnings attribuable to that share.

Source: OECD Secretariat estimates.

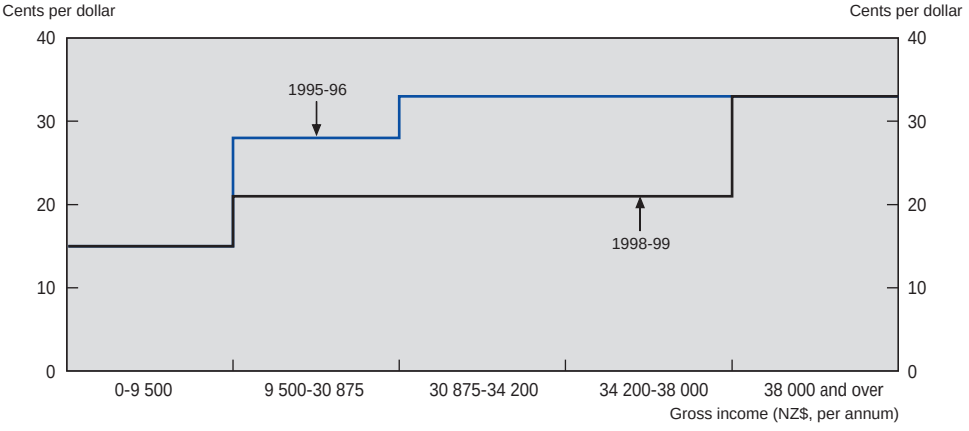
calculated countries.[39] Several other countries have succeeded in smoothing the pattern of taxation across assets and financing sources and are comparable to New Zealand in this respect (Germany, the United Kingdom, Denmark, Finland and Sweden).

As discussed in Chapter II, the government is aiming to lower taxes over time (the tax burden is relatively high at around 39 per cent of GDP), while delivering on its expenditure priorities and maintaining a prudent fiscal position.

In the Coalition Agreement and the Budget Policy Statement released in March 1997, it committed itself to consider further tax reductions in 1999/2000 and beyond, if economic and fiscal conditions permit. Over the past eighteen months or so, a number of changes with regard to personal and business taxation have been made, or are being contemplated. (A detailed account of recent tax initiatives is contained in Annex III.) With respect to the personal income tax, a two-stage reduction in effective tax rates and increased threshold for the top rate is taking place with the first already undertaken in 1996 while the second, initially scheduled for 1997, has been deferred until July 1998. The aim of these changes is to lower the burden on low- and middle-income earners. In 1996, the tax rate applying to labour incomes in the range NZ$ 9 500 and NZ$ 30 875 was lowered from 28 to 24 per cent and the threshold below which this rate applies was raised to NZ$ 34 200 (Figure 16).[40] In 1998, the tax rate will be lowered from 24 to 21 per cent and the threshold below which this rate applies will be increased to NZ$ 38 000. There are no changes for high-income earners (those above NZ$ 38 000), who will continue to face a tax rate of 33 per cent. Once implemented, these tax adjustments will lower the effective marginal tax rate

Figure 16. **EFFECTIVE MARGINAL INCOME TAX RATES FOR WAGE AND SALARY EARNERS**[1]

Year ending in March



1. This figure shows the amount of income tax payable on each additional dollar of earnings. It does not include the effect of abatements applying to social assistance payments.

Source: New Zealand Treasury, *Tax Reduction and Social Policy Programme Details,* 1996.

faced by – and hence provide greater work incentives – over half of the current labour force by 7 or 12 per cent, depending on their previous earnings. In the fiscal year 1998/99, these two measures will result in an estimated loss in tax revenue of NZ$ 2.4 billion.

In the business sector, adjustments were made in April 1996 relating to transfer pricing, thin capitalisation and tax on non-resident corporations. The new transfer pricing regime implies that prices charged between related parties must be arm's-length (assuring fair-market valuation) as determined under OECD principles. Before this change, New Zealand relied on a rule which allowed the Tax Commissioner to impute a rate-of-return to non-resident controlled companies to protect the tax base from transfer-pricing manipulation. The shift is projected to bring in around NZ$ 40 million to NZ$ 140 million. The thin capitalisation reform was also motivated by the need to protect the tax base. This implies that if a non-resident controlled New Zealand company over-allocates interest expense to New Zealand, the excess interest is disallowed a tax reduction. This change is projected to provide around NZ$ 10 million to NZ$ 25 million in revenues. The rate of tax on non-resident companies with permanent establishments in New Zealand was reduced from 38 to 33 per cent (the same as the rate of tax on resident companies). This adjustment is projected to cost approximately NZ$ 15 million per annum. Moreover, the authorities are currently developing legislation which will change the treatment of foreign-sourced income that is earned by New Zealand companies on behalf of non-resident shareholders (that is, ''conduit tax reform''). The intent is to tax the world-wide income of its residents, and the New Zealand-sourced income of non-residents.

As part of the economic reform package of the 1980s, major changes to New Zealand's tax system were made to broaden the tax base (through the introduction of a value-added tax on virtually all final domestic consumption), and to flatten and simplify the tax structure for both persons and businesses. As noted above, recent changes have targeted low and middle-income earners through cuts in marginal tax rates and adjustments to tax benefits and their abatement. Consequently, the next step for the authorities should be to address tax-induced distortions and disincentives to private-sector savings. As discussed in Chapter IV, there are three aspects of the tax system that may have been important in influencing New Zealand household savings patterns. *First*, the effective absence of a tax on ''passive'' capital gains has encouraged investment

in housing and particular savings instruments, such as ''passive'' indexed investment funds. Only if individuals ''actively'' trade stocks, bonds or real estate as part of their income earning activities are the resulting capital gains taxed. *Second*, following the change to a taxed-taxed-exempt (TTE)[41] regime in 1989, income earned in life insurance and superannuation fund savings was taxed at a flat and final rate of 33 per cent.[42] This approach disadvantaged low and middle-income savers whose marginal income tax rate is usually less than that. This disadvantage has become greater since the lowering of the bottom tax rate as noted above. Recognising this problem, the government intends adopting a tax credit approach in the near future. *Third*, despite the introduction of a Goods and Services Tax (GST) in 1986, the New Zealand tax system leans strongly towards income rather than consumption taxes highlighting the importance of gradually continuing to reduce the income tax burden.

Superannuation

In recognising the need to plan for the effects of an ageing population, the government undertook a referendum in September 1997 to consult the public about its desires for introducing a compulsory Retirement Savings Scheme (RSS).[43] At present, New Zealand has a state-supported retirement income programme (New Zealand Superannuation, NZS), which is funded out of general tax revenues and for which the age of eligibility is 63 years.[44] (This will rise to 65 by the year 2001.) In the event, the majority of New Zealanders (92 per cent of those who voted) rejected the proposed scheme.

Nonetheless, the issue of long-term funding of NZS remains. The percentage of the population aged 65 and over is estimated by Statistics New Zealand to increase from around 11½ per cent at present to 25 per cent by the year 2050, and the ratio of working age to retired population to decline from around 5½ to around 2½ per cent over the same period. Further, Treasury projections indicate that the gross cost of providing NZS at the current level will double from around 5 to 10 per cent of GDP over the next 50 years or so, requiring an increase in the tax/GDP ratio (assuming an annual balanced-budget tax path) from the current level of 36 per cent to nearly 40 per cent.

At the end of 1997, the Periodic Report Group[45] issued its 1997 Retirement Income Report (Building Stability). The Group's overall conclusion is that NZS is sound and has the capacity to serve New Zealand well into the future. Never-

theless, several general recommendations are offered, which should be taken as a starting point in the looming debate on changes to the present retirement-income framework: private provision should be made in a voluntary, tax-neutral way; public provision can continue to be funded on a pay-as-you-go basis from general revenue, with NZS remaining a simple and effective system of public provision; and that consideration be given to the integration of public and private provision in the near term (so that the net amount provided for a retired person from the state pension diminishes as that person's income increases), and well before 2015 because fiscal pressures will increase once the baby boomers start to retire in large numbers. This last recommendation is directed at the government's decision to abolish (as promised in the Coalition Agreement) the superannuation surcharge in April 1998 at a cost to the fiscal purse of NZ$ 280 million in each of the years 1999/00 and 2000/01.[46]

Health

Public health expenditures in New Zealand amount to just over 17 per cent of government spending and under 6 per cent of GDP, which is somewhat below the OECD average. On balance, health outcomes are as good as in other developed countries, in that life expectancy (arguably the best overall measure in this respect) is at a similar level, giving strong support to the notion that proximate outcomes across countries can be achieved with different levels of spending. Nonetheless, concerns about New Zealand's health system remain, in spite of earlier reforms. The Ministry of Health has summed up recent experience this way:

> ''Health sector performance over the last three years has been disappointing in a number of areas: costs have not been constrained in line with planned funding growth; both CHEs (Crown Health Enterprises) and RHAs (Regional Health Authorities) have experienced deficits; although total output has increased, access to some services appears to have been reduced; and only 35 per cent of public health targets are expected to be achieved. There is widespread lack of confidence in the ability of the sector to meet performance expectations and in the credibility of policy settings.''[47]

Not surprisingly, there are mounting pressures to spend more on health. In this situation, one of the major challenges for policymakers is to install effective

mechanisms to hold health-care purchasers and providers accountable for achieving cost/expenditure control while improving access to, and quality of services.

As a result of reforms undertaken in 1993, the sector operates as an integrated system from the demand side, while it separates the functions of funding and providing to promote efficiency – effectively through a contract-approach – by giving operational independence to both government-controlled purchasers and health providers.[48] Four Regional Health Authorities were created which purchase health services, while a range of private and Crown Health Enterprises (mainly public hospitals) act as service providers. The RHAs have recently been replaced by a single national purchaser, the Health Funding Authority (HFA), in an effort to reduce bureaucracy and contribute to consistency in purchasing across the country. The HFA contracts with CHEs and the private sector for the supply of health services (in general, contracts specify a particular volume of a particular service for a particular price). The HFA is fully accountable to the government, but it is given full responsibility for allocating its resources as it deems appropriate. As for CHEs, they are also granted wide latitude to function free of government direction, although they are required to make a return on invested capital.

To address some of the problems that have emerged, the government is embarking on what appears to be a number of ''evolutionary'', rather than ''wholesale'', changes to the earlier reforms aimed at reducing unnecessary bureaucracy so as to release resources for service and provision; and creating greater co-operation/integration across traditional service or organisation-based boundaries. These changes also reflect the limited nature of competition that is currently possible in the provision of hospitable services, although there are no plans to alleviate this concern through greater private sector competition.[49] More substantive initiatives foreshadowed in the Coalition Agreement and currently being debated include, replacing the profit objective for CHEs to one requiring them to ''operate in a business-like'' manner, and covering all costs including the cost of capital (perhaps made operational through the introduction of a capital charge).

The 1997 Budget boosted health spending by NZ$ 300 million over each of the next three years to help alleviate pressures on waiting lists and advance both mental-health services and those relating to Maori people. At the same time, however, it introduced two new programmes, one involving free doctor visits and

pharmaceuticals for all children under the age of six and the other waiving outpatient and daypatient user-part charges. The Budget also provided new equity capital to CHEs amounting to NZ$ 148 million in 1997/98, and signalled the likelihood of additional health spending over the next two years (in the order of NZ$ 180 million in 1998/99 and NZ$ 450 million in 1999/2000).

These new spending commitments and policy adjustments should provide some relief to the system, particularly if the prospective expenditures foreseen over the next two years are appropriated, although the new programmes will add to public health costs. According to estimates by the Ministry of Health, a sustainable-funding path – one which accommodates current gaps and pressures on expenditures – would involve spending growth of around 5 per cent per annum over the next three years, which implies no rise in the public health expenditure-to-GDP ratio. Such a level might be achieved, taking account of the topped-up expenditures.[50] However, extra spending will result in fundamental advancement over the status quo only if progress is made with regard to improving accountability, gaining control over volume and cost growth, and accepting the results of more explicit prioritisation and resource allocation.

Education

As highlighted above, productivity growth in New Zealand continues to be disappointing. Low levels of labour force qualifications – which have not been rising as quickly as in other OECD countries – may provide part of the explanation for this lack of progress.[51] Data on educational attainment of the working-age population show that a large share of the labour force (41 per cent, Table 19) have less than an upper secondary education. Although this share is not markedly different from the OECD average, it is more than double that of best performing countries, reflecting a weak emphasis on vocational training and low participation in education until more recently. Since the early 1990s, participation in formal education has increased sharply for those aged 17-20, and now compares favourably with average OECD levels (Figure 17). As noted in the previous *OECD Survey* of New Zealand, a number of factors may explain this change: the greater relative availability of jobs which benefit from extended education; higher returns to further education; the increased availability of vocational courses for senior secondary students; and rising unemployment which discouraged

Table 19. **Education levels of the working-age population in selected OECD countries**[1]

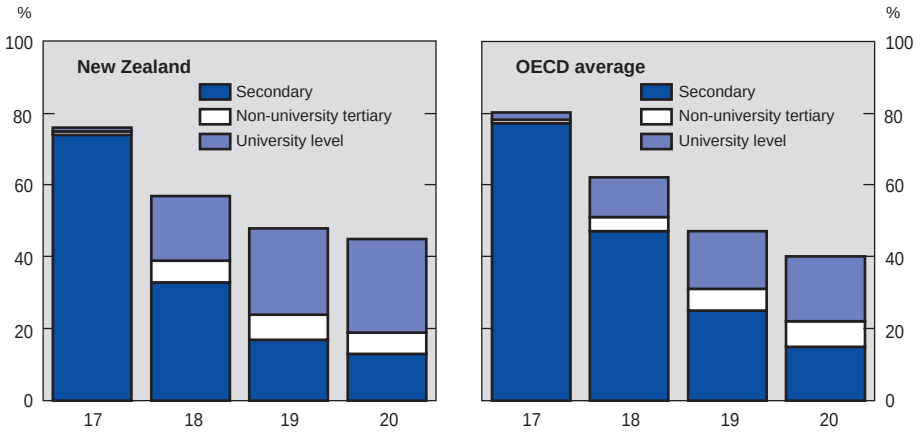
	Early childhood[2]	Upper secondary	Non-university tertiary	University level	Total
New Zealand	41	34	15	10	100
United States	14	53	8	25	100
Germany	16	61	10	13	100
France	32	50	8	11	100
Italy	65	27	0	8	100
United Kingdom	24	54	9	12	100
Canada	25	28	30	17	100
Australia	47	29	10	14	100
Ireland	53	27	10	10	100
Netherlands	39	39	0	22	100
Norway	19	53	11	18	100
OECD average	40	40	9	13	100
Highest[3]	80	73	30	25	
Lowest[4]	14	9	0	6	

1. Percentage of the population aged 25 to 64 years. 1996 data.
2. Early childhood, primary and lower secondary education.
3. Indicates the highest percentage in each education level across OECD countries.
4. Indicates the lowest percentage in each education level across OECD countries.

Source: OECD, *Education at a Glance*, 1997.

Figure 17. **ENROLMENT RATES IN FULL-TIME EDUCATION**[1]

1995



1. Net enrolment rates by level of education in public and private institutions.

Source: OECD, *Education at a Glance.*

teenagers from entering the job market. Whatever its cause, this trend, if sustained, bodes well for the country's future growth potential.

The government has accorded high priority to both improving the performance of the education system and meeting the demand of significant growth in enrolment. As this flows on to the tertiary system (see below), policies will need to be adjusted to increase participation and achievement in tertiary education while maintaining or increasing the share of government resources devoted to early childhood education and schools. In 1996, the Secondary/Tertiary Alignment Resource (STAR) was put in place, providing opportunities for around one-third of senior secondary school students (in years 11 to 13) to access courses and programmes at tertiary level. The main purpose of STAR is to bridge the secondary/tertiary boundary, but students are gaining credit towards national qualifications while being enrolled in school. They may then continue their learning in a tertiary provider, or through on- and off-job training arrangements. Schools have tended to make these courses available to students who have had difficulties with the mainstream curriculum, many of whom are Maori or Pacific Islanders.

To fund new initiatives, the 1997 Budget has allocated NZ$ 488 million over the next three years. These resources will be used to address several concerns with the system: 1) funding the significant growth being experienced in the school population; 2) recruiting additional teachers and improving teacher professional development to support curriculum and management changes in schools; and 3) increased spending for both students with special needs and for those schools at risk of educational failure. The government has initiated (or is about to commence) a number of educational policy reviews. In the schools sector these cover teacher arrangements, the operation of the Education Review Office, and national student assessments. These reviews have a focus on improving the efficiency and effectiveness of schools in raising student achievement.

In September 1997, the government released a *Tertiary Education Review Green Paper*, which is intended to form the basis of a policy dialogue with a view to reforming tertiary education in the coming year. It lays out the government's goals for this segment of the education system and encourages discussion concerning most aspects of it, such as resourcing, regulation, and ownership roles. The review is being undertaken on the premise that the limited funds currently available to the tertiary sector can be utilised more efficiently. The following three major objectives have been identified in the *Green Paper:*

1) improving opportunities for participation and achievement, including those for currently under-represented groups; 2) encouraging high level qualifications, programmes and providers; and 3) encouraging value for the students' and the government's financial contribution. The key elements of the reform measures being considered are:[52]

- sharing resources more fairly over a greater number of students, and enabling government subsidies to follow the student more directly;
- setting minimum requirements for the quality of all qualifications, programmes, and providers which receive government subsides;
- improving the information available to students to make decisions; and
- strengthening governance and accountability arrangements for tertiary education institutions.

A comprehensive review of the tertiary sector is welcome, given the critical importance education will play in the increasingly knowledge-based economy. Nonetheless, the priority attached to reforming the tertiary sector should not, at the same time, over-shadow needed reforms at other education levels and in different areas as highlighted in the previous *OECD Survey*, such as:

- implementing the higher compulsory school leaving age, which is being deferred indefinitely on the justification that resources could be better used to support other policies;
- ensuring that secondary education includes a vocational option leading to recognised industry qualifications at the national level (moves are being taken in this direction such as in the case of STAR noted above);
- closing the gap between the educational attainment of different ethnic groups at all levels;
- generalising the direct resourcing (bulk funding) of schools, improve the functioning of school boards, develop the information on the quality of institutions, and make the school system more responsive to parental and student demand; and
- de-centralising the practice of contracting teachers and the negotiation of their wages.

Privatisation

Since 1984, successive governments have sold-off assets totalling nearly NZ$ 16 billion, mostly in the period 1988-1990. However, in 1996 the remaining

value of state-owned enterprises still amounted to NZ$ 7.4 billion. As noted earlier, the Coalition Agreement clearly states the government's intention of maintaining control of strategic assets,[53] thus limiting the scope for further privatisation and denying New Zealanders the benefits of such moves. Over the past two years several assets have been privatised, the most important being Forestry Corporation (for NZ$ 1.6 billion) and Works and Development Services (for NZ$ 108 million). The 1997 Budget identified Government Property Services and Vehicle Testing New Zealand as prime candidates for further asset sales. In addition, an evaluation of Auckland International Airport's potential market value was undertaken in August 1997 and subsequently consultants have been appointed to advise on its sale and that of Government Property Services.[54] Further, Valuation New Zealand (which prepares valuations of all real estate in New Zealand) will be corporatised. Meanwhile, New Zealand Post, Accident Rehabilitation and Compensation Insurance Corporation, and tertiary educational institutions are being considered in the context of permitting private sector agents to compete with these public-service providers.

In the electricity industry, the government is currently undertaking an intensive review of the state of competition in the generation and retail sectors of the market, with a view to determining the costs and benefits of a further splitting of Electricorp (ECNZ) and regulatory reform of the distribution sector. Such a review is welcome, the scope of which should also include privatisation. In 1996, part of ECNZ was split off into another state-owned enterprise, Contact Energy, and at the same time the market was opened up to competition. At the moment, the level of competition in electricity generation is increasing only slowly and this is reflected in wholesale electricity prices, although there has been some increase in generation capacity from new entrants. Any further benefits from private sector competition, however, are likely to be slow in coming since ECNZ (68 per cent) and Contact (28 per cent) account for 96 per cent of the market.

Regulatory Reform

New Zealand has a ''light-handed'' regulatory structure, whose main feature is the absence of industry-specific regulations, implying that it relies instead on market discipline to keep business behaviour in check. This does not mean, however, that regulations have not been intrusive for New Zealand business. Indeed, there is growing concern that the compliance cost of regulations – partic-

ularly in respect of occupational, health and safety, resource management, construction, and ACC – are becoming a burden on economic performance. To deal with these issues, the government has called for a Quality of Regulatory Interventions Review, charged with the task of determining the effects of business regulation on the economy (for example, through losses in efficiency and administration costs), and of considering a package of measures to address problems with the development and/or implementation of regulatory proposals.[55] (The Ministry of Environment is also examining the impact of the Resource Management Act which is discussed below.)

In December, the government announced its intention of establishing in the next year or so, a ''Regulatory Responsibility Act'' which might work to ensure the introduction and application of ''high quality'' regulations; that is, those that achieve their desired goals without at the same time creating excessive compliance costs, stifling enterprise and innovation and generally hampering economic efficiency. Such an Act could also work to tie the hands of regulators, preventing them from taking actions that are inconsistent with agreed principles, in much the same way as the Reserve Bank Act and Fiscal Responsibility Act codify sound macroeconomic management.

Environment

In 1991, environmental legislation and enforcement were consolidated, most notably under the Resource Management Act (RMA).[56] That Act brought under a single piece of legislation 57 statutes which aimed at promoting sustainable management of various aspects of the environment,[57] and entailed a shift away from mandating technologies or discharge standards towards a focus on ambient environmental quality.[58] It also set out the roles to be played in such management, vesting most of the power to implement the Act in local governments, while preserving the right of the central government to refine policy and set national environmental standards.

The RMA has a more precise mandate, permitting resource users to provide for their own social, economic and cultural well-being as long as three environmental constraints are not compromised: sustaining the potential of resources for future generations; safeguarding life-supporting capacity; and addressing any adverse effects on the environment. The manner in which these goals are

achieved is *via* policies and plans, devised (with public participation) and administered (through consents) by local governments. There is no single ''instrument of choice'' and resource managers have a great deal of discretion in selecting the most effective policies; however, the RMA does place a strong emphasis on using the price mechanism (user-pay or polluter-pay principles) to effect outcomes and internalise environmental externalities.

Industry has raised with the government its concern that the RMA imposes excessive costs of environmental compliance.[59] These relate mainly to the resource consent process but underlie more fundamental problems with the current framework. The recent *OECD Environmental Review of New Zealand* summed up experience to date this way:

> ''While local control is desirable for flexible, responsive environmental management, local authorities have been *slow to carry out the many planning tasks* that precede full implementation of the RMA. This is partly due to changes in which more than 700 local authorities were replaced by 12 regional councils, 74 territorial councils and four unitary councils. While the ambient standards and guidelines are powerful in principle, they are also difficult to apply. In particular, they require a large amount of physical and economic data on the environment and a solid understanding of the economy-environment interface, neither of which is yet adequate in New Zealand. Consequently, many local authorities are still issuing resource consents based on technology or discharge standards. Additionally, the realisation of many environmental objectives and the *internalisation of externalities* depend very much on the RMA resource consent process; not only protection of water and air quality, but biodiversity, habitat management, groundwater and climate change. In the absence of more detailed policy guidance from the central government, local authorities may be unable to factor so many different considerations into the *resource consents.* The quasi-absence of quantified and dated national objectives and the many gaps in national environmental data make *accountability* elusive at national level.''[60]

In response to these shortcomings, the government has begun a wide-ranging review of the practice and performance of the RMA. The objective of the review is to develop a body of information which will enable improvements in

practice to be soundly based. This examination will be used by the government to demonstrate whether the costs of investment in the Act are reasonable for the environmental benefits being generated.[61] (One of the many ongoing studies commissioned by the Ministry of Commerce has estimated that meeting (RMA) environmental requirements accounted for as much as 5 per cent of business costs.[62])

The Coalition Agreement, in keeping with the approach outlined in the earlier Environment 2010 Strategy,[63] has indicated the government's intention to employ ''polluter pay/degrader pay'' principles before 1999. Although the RMA allows for the imposition of such charges, it has not evolved beyond the covering of ''administrative costs''. As such, detailed work on the implementation of user-pay principles, and their economic impact, is only beginning to emerge in New Zealand.[64] One area where work is progressing is at the Ministry of Environment which is investigating the role of a carbon charge (tax) or tradable-emission permits to assist in the achievement of government objectives (and international obligations[65]) to reduce carbon-dioxide emissions through least cost mechanisms. Under either a carbon charge or a tradable-emission permit system, industries with a high reliance on fossil fuels, including the steel, cement, electricity production, dairy industries and the transport sector, are expected to bear the greatest economic costs and have the strongest incentives to reduce polluting activities.

Infrastructure

The future of land transport in New Zealand has become a topical issue of late because of a number of factors: growing congestion on Auckland's motorways; pressure for increased funding resulting from users not facing the actual costs of their use; an emerging debate about ''fair pricing'' to use these facilities; and the desire to have a transport system that will meet the country's needs in the 21st century. In 1997, the government released a discussion document concerning the future National Land Transport Strategy.[66] The Strategy, which is to be finalised in mid-1998, pursues the following key goals: to sustain downward pressure on land transport costs and prices over time; to deliver new infrastructure investment; to promote sustainable management of environmental effects;

and to ensure safety at reasonable cost. Achievement of the Strategy will be through mechanisms which, among other things:

- provide efficient pricing signals to users of, and investors in, the land transport system (that is, to ensure they face the full costs of their decisions);
- effectively signal the demands of users for land transport to carry out economic, social and cultural activities (that is, to be driven by users' demand where users face the full costs of their decisions);
- ensure regulatory neutrality between all forms of land transport and between private and public providers; and
- provide sustainable management of the environmental effects of the land transport system.

Such a reform of road transport is to be encouraged, because of the potential for improvement in economic efficiency.[67]

Immigration

In November 1997, the government sponsored a Population Conference with the objective, among other things, to help inform immigration policy in particular with respect of broad targets. The relatively low qualifications of the domestic labour force (as noted above) implies that a net inflow of professional and skilled labour can be a key input into the economic development process by expanding the options available to industry seeking to meet skill shortages, or to complement the current skill mix. The current framework for permanent residence is conducive to such objectives as it relies on a ''points system'' which attributes greater weight to age, employment prospects, and qualifications in determining the criteria for residency. The criteria for permanent residence oblige professionals (doctors, dentists, lawyers) to gain statutory registration before a permit can be granted and there are minimum English language proficiency requirements to ensure migrants are able to use their skills once they arrive.

As economic growth accelerated during the 1990s, and immigration policy was liberalised, the level of migration into New Zealand increased (Table 20). However, with the slowdown in economic activity over the past year or so, the overall net inflow dropped substantially as well as the ratio of ''economic'' to ''social'' migrants. This trend has been reinforced by the fact that, under pressure

Table 20. **Net immigration**[1]

	Overall target	Total approvals	Social	Economic
1992/93	25 000	29 649	9 950	19 699
1993/94	25 000	33 514	8 376	25 138
1994/95	25 000	50 752	13 061	37 691
1995/96	48 000	54 453	14 181	40 272
1996/97	35 000	33 797	16 377	17 420

1. Social immigrants are those defined as declaring ''not actively engaged'', while economic immigrants refer to those specifying an occupation on application to the Immigration Service. March years.

Source: New Zealand Immigration Service.

from the public to stem the surge of immigration and to ease the strain on some sectors of the economy (namely housing and education), the government in mid-1996 reduced the number of migrants allowed into the country to a target of 35 000. This compared to a target of around 50 000 for the 1995/96 (financial) year. (At almost 1 per cent of New Zealand's resident population, 35 000 is a relatively high level of migration compared with previous years' flows and the experience of OECD countries.) At the end of 1997, the authorities announced a plan to target net immigration at 10 000 per annum – a somewhat lower level than previously – and to relax the English language requirements for business migrants.

While there is scope for improving its quality, there is no doubt that immigration can help New Zealand; by raising potential economic growth through both human and physical capital transfer and establishing international linkages. Issues that the government needs to focus on now are: the balance between skilled and social migration; the services it should provide to ensure that settlement is successful; and refining the current framework to ensure that ''points'' are awarded for those characteristics which maximise the contribution migrants make to the New Zealand labour market.

Unfinished business

As noted, the pick-up in potential output growth in recent years has been driven more by increased factor inputs than by enhanced efficiency gains. How-

ever, without a significant and sustained increase in the rate of productivity growth through continued structural reform, New Zealand is at some risk of not achieving further improvements in its relative income position. To ensure that the government's economic strategy is conducive to furthering prosperity, a number of ''touchstones'' are being used by the New Zealand Treasury to guide policy decisions, requiring policy actions to satisfy the following criteria:

- Provide a stable environment for capital accumulation and other business decisions.
- Create an environment in which resources are directed to where they achieve the greatest return.
- Encourage enterprise and innovation.
- Enhance social cohesion.
- Integrate well with other policies.

In a wide range of areas, recent microeconomic policy action has gone far both in adhering to these yardsticks and following the recommendations made in the *OECD Jobs Study* (Table 21). The emphasis has been rightly placed on initiatives which appear to have the widest impact overall, for example those involving: moves to strengthen worker attachment to the labour force and foster greater self-reliance; unilateral efforts not only to reduce border protection but to eliminate it altogether; and bolstering the quality of tertiary education and educational attainment. In a number of respects, however, structural policies have not gone far enough to satisfy fully the above criteria.

On the one hand, more can be done to tilt the balance further in favour of an economic environment which is conducive to increasing both the quantity and quality of factor inputs. On the capital side, the government should remain open to foreign direct investment and resist temptation to impose any restrictions, or otherwise deter FDI on the basis of nationalist sentiment. After all, with ongoing large imbalances between national saving and investment, the willingness of foreigners to continue supporting economic development in New Zealand is of paramount importance. In addition, the ongoing reliance on foreign savings suggests the need to examine the scope for removing tax-related distortions to domestic savings. On the labour side, uplifting the performance of the tertiary education sector is desirable but it is hoped that this focus will not reduce priority

Table 21. **Implementing the OECD Jobs Strategy – an overview of progress**

Jobs Strategy proposal	Actions taken	OECD assessment/recommendations
I. Improve labour force skills and competence		
Reduce the number of persons leaving school early by ensuring that secondary education includes a vocational option leading to recognised industry qualification.		Move to implement the increase in the school leaving age.
Continue with the implementation by the Qualifications Authority of a framework for nationally-recognised schools, vocational and academic qualifications.	Introduced the Secondary/Tertiary Alignment Resource (STAR).	STAR will go some way towards bridging the secondary/tertiary school boundary and help students achieve credit toward national qualifications.
Take steps to improve further the quality and efficiency of tertiary education by bringing public subsidies more in line with public benefits of tertiary education; and further enhancing the autonomy of public institutions.	Initiated a review of the tertiary education sector.	While undertaking reforms to the tertiary education sector, do not ignore areas of importance at lower levels, such as direct resourcing and the decentralisation of teachers' pay.
Monitor closely the various initiatives aimed at raising Maori and Pacific Islanders participation and attainment in education.	Introduced or improved several programmes aimed at raising Maori and Pacific Islanders' participation and attainment in education.	A number of programmes for Maori and Pacific Islands students are now up and running, thus the goal now is to assess their impact and remain flexible to future changes.
II. Reform unemployment and related benefit system		
Continue to review the current tax/benefit system in order to reduce work disincentives.	Introduced a number of changes, including lower abatement rates and tightening requirements for benefit entitlement.	Recent changes reinforce work attachment to the labour force, not unemployment and create greater incentives for self-sufficiency.
III. Active labour market policies		
Consider further extending the policy whereby long-term receipt of unemployment benefit is conditional on acceptance of a place on a programme by which job search activities can be monitored and encouraged (such as *Job Action*) or participation in some other form of ALMP.	Extended the coverage of ALMPS. Developing plans to require part-time work or training in return for a ''community wage'' equivalent to the unemployment benefit.	Increased coverage of ALMPs is to be welcomed. Closely monitor the effectiveness of the case-management approach to ALMPS. Ensure that the ''community wage'' programme is well developed from the start, by clearly defining programme goals, monitor behaviour, provide sanctions for lack of participation and inform participants of job opportunities and job search.

Table 21. **Implementing the OECD Jobs Strategy – an overview of progress** *(cont.)*

Jobs Strategy proposal	Actions taken	OECD assessment/recommendations
IV. Enhance product market competition		
Separate the ''Producer Boards'' regulatory and commercial functions, and ''unbundle'' farm gate prices. Speed up the planned reduction in tariffs in sectors such as clothing, footwear, passenger motor vehicles, carpets and textiles where the current levels of protection are very high.	Commitment to reduce tariffs unilaterally to zero well ahead of the year 2010, eliminate tariffs on motor vehicles by the end of 2000.	The continued commitment to unilateral tariff reduction is to be commended as one of the best means to improve economic performance. Introduce competition in the export of certain agricultural products.
V. Wage formation		
Monitor the effect of the minimum wage, particuarly on teenage workers. (If the minimum wage is to be kept, it should not be indexed or uprated regularly in a fashion which risks setting a precedent in wage bargaining.) Consider further reform of the Accident Compension Scheme to contain its escalating cost.	Increased the adult minimum wage from NZ$ 6.38 to NZ$ 7.00 in March 1997; and increased the youth minimum wage from NZ$ 3.83 to NZ$ 4.20. Review options for reforming ACC and provided for a work capacity test in 1996.	Avoid potentially adverse consequences of a further increase in the minimum wage. Implement ACC work capacity tests and push ahead with other reforms as quickly as possible.

Source: OECD.

for much-needed reform at other levels, such as: adopting the higher school leaving age; ensuring that secondary education also plays a role in developing both life and work skills; narrowing ethnic differences in education participation and attainment; and making the school system more responsive to demand (through, among other things, decentralising teacher wage negotiations and direct resourcing). In the interim, the government should look to immigration as a means of both augmenting and complementing the domestic skill mix.

On the other hand, more can be done to ensure that the institutional environment is flexible in allowing the efficient allocation of resources. In the labour market several issues need attention: uncertainties attached to ''procedural'' matters relating to the dismissal of redundant and non-performing employees need to be dealt with, in order to realise the full intent of reform measures; there

should be careful consideration of the potential for adverse consequences of further rises in the minimum wage; and in establishing the framework and conditions for the ‘‘community wage’’, policymakers need to be clear about its goals, and how they will be achieved, to avoid simply replacing the unemployment benefit with such a wage. Decisive steps are also required to roll back, or at least contain, the mounting burden of business regulations (mainly through compliance costs) in several areas, and in particular those imposed by the Resource Management Act. To raise the quality of future regulatory interventions, the government might consider adopting legislation similar to that in place for macroeconomic management.

Finally, there is scope for raising the consistency of the policy stance in many areas, which would serve to enhance competition, enterprise and innovation, and perhaps social cohesion. Despite the extensive overhaul of the economic policy framework over the past decade, several institutions – most notably agricultural producer boards and the Accident Rehabilitation and Compensation Insurance Corporation (ACC) – have escaped reform and stand out as anomalies in an otherwise competitive environment. With regard to producer boards, the government should proceed with making changes to reduce, if not eliminate, their monopoly power. Opening the sector to competition would accelerate the shift to higher-value-added products and allow producers to focus on activities with optimal returns. With regard to the ACC, while welcome steps are being taken to address its shortcomings, including the application of work capacity tests, serious consideration should also be given to relinquishing altogether the Corporation’s monopoly in accident-insurance coverage. That these two institutions continue to operate in the same manner as a decade earlier, seems not only unjustified on grounds of economic efficiency but also of equity and fairness. Likewise, the rationale for privatisation – that privately held enterprises are more efficient than government ones – seems as relevant now as it was when the reform of the public sector began. Thus, the authorities should continue with the sell-off of any assets which do not relate to the core business of government, providing for adequate regulation if they are natural monopolies. Also, in the field of health, more reform, rather than more money, might provide the conditions for improved performance. The limited changes announced so far in that area do not seem sufficient to deal with the central concern of controlling volume and cost growth while ensuring adequate services. A well performing health sector is particularly

important for maintaining and furthering the public's perceptions about the benefits of structural reform. A sector where, in contrast, reform appears to have been largely successful – financial markets – is reviewed in detail in the following chapter.

IV. Financial sector reform

Up to the mid-1980s, New Zealand's approach to regulating financial markets – and indeed most sectors of the economy – was largely protective. At a *microeconomic* level, the regulatory regime was extensive (Carron, 1986; Harper, 1986) as: different legislation applied to different financial institutions, with limited scope for firms to operate in more than one type of business; there were restrictions on entry, especially into banking, and limits on the extent of foreign ownership; and direct controls affected many aspects of financial market activity, with ceilings on deposit and lending rates, restrictions on assets and liabilities, controls on various categories of lending, as well as limits on external capital flows. At a *macroeconomic* level, legislation that embodied multiple, and often conflicting, objectives governed monetary policy, whose implementation relied directly on the wide-ranging regulatory controls outlined above (*e.g.* reserve ratio requirements and interest rate controls), together with a managed exchange rate regime (Savage, 1996).

The programme of economic liberalisation that was pursued from 1984 onwards started with one of the most broad-based and rapid reforms of financial policy ever undertaken (Harper and Karacaoglu, 1987). As discussed in previous OECD Economic Surveys, the decision to move in that direction reflected a number of factors:

- Steadily worsening macroeconomic imbalances, which culminated in a currency crisis, partly reflected inefficient and inflexible capital markets, characterised by credit rationing and high costs.
- The development of a large ''informal'' sector outside the control of the authorities impacted adversely on the conduct and efficacy of monetary policy.
- There was a high exposure of taxpayers to the finance sector through government ownership or guarantees to some institutions.[68]

– Structural change brought about by technological innovation and internationalisation was weakening the effectiveness of the ''protective'' approach to regulation.

In the period since the reforms, economic performance has improved markedly and the financial services industry has changed dramatically. But some concerns remain. Household savings rates have fallen to relatively low levels, and the current account still is in a persistent deficit. Although rationalisation in the financial sector has made considerable progress, the pressures of technological change and internationalisation of capital markets imply ongoing regulatory challenges for policymakers.

This chapter reviews financial market reform in New Zealand, highlighting current and future issues facing the sector. After outlining the underlying policy objectives and summarising the measures taken, the chapter examines their impact in terms of both macro and microeconomic outcomes. This analysis provides the basis for an overall assessment of the reform process and, in the light of potential pressure ahead, for a discussion of policy requirements in the period ahead.

Such a broad retrospective look at the reform process is warranted for at least two reasons: the financial sector illustrates the contribution major structural reforms can make to better economic outcomes; it also demonstrates that the achievement of their objectives takes time and can create problems, notably for the implementation of monetary policy. In both respects, New Zealand's experience appears to be relevant for other countries.

Objectives of the reform

From early on, the goals of financial reform directly reflected the abovementioned underlying problems that motivated and triggered changes (Treasury, 1984; RBNZ, 1986; Harper and Karacaoglu, 1987; Grimes, 1996). Three broad objectives can be identified:

Promoting an efficient financial sector

The reforms sought to achieve more efficient financial intermediation by putting in place a competitively neutral policy environment that encouraged contestability within and across markets. This objective can be seen as having

four dimensions (Farrell, 1997): allocative efficiency (ensuring that savings could be directed to areas achieving the highest risk-adjusted returns); diversity of choice (allowing a better match of preferences for risk, return, liquidity and cash flow); operational efficiency (encouraging least cost provision of services); and dynamic efficiency (creating incentives for product and process innovations and rapid adjustment to changing circumstances).[69]

Enhancing the stability of the financial system

The reforms also recognised that there were ''public good'' aspects to financial market regulation: an unstable financial system, or one lacking investor confidence, would quickly have adverse flow-on effects into the rest of the economy. This stability objective may be seen as being complementary to the efficiency goal.

Alleviating macroeconomic imbalances

Finally, the reforms were directed at achieving better macro outcomes in three ways:

- An explicit objective was to improve the efficacy of monetary policy and allow it to be directed solely at *price stability*. Indeed, over the past decade, the main focus of monetary policy has been on achieving, and then maintaining, low inflation.
- It was hoped, in addition, that financial sector reform would enhance the economy's overall *savings*. The primary concern here was reducing the current account deficit and associated accumulation of foreign debt. By removing controls on borrowing and lending activities, the reforms were seen as a way of promoting savings by business and households. They were also expected to impose greater discipline on fiscal policy.
- Furthermore, together with the new monetary policy regime, financial deregulation was intended to *promote growth* generally by assisting in better allocation of investment and therefore higher factor productivity.

Nature of the reform

There were two distinct phases of financial sector reform in New Zealand. The first one during the 1980s involved very rapid and broad-based liberalisation

Box 3. **Summary of reform measures***

Price deregulation

1984 Removal of all controls on lending and deposit rates
1985 Floating of the New Zealand dollar
1986 Removal of restrictions on broking fees and commissions

Removal of restrictions on balance sheet structures

1985 All compulsory ratios faced by financial institutions abolished

Relaxation of entry restrictions

1984 Changes to controls on entry to the short-term money market
1984 Opening up of access to domestic financial markets by foreign-owned firms
1985 Liberalisation of stockbroking rules and the opening up of entry into banking

Liberalisation of ownership structures

1985 Removal of limits on foreign ownership of New Zealand financial institutions
1986 Incorporation of broking firms allowed
1987 Privatisation of state-owned financial institutions begins

Opening up of international capital flows

1984 Restrictions on foreign currency borrowing by the private sector removed
1991 More liberal regime for foreign direct investment announced
1993 Government moves to facilitate overseas investment in domestic government securities

Changes to banking and securities legislation

1984 Initial changes to banking supervision legislation
1988 Securities legislation tightened
1990 Review of Companies Act and securities law
1996 New banking supervision arrangements
1997 Investment Advisors (Disclosure) Act comes into force

Market-based approach to monetary policy

1984 Explicit policy of fully-funding the fiscal deficit at market interest rates
1989 Reserve Bank Act comes into force
1990 Introduction of inflation targets

Improvements to the payments system

1998 Real-time gross settlements system (RTGS) introduced

---

* For details, see Annex IV.

of the sector and focused mainly on the removal of controls. The second one during the 1990s was more concerned with re-engineering some of the basic legal infrastructure for banking and commerce and overhauling supervision arrangements. The reform process is summarised in Box 3; a more detailed chronology is provided in Annex IV.

Phase one: the 1980s

In the first few years of reform, the primary focus was on opening up the finance sector to competition. Key measures were: abolition of interest rate controls; the floating of the New Zealand dollar; removal of restrictions on balance sheet structures; relaxation of restrictions on entry to the sector; removal of limits on foreign ownership; privatisation of state-owned financial institutions; and removal of restrictions on foreign currency borrowing. Subsequently, in 1987, formal banking supervision was introduced[70] and, in 1988, securities legislation was tightened in respect of insider dealing, substantial security holder disclosure requirements and futures contracts.

During this phase, the main macroeconomic focus of the reforms was on monetary policy. As early as July 1984 an explicit policy of fully-funding the fiscal deficit at market interest rates was adopted.[71] In subsequent years a number of improvements were made to liquidity management.[72] The reforms culminated in the 1989 Reserve Bank Act whose essential elements were a single and explicit objective of price stability, Reserve Bank independence in the implementation of monetary policy, and an accountability structure that required regular reporting by the Bank to Parliament.[73]

In the area of savings policy, the introduction of a tax imputation regime in 1988 put unit trusts on the same footing as fixed interest and equity investments. In 1989, the move to a ''Taxed-Taxed-Exempt'' (TTE)[74] regime for superannuation (that is, pension) funds placed retail funds on the same tax basis as wholesale schemes.

Phase two: the 1990s

Towards the end of the 1980s and in subsequent years, a number of developments provided momentum for ongoing reform of the sector. The first of these related to the inevitable learning process that followed the early stage of the reform process. In particular, the rapid expansion of financial sector activity

during the 1980s and the impact of the 1987 stock market crash encouraged some reflection on regulation of the sector. Likewise, as monetary policy evolved during the 1990s, lessons were learned about its implementation and efficacy. At the same time, there were continued structural pressures on the sector exerted by technological change and internationalisation.

A major reform initiative during that period was the announcement, in 1991, of a more liberal regime for *foreign direct investment*. This aimed to promote New Zealand as an investment destination and to streamline the approval process. Also, changes were made to the non-resident withholding tax regime, followed by further adjustments in 1993.[75] Another important initiative concerned the introduction of a disclosure regime for *banking supervision*. In 1991, the Reserve Bank commenced a review focused on establishing the extent to which disclosure was to be a substitute for, or complement to, more direct forms of supervision. In 1996, the review culminated in a major overhaul of the system.

There were several motivations for such reforms in banking supervision (Brash, 1997; Ledingham, 1995):

- *Structural change*. Up until the mid-1980s the New Zealand banking system had been relatively stable, with many administrative controls, only a few commercial banks (most with strong foreign parents), and fairly extensive government ownership or guarantees. The reforms of 1984 triggered intense competition, new entry, and reduced government involvement. This potentially increased the risks of systemic difficulties arising.
- *Limits to conventional approaches*. The Reserve Bank recognised that standard approaches to prudential supervision and related instruments (such as on-site examinations) are limited in their ability to minimise the incidence of bank failure and distress, while considerable scope existed for making more use of market disciplines for promoting systemic stability by increasing disclosure requirements and enhancing the accountability of bank directors and management.
- *Compliance costs and taxpayer risk*. A particular concern about conventional supervision regimes was that they tend not to take sufficient account of the compliance costs and regulatory distortions they impose. Also, approaches that rely on the provision of large amounts of information to the banking supervisor tend to encourage a perception that the government will stand behind an institution facing financial difficulties.

Market disciplines were perceived to be superior in reducing both compliance costs and taxpayer exposures.

Given these motivations, the specific objectives of the new arrangements were to promote sound banking practices, strengthen the role of bank directors, and improve information for investors (Mortlock, 1996). This was achieved by introducing a comprehensive public disclosure regime requiring banks to issue quarterly statements covering a wide range of financial, corporate and risk-related information. Twice a year these statements must be externally audited. The framework also placed strong responsibilities on bank directors to attest to the accuracy of the disclosure statements. The regime removed limits on lending and open foreign exchange exposures as well as guidelines on internal controls. Under the new arrangements, the Reserve Bank retains responsibilities for the registration and monitoring of bank activities as well as wide powers to intervene in situations in which the stability of the banking system as a whole is threatened. Also, some key direct prudential regulations, centred on the BIS capital adequacy requirements, have been maintained.

Prominent among other reform initiatives, risks to banking associated with the *payments system* (Ledingham, 1996) were addressed by moving transactions to a real-time gross settlements system (RTGS) commencing in 1998. This allows settlements to be final and irrevocable at the time the transaction occurs (RBNZ, 1997). In the area of *securities and takeover regulation*, a review took place in 1991. Although no major reform followed, in 1993 the new Companies Act codified directors' duties and enhanced minority shareholder rights, while the Financial Reporting Act required, for the first time, mandatory compliance with accounting standards. Moreover, in 1996, the Investment Advisors (Disclosure) Act and Securities Amendment Act were introduced, which set out disclosure requirements for providers of financial products, advice and information while maintaining a ''light-handed'' approach to securities legislation.[76]

Finally, since the introduction of official inflation targets in 1990, there has been some debate about implementation and signalling in monetary policy. Over time, the conduct of policy has evolved to take account of new circumstances and the lessons of the past (RBNZ, 1997b). Recent developments in this respect – such as the use of a formal Monetary Conditions Indicator (MCI) – are discussed in Chapter II.

Outcomes of the reform

Macroeconomic impact

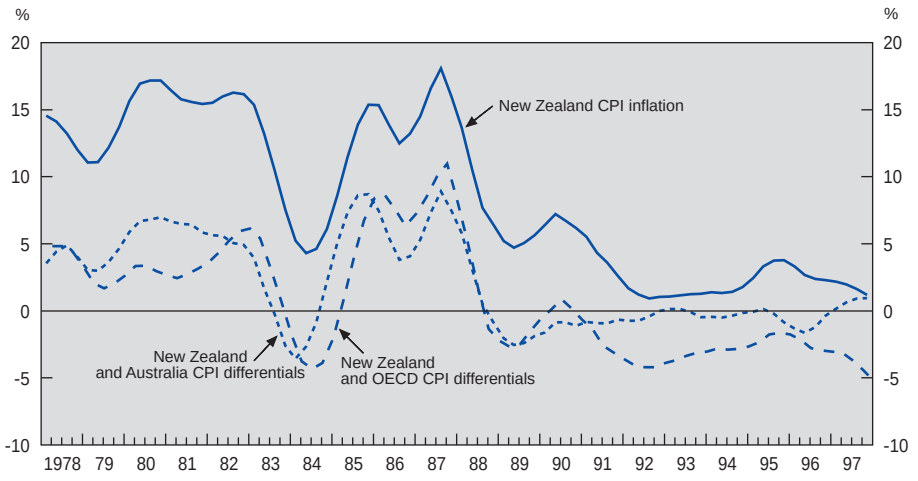
As noted, at a macroeconomic level the reforms were aimed at achieving price stability, promoting domestic savings, and generally contributing to an improved growth performance.

Price stability

In the ten years prior to deregulation New Zealand's inflation rate averaged over 12 per cent per annum. Since then New Zealand's inflation performance has been dramatically better (Figure 18). There is little doubt that the financial policy reforms have been crucial in assisting the attainment of price stability. But they have also created some major challenges for the monetary authorities.

Broadly, it is possible to distinguish two periods to characterise the link between price stability and financial policy reform. The first one covered the four years up to 1988. During that period, the move to a market-based approach to monetary policy resulted in a major shift in focus for the Reserve Bank.

Figure 18. **INFLATION PERFORMANCE**
Annual average percentage changes



Source: Statistics New Zealand.

However, at the same time, in some respects, liberalisation actually inhibited the Bank's ability to achieve low inflation. Initially the Bank targeted primary liquidity, yet a fixed exchange rate prevented it from stabilising the monetary base and exerting leverage over interest rates. The floating of the exchange rate in March 1985 eased this pressure but created a new one: the disappearance of the foreign exchange window meant that liquidity could at times come under severe pressure given the size of flows between the banks and government[77] (Grimes, 1996). This resulted in considerable exchange rate and interest rate volatility (Table 22).

Moreover, the opening up of entry into financial services and removal of sector-specific regulations provoked a high degree of reintermediation (Figure 19) making monetary aggregates poor indicators of nominal activity and inflation. Hence, a ''checklist'' approach was adopted in 1985, with a range of variables being monitored. However, problems persisted, partly due to the fact that the failure to gain control of government expenditure, and the absence of significant labour market reform, placed a great deal of pressure on monetary policy alone to achieve price stability (Hansen and Margaritis, 1996; Evans *et al.*, 1996). The combination of these difficulties meant that progress towards price stability was gradual and somewhat uneven.[78] It was not until a major tightening of policy from 1987 that inflation began to fall significantly.

The second distinct – and decisive – period on the path to price stability began in late 1988. Recognising the difficulties of the preceding four years, the

Table 22. **Financial market volatility**[1]

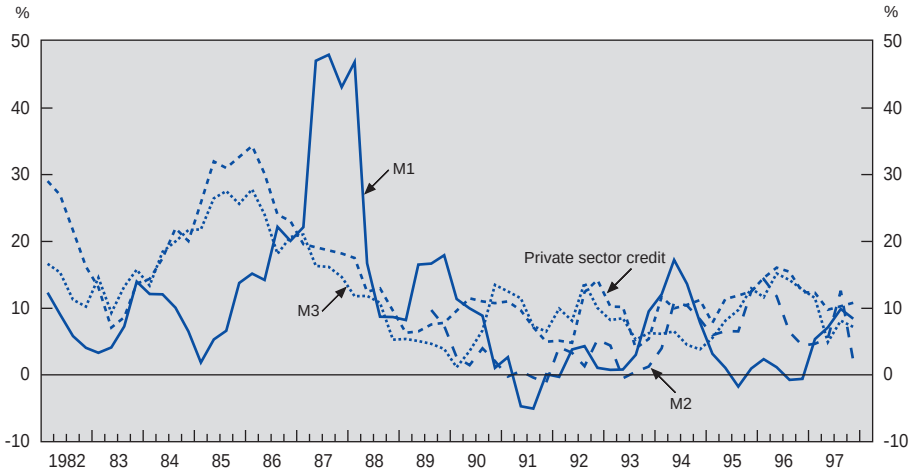
Per cent

	Exchange rate		Short-term interest rate		Long-term interest rate		Stock market	
	New Zealand	United States	New Zealand	United States	New Zealand	United States	New Zealand	United States
March 85-February 95	0.55	0.54	1.16	0.84	0.71	0.56	1.03	0.84
March 85-August 88	0.70	0.54	1.27	0.83	0.71	0.54	1.05	0.91
August 88-February 95	0.48	0.53	1.10	0.85	0.71	0.57	1.02	0.81
August 88-December 91	0.50	0.53	0.86	0.81	0.60	0.49	1.09	0.82
January 92-February 95	0.46	0.53	1.36	0.89	0.83	0.65	0.94	0.80

1. Average weekly volatility.
Source: Bowden and O'Donovan (1996), Table 1, p. 293.

Figure 19. **MONETARY AGGREGATES**

Annual percentage change



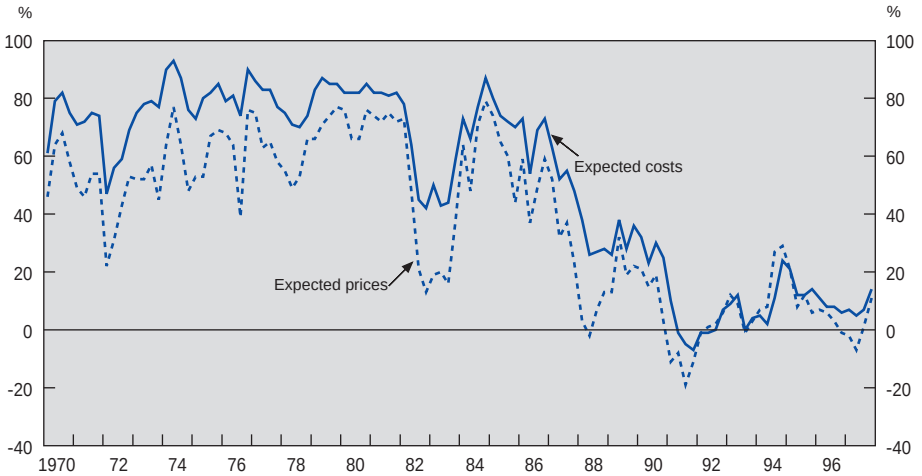
Source: Statistics New Zealand.

Reserve Bank adopted an explicitly forward-looking approach to monetary policy (Bowden and O'Donovan, 1996). The Bank began to allow less variation in the exchange rate and interest rates and asset price volatility declined (Table 22). This approach to monetary policy was reinforced by the 1989 Reserve Bank Act and subsequent introduction of inflation targets, which have been generally met since. It is also notable that in recent years the burden on monetary policy has eased with the implementation of the Employment Contracts Act, the tightening of fiscal policy, and the introduction of the Fiscal Responsibility Act.

In summary, while the progress towards price stability has been somewhat uneven, the new monetary policy framework has certainly achieved its objective. The scale of the achievement is illustrated by the fact that, despite being a small open economy, in the 1990s New Zealand has almost continuously maintained an inflation rate below that of Australia and the OECD average (Figure 18). This reflects not only the use of market based instruments per se, but also the credibility attained by the Bank through the availability of those instruments (Buckle, 1988) in combination with the transparency and accountability aspects of the

Figure 20. **COST AND PRICE EXPECTATIONS**

Next three months, net percentage



Source: NZIER, *Quarterly Survey of Business Opinion.*

framework. An indication of such credibility effects is the dramatic fall in cost and price expectations since the mid-1980s (Figure 20).

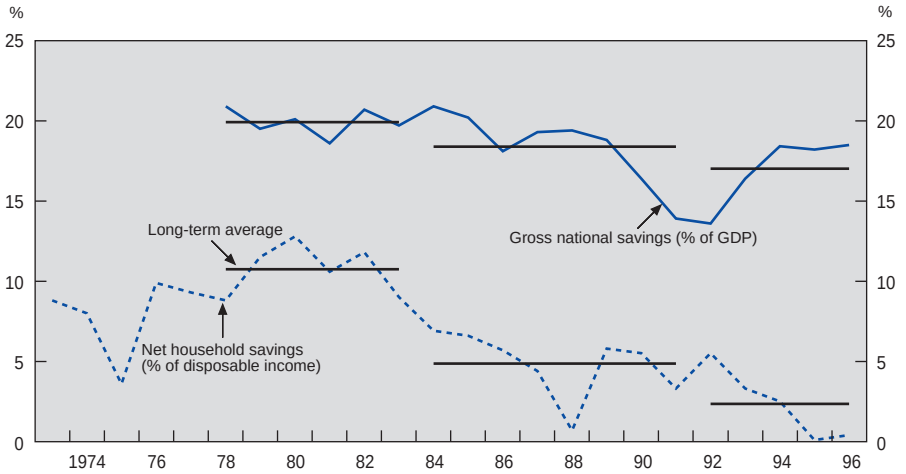
Savings behaviour

In the years since deregulation, two distinctive trends are evident in New Zealand's savings performance. At the household level, there appears to be a structural decline in the savings rate (Figure 21). But at the same time, government and business savings performance has improved (Figure 22). Consequently, the overall national savings rate has not changed significantly since the late 1970s, although the long-term average appears to have declined marginally. The links between these trends and financial policy reform are difficult to ascertain. But it seems that reform has unleashed several conflicting pressures as in other Member countries (OECD, 1997). Also, as discussed below, some features of New Zealand's tax regime have probably been influential.

In the case of *households*, the removal of interest rate ceilings in 1984 should have encouraged net savings by increasing real returns.[79] These

Figure 21. **LONG-TERM SAVINGS TRENDS**

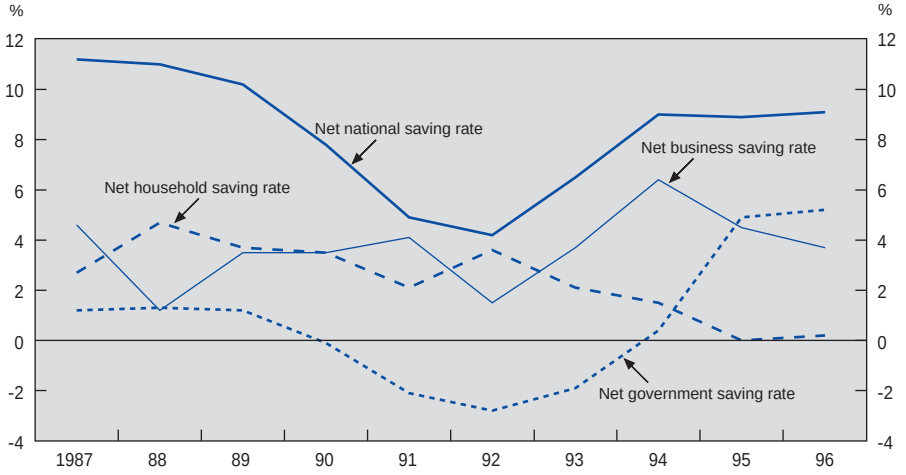
March ending year



Source: Statistics New Zealand.

Figure 22. **SECTORAL SAVING RATES**

Percentage of GDP

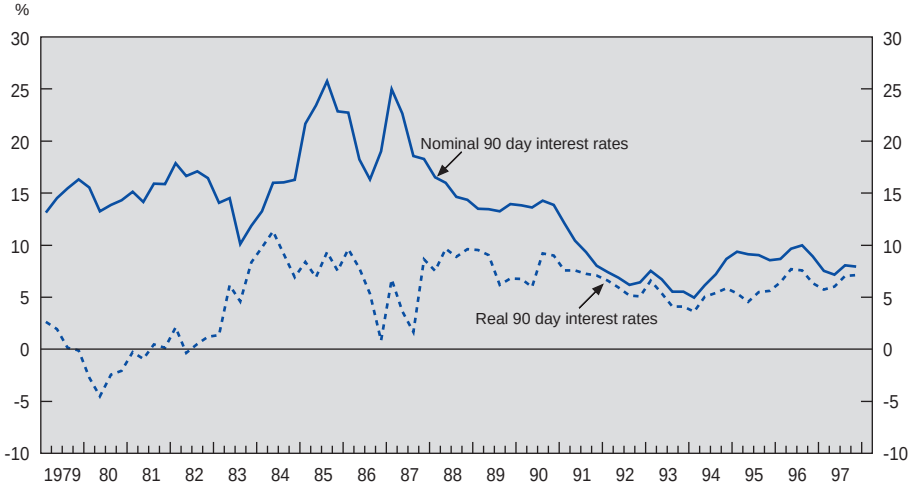


Source: Statistics New Zealand.

incentives should have been reinforced by a more competitive finance sector offering a wider variety of lower cost savings products. In more recent times, there is likely to have been a growing awareness of the advantages of saving for retirement,[80] tertiary education and health care. However, deregulation has almost certainly had also some negative effects on household savings. The absence of credit rationing and the availability of new credit products have encouraged borrowing.[81] This ''credit access'' effect appears to have dominated the impact of higher borrowing costs: private sector credit grew at an average annual rate of 14 per cent between 1985 and 1996, despite real short-term interest rates averaging 6.6 per cent over that period (Figure 23).

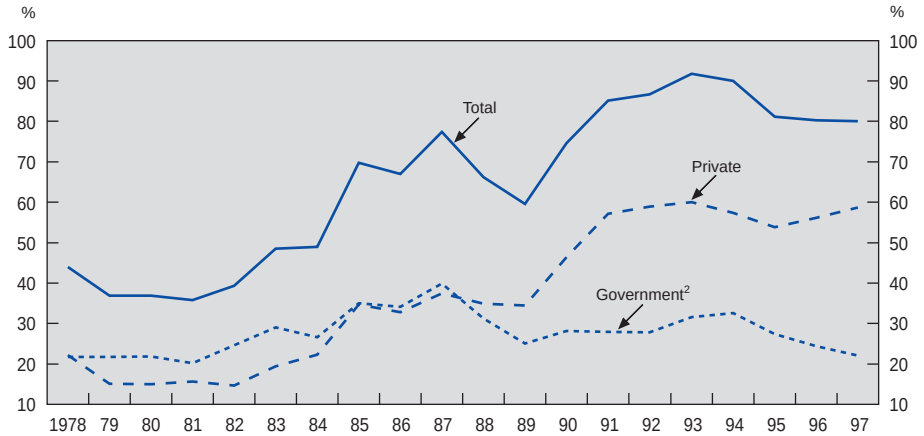
In the case of *businesses*, liberalisation (particularly of capital movements) provided firms with greater access to both equity and debt finance, which resulted in a marked expansion in private sector foreign debt (Figure 24). Nevertheless, if anything, businesses have tended to increase their net savings. This probably reflects the need to restore balance sheets as well as higher borrowing costs. For *government*, the pressures of financial reform tended to push in the same

Figure 23. **INTEREST RATES**[1]



1. Prior to 1985 data refer to end of period.
Source: Reserve Bank of New Zealand.

Figure 24. **GROSS FOREIGN DEBT**[1]
Percentage of GDP, March ending year



1. Break in debt series in 1989 when short-term debt was added. From 1990 RBNZ data. 1997 is provisional Treasury estimate.
2. June year.

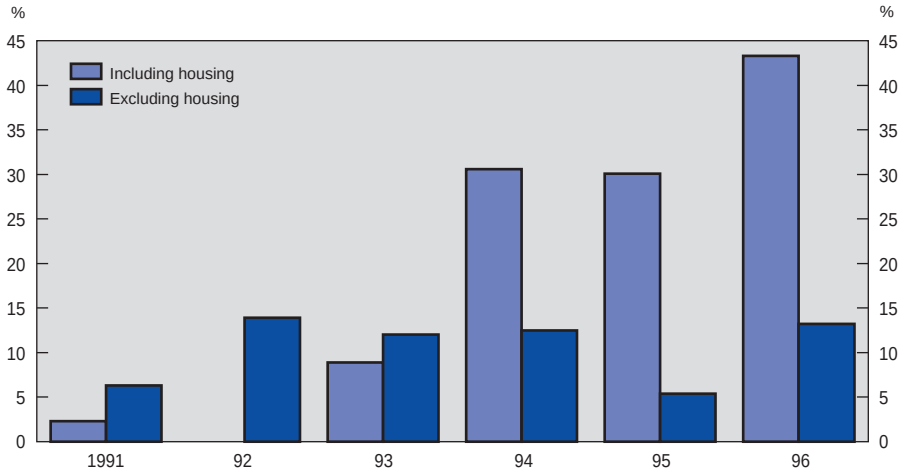
Source: Statistics New Zealand; Colgate ans Stroombergen (1993); RBNZ.

direction: market interest rates discouraged borrowing and the liberalisation of capital flows imposed greater discipline on the conduct of fiscal policy.

To some extent, the decline in household savings rates may simply reflect a tendency to offset higher savings in the business and government sectors.[82] But it also seems likely that tax effects have been at play. There are three aspects of the tax system (see Chapter III) that may have been important in influencing New Zealand household savings patterns. *First*, the effective absence of a tax on ‘‘passive’’ capital gains has encouraged investment in housing and particular savings instruments, such as ‘‘passive’’ indexed investment funds.[83] Associated capital gains are not picked up in official savings rate measures. Some evidence on the importance of this point is provided by data on household net worth compiled by Westpac and FPG Research (Figure 25) which imply that, if capital gains on net financial assets are allowed for, then household savings rates may have averaged just over 10 per cent of disposable income since 1991. If appreciation in house values is taken account of, the average annual increase in net worth

Figure 25. **HOUSEHOLD NET WORTH**

Change as a percentage of household disposable income



Source: Westpac. FPG Research.

appears to have been almost 20 per cent. An international comparison suggests that New Zealand levels of household net worth (as a per cent of disposable income) are similar to those in Canada, the United States and France (Savage, 1997). *Second*, following the change to a TTE regime in 1989, the tax treatment of life insurance and superannuation fund savings has become less favourable (see Chapter III for details). *Finally*, despite the introduction of a Goods and Services Tax (GST) in 1986, the New Zealand tax system leans strongly towards income rather than consumption taxes.

The importance of tax effects was confirmed by a 1997 survey of finance sector professionals which found that 65 per cent of respondents believed that the differential tax treatment of savings products was either ‘‘very influential’’ or ‘‘somewhat influential’’ in determining savings decisions in New Zealand (Periodic Review Group, 1997). In a summary of qualitative responses, the survey reported that ‘‘uneven taxes’’ were viewed as the second most common barrier to the industry serving its clients.[84]

External position

Since the external deficit reflects the gap between domestic savings and investment, which has to be met by foreign savings, it was expected that financial market deregulation would affect both the size and ''quality'' of this gap. In the event, in the three years immediately following reform, the current account deficit expanded significantly from 5½ to 9 per cent of GDP, before narrowing markedly. Over the full 1984-1991 cycle it averaged 5 per cent. The impact of removing restrictions on overseas borrowing was dramatic: over that period private gross foreign debt rose from 22 per cent of GDP to 57 per cent (Figure 24). Since then, the current account deficit has averaged 3 per cent of GDP (Figure 26).

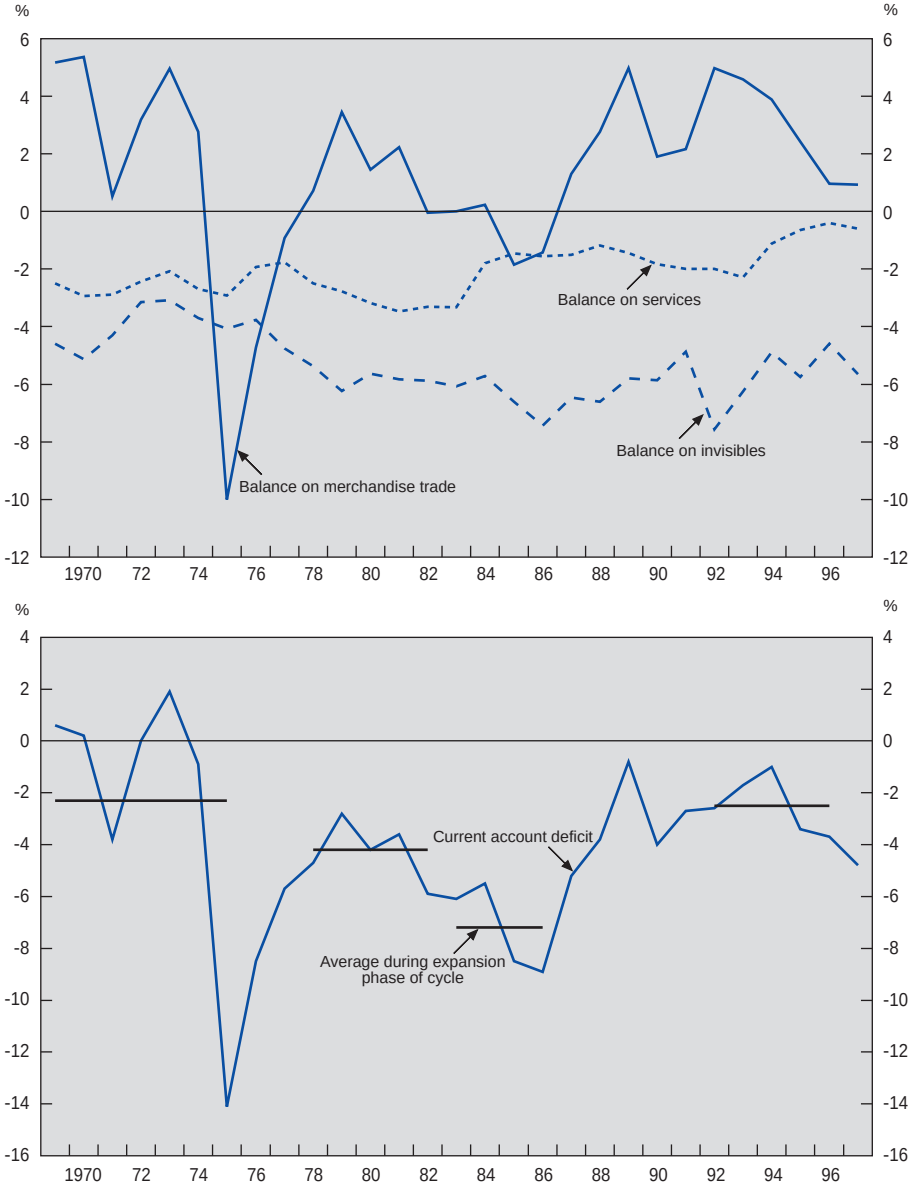
Despite this improvement, a renewed sharp deterioration in the current account more recently has heightened concerns that an ongoing reliance on foreign savings might indicate a fundamental macroeconomic imbalance. It is very difficult to determine whether this is indeed the case. Current account deficits, as currently projected, are certainly suggestive of a structural imbalance. But against this, as discussed in more detail in Chapter I, there are a number of positive factors. In particular, adjusting for cyclical factors, the surplus on merchandise trade appears, if anything, to have risen since the 1980s; similarly, there are signs that the trend in the balance on services is one of improvement (Figure 26). Moreover, since the late 1980s, the foreign direct investment component of New Zealand's private sector foreign liabilities has grown substantially (Figure 27). The other components have been more volatile: despite a rise more recently, there is no discernible trend in short-term borrowing while long-term portfolio investment has become rather more significant over the past few years.[85] Nonetheless, it is clear that relatively high external debt ratios resulting from substantial reliance on foreign savings leave New Zealand more vulnerable to shifts in financial market sentiment and contribute to the persistent risk premia on New Zealand interest rates.

Growth performance

The abolition of controls on borrowing, lending, and interest rates removed constraints on the level of investment and eliminated distortions in its sectoral allocation. A more competitive finance sector, access to international capital, and

Figure 26. **COMPOSITION OF THE CURRENT ACCOUNT**

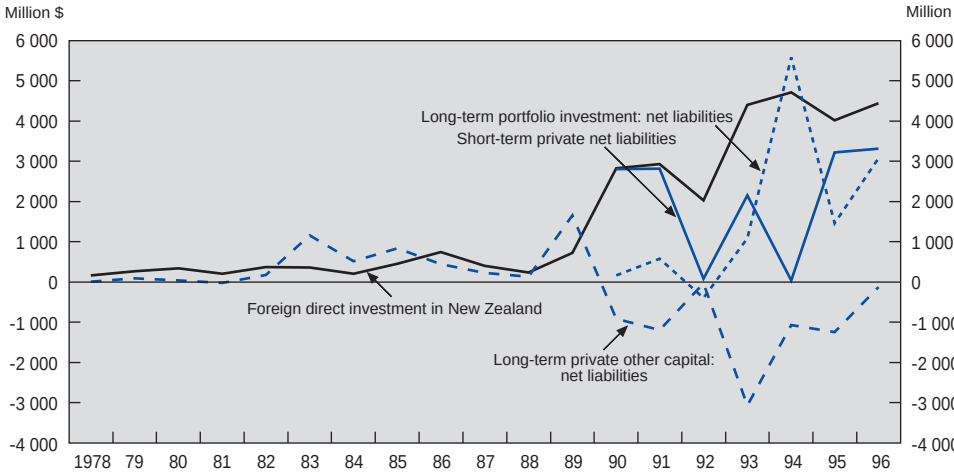
Percentage of GDP, March ending year



Source: Statistics New Zealand.

Figure 27. **COMPOSITION OF CAPITAL INFLOWS**

Million NZ$, March ending year



Source: Statistics New Zealand.

a low inflation environment should have reinforced these positive effects. In combination, these pressures should have led to higher capital productivity growth, improved rates of return on capital, a higher contribution to growth from business sector investment and, overall, a better growth performance.

In fact, the improvement in growth performance took some time to emerge: it was not before the 1990s that the growth trend steepened significantly (Table 23). Underlying this is, to some extent, better total factor productivity driven by substantially higher capital productivity (Table 24). A study on New Zealand's productivity performance (Färe, *et al.*, 1996) concludes that financial deregulation and increased access to foreign direct investment are likely to be two of the factors behind this improvement, with a failure to deregulate the labour market until 1991 constraining the achievement of better resource allocation until then.

Higher rates of capital productivity should be reflected in higher rates of return to capital. Although the absence of a good quality capital stock measure

Table 23. **Macroeconomic outcomes**

March year	Annual averages for selected periods[1]		
	1978-83	1983-91	1991-97
	Annual percentage change		
Real GDP	1.1	1.3	2.4
Consumer price index	14.7	9.9	2.5
	Per cent		
Unemployment rate	2.2	5.2	8.3
Household saving rate	10.8	5.3	2.4
	Per cent of GDP		
Current account balance	–4.7	–5.0	–2.8
Fiscal balance	–2.7	–3.1	0.3
Private investment	15.0	16.2	15.3
Operating surplus	28.8	30.1	30.4

1. Periods roughly correspond to full economic cycles (trough-to-trough).
Source: Statistics New Zealand; The Treasury.

Table 24. **Business cycle analysis of productivity growth**

Average annual per cent change; March years

	1979-87 Expansion phase	1987-92 Contraction phase	1992-95 Expansion phase
Hall (1996):			
Real GDP	2.5	0.0	4.8
Labour productivity	2.0	1.9	2.0
Capital productivity	0.0	–2.2	2.7
Total factor productivity	1.3	0.3	2.3
	1973-94	1973-84	1985-94
Memorandum item:			
Fare *et al.* (1996):			
Total factor productivity	1.5	0.7	2.4

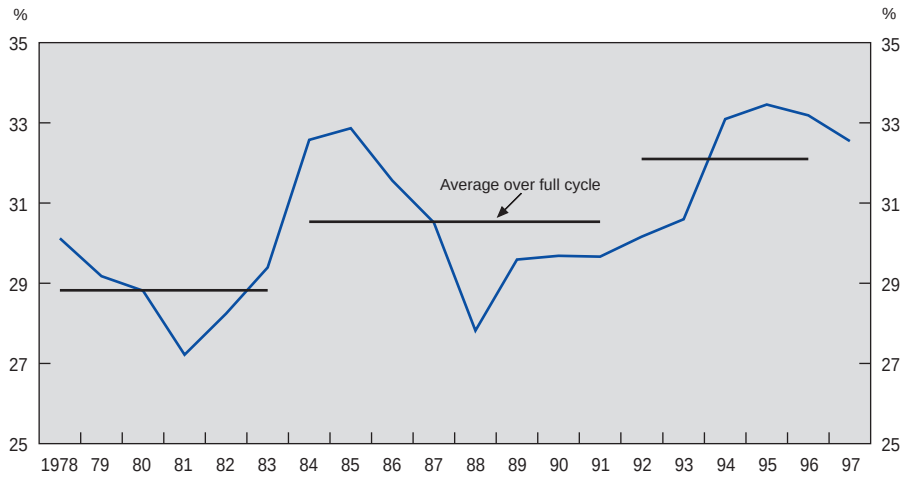
Source: Hall (1996); Fare *et al.* (1996), pp. 83-95.

makes it difficult to measure this, available estimates suggest that, in the post-reform period, there was some upward movement in the return on capital (Philpott, 1991). An alternative approach is to examine the ratio of companies' operating surplus to GDP. This shows an initial decline in the ratio followed by a strong upward trend (Figure 28). Adjusting for cyclical factors indicates that there has been some improvement in returns compared with the pre-reform period.

An assessment of the reforms' impact on business investment is difficult because of the lack of long time series. Data available for the private sector (business plus households) suggest that, after being depressed by high interest rates in the years following reform, investment activity has now returned to previous levels (Figure 29). However, the observed tendency for capital to be directed into higher-yielding activities means that the quality of investment has probably improved.

Figure 28. **COMPANIES' OPERATING SURPLUS**

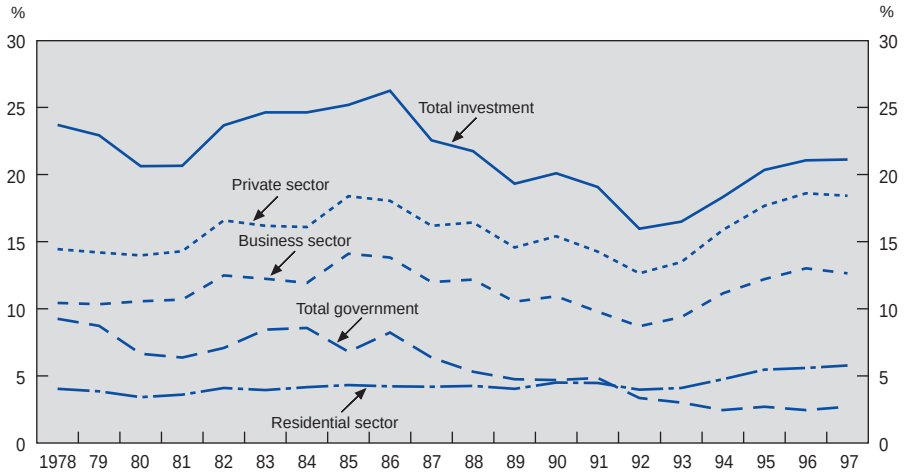
Percentage of GDP, March ending year



Source: Statistics New Zealand.

Figure 29. **COMPOSITION OF INVESTMENT**

Percentage of GDP, current prices, March years



Source: Statistics New Zealand.

Microeconomic effects

At the microeconomic level, financial reform – together with pressures from customers, technological change and capital market internationalisation – has generated a major rationalisation of the finance sector since 1984. Macroeconomic events have also played a significant role in this regard. For example, most of the major initial reforms coincided with a pick-up in economic growth and a dramatic rise in real interest rates in the mid-1980s. This was a period of rapid expansion for the finance sector. The stock market crash of October 1987 marked a turning point. In the following four years macroeconomic expansion slowed down as asset prices slumped, and many firms were faced with rationalising their balance sheets and activities. The period since late 1991 has generally been one of more buoyant economic conditions and ongoing financial sector rationalisation.

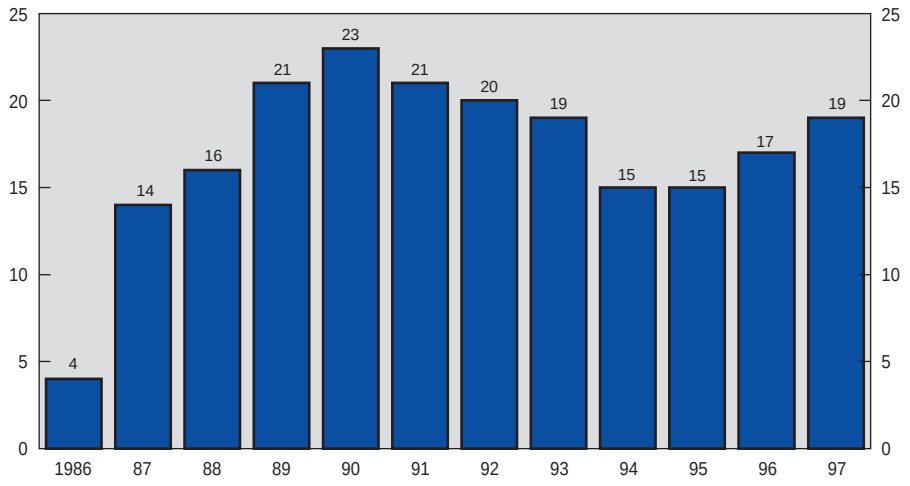
In practice, while such rationalisation pressures have been closely linked, it is clear that financial liberalisation has been central to the process of change.

Restructuring has in turn generated changes in the efficiency and quality of services offered by the financial sector. In examining these changes, the following paragraphs summarise key features of rationalisation and then look at evidence on changes in efficiency.

Rationalisation in banking and related services

From 1984, the abolition of controls on interest rates and balance sheet structures resulted in a rapid expansion and diversification by traditional banks into corporate and investment banking, life insurance, funds management and investment advisory services. There were some initial moves into the Australian market and historical divisions between commercial banks, savings banks and building societies disappeared. In 1987, more permissive banking legislation led to a rapid increase in the number of registered banks (from four in 1986 to 23 in 1990, Figure 30). Some of the new entrants were existing ‘‘non-bank’’ financial institutions and some were established overseas banks.

Figure 30. **NUMBERS OF REGISTERED BANKS**



Source: Reserve Bank of New Zealand.

Following the 1987 stock market crash, several banks faced severe balance sheet pressures. Although there were no bank failures,[86] a period of rationalisation began, with some overseas banks exiting the New Zealand market and a number of mergers and acquisitions taking place. The number of registered banks declined again (Figure 13) and by 1996 just one small bank remained wholly owned by New Zealand residents. More recently, however, some renewed overseas interest in the New Zealand market has led to the registration of four major international banks. These were the first new registrations since 1991 and they appear to be aimed mainly at the corporate banking area. This may indicate that the recent strength of the New Zealand economy, its openness and competitiveness are offering niche markets that are consistent with the global strategies of international banks (RBNZ, 1997*a*).

Rationalisation in life insurance and funds management

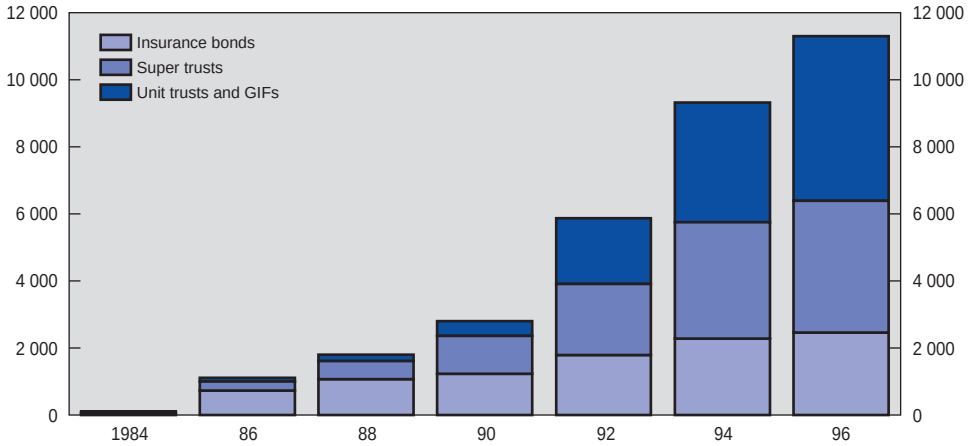
In the early years of liberalisation, developments in the life insurance industry were dominated by moves towards provision of a full range of financial services, including banking, funds management and investment activities, and lending to households. In the late 1980s, the introduction of the imputation regime and reduction of tax incentives on superannuation savings funds provided further impetus for an already existing trend towards market-linked products such as unit trusts, insurance bonds and personal pension plans (Figure 31).

Although the retail managed funds market has steadily expanded – at an average annual growth rate of around 30 per cent between 1986 and 1996 – it remains less important in households' wealth than bank deposits.[87] This is probably due to the persistence of high real interest rates and the tax treatment of superannuation products relative to other savings instruments. The managed funds industry remains dominated by a few large life insurance offices (accounting for 55 per cent of assets under management). While retail banks have become more active in the sector, they remain second-tier players (with a market share of 17 per cent). Smaller specialist fund managers, usually with strong international links, account for the remainder of the industry.

Alongside the funds management industry sits a wide array of independent investment advisors. For the most part these are small operators and the market appears underdeveloped. Interestingly, independent investment management firms (of the type common in the United States) have not entered the sector.

Figure 31. **RETAIL MANAGED FUNDS**

Million dollars



Source: FPG Research.

There has been instead a merging of traditional insurance agent services with those of investment advisors. Although many of the large insurers acquired banking licences, plans to enter retail banking stalled in the late 1980s. But in recent years insurers have begun relaunching a wider range of banking-type services including mortgages and personal loans. In an effort to raise capital for expansion into a wider range of services, several major life insurance companies have ‘‘de-mutualised’’ with public floats.

Rationalisation in sharebroking and merchant banking

The initial impact of reform was a rapid expansion of the sector together with the integration and broadening of the corporate debt, equities and advisory businesses. Several investment banks and brokers either merged or entered joint ventures, with a number of larger brokers becoming incorporated and some merchant banks acquiring full banking licences. Moreover, several operations established offices offshore and many developed close alliances with international companies. There were also a number of new entrants to the sector. This

was accompanied, in the early years of reform, by some moves towards greater specialisation, for example: broking services for shares in private companies; venture capital; no-frills retail broking; fixed-interest securities broking; advice on mergers and acquisitions; offshore funding; and securities trading and portfolio management.

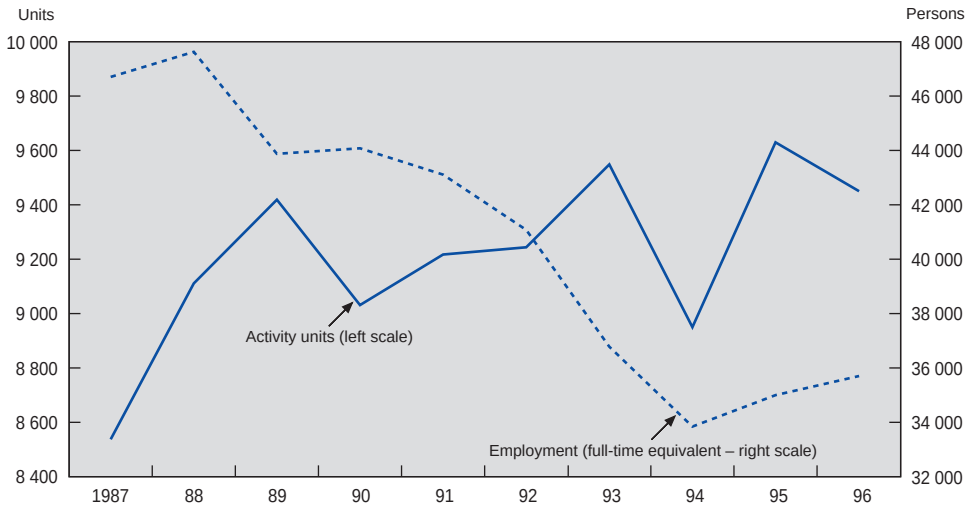
As in other sectors, the period since the 1987 crash has been one of consolidation and rationalisation. There have been a numerous mergers or acquisitions, most involving international firms. The predominant trend has been towards specialisation and the development of niche markets rather than expansion and diversification. In addition, there has been a continued internationalisation of New Zealand's securities markets, a trend illustrated by the growth in the scale of inflows of equity and other long-term capital (Figure 28). Consequently, in the mid-1990s, 53 per cent of New Zealand's sharemarket capitalisation was foreign owned.[88] Likewise, over half of domestically issued government debt was owned by overseas residents in 1997.

Efficiency of financial intermediation

One would expect the degree of liberalisation and the extent of subsequent change in the finance sector to result in a significantly more efficient industry. Unfortunately, there is relatively little hard evidence on the sector as a whole, and the data that are available tend to be limited to the late 1980s and beyond. Notwithstanding these analytical difficulties, there are indications that the financial services sector overall has improved its performance:

- Since 1987 both banking and non-banking have witnessed significant reductions in the number of employees per activity unit (Figure 32).
- A survey of finance sector professionals carried out by the Periodic Review Group in 1997 suggests that, since 1992, the sector has become much more responsive to consumer needs (mainly by offering greater choice) and more innovative in terms of products and services. Those surveyed also indicated that, on balance, service fees had fallen, provision of information had increased, and institutions had become more flexible in offering services.
- In 1997, the World Competitiveness Report rated New Zealand's financial system a respectable 15th out of 46 surveyed countries, ahead of countries like France, Belgium, Australia and Austria. This is a small

Figure 32. **FINANCE SECTOR EMPLOYMENT AND ACTIVITY UNITS**



Source: Statistics New Zealand.

improvement on its 1993 ranking of 17th out of 44 nations (the earliest period for which data are available).[89]

– A detailed study of sectoral productivity trends in New Zealand (Färe *et al.*, 1996) shows a marked improvement in finance sector TFP during the 1990s. The decline in TFP observed between 1973 and 1984 seems to have worsened, however, in the 1985-91 period.[90] The authors explain this by the fact that the finance sector was hit particularly hard by the 1987 crash and tight monetary policy; moreover, in the early stages of deregulation, the low stocks of information capital may have led to poor investment decisions. The subsequent pick-up in TFP in the 1991-94 period is attributed to a combination of post-crash rationalisation and the impact of labour market deregulation in 1991.

– Borrowing and lending activity has expanded substantially. For example, between 1985 and 1988 credits distributed by the banking sector doubled from 22 to 44 per cent of GDP. Between 1989 and 1996 credits extended by all deposit institutions included in M3 rose from around 83 to 120 per

cent of GDP. The arrival of many overseas institutions has significantly deepened capital markets.

More detailed performance evidence is available for the banking industry. As noted above, the initial period of reform was one of rapid growth in that sector. However, since the early 1990s, the impact of losses suffered in the 1980s and the intensity of competitive demands on the sector have forced banks to reduce costs, eliminate cross subsidies and focus on their most profitable activities. For example, many banks have reduced the scope of their operations in the corporate sector and began to refocus on retail and commercial business; fees have been increased notably; and lower cost delivery channels – *e.g.* telephone banking, Automatic Teller Machines (ATMs) and Electronic Fund Transfer at the Point of Sale (EFTPOS) – are being pursued (RBNZ, 1997*b*).

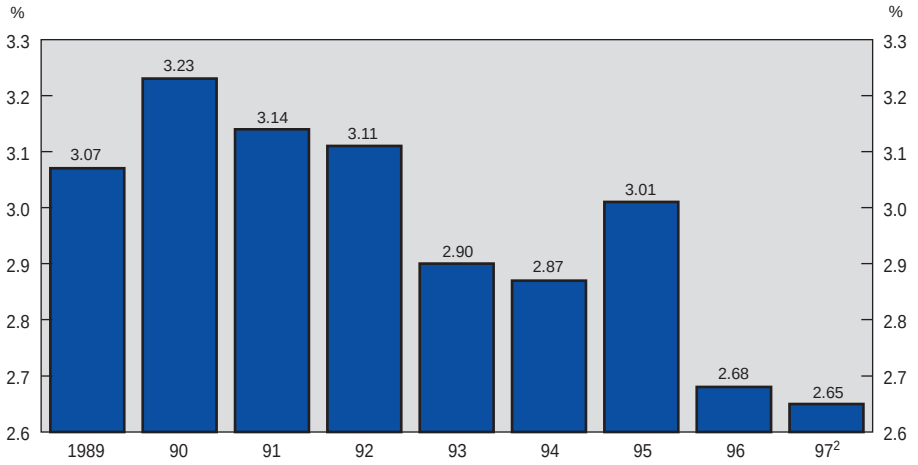
In the early 1980s, New Zealand banks had one of highest average interest rate margins in the OECD area (Table 25). A consistent time series for registered banks is only available from 1989 onwards and there are some problems in comparing margins over time.[91] Data for eight major banks suggest that margins began falling from 1987 at the latest. By 1996, they had dropped to 2.7 per cent, about half the pre-reform level (Figure 33). Recent international data indicate that New Zealand margins are now similar to those in Canada and the United Kingdom but are well below those in the United States and Australia (KPMG, 1997).[92]

Table 25. **Banking sector efficiency pre-reform**

Country	Gross margins		Operating costs		Profit before tax	
	Per cent of assets	Rank	Per cent of assets	Rank	Per cent of assets	Rank
New Zealand (trading banks)	5.30	1	4.20	3	1.10	2
Australia (trading banks)	5.21	2	4.43	1	0.78	4
United Kingdom (clearing banks)[1]	5.20	3	3.70	4	1.50	1
Norway (commercial banks)	4.91	4	4.27	2	0.64	8
United States (FDIC insured banks)	3.63	5	2.89	5	0.74	6
Canada (chartered banks)	3.48	6	2.46	7	1.02	3
Sweden (commercial banks)	3.35	7	2.84	6	0.51	10
Germany (commercial banks)	3.00	8	2.29	8	0.71	7
Switzerland (large banks)	2.75	9	2.00	9	0.75	5
Austria (commercial banks)	2.48	10	1.89	10	0.59	9

1. Consolidated accounts.
Source: Walsh (1983), Table 5 (reported in Harper, 1986, p. 30).

Figure 33. **AVERAGE INTEREST RATE MARGINS OF REGISTERED BANKS**[1]



1. The margin is the annual interest income less interest expense divided by average interest earning assets.
2. Twelve months to September 1997.

Source: Reserve Bank of New Zealand.

This pattern is confirmed by a recent study which concludes that, overall, New Zealand banks are more competitive than their Australian counterparts (The Dominion, 1997).

In the early 1980s, bank operating costs as a per cent of total assets were high by international standards (Table 25). Since 1986 they have followed an erratic path, peaking in 1991 (partly reflecting declines in asset values) and then falling below pre-reform levels in recent years (Table 26). An alternative measure of efficiency, which relates operating expenses to operating income shows a trend decline since the late 1980s. In 1996, New Zealand banks' operating expenses as a per cent of operating income were a little above that of Australian banks, while operating income per employee was similar in NZ$ terms (Table 27).

Pre-reform, the profitability of New Zealand banks was high compared with other OECD economies (Table 25). Following a decade characterised by large fluctuations and sharp falls in the early 1990s, the recent pattern seems to be one of improvement (Table 26). Nonetheless, on an internationally comparable basis,

Table 26. **Post-reform finance sector profitability and efficiency**

Per cent

	1986	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
Return on average net assets											
Registered banks	17.8	21.6	16.3	6.4	13.8	17.0	13.9	10.6	19.9	22.6	23.1
Finance companies	13.0	19.0	11.4	7.9	14.3	11.5	14.5	15.9	17.3	19.6	20.7
Operating expenses/average total assets											
Registered banks	3.7	3.9	5.0	6.2	4.6	7.5	3.9	3.8	3.0	3.0	2.9
Finance companies	3.1	3.6	3.6	6.8	9.2	10.3	4.6	4.3	2.5	2.4	2.4
Operating expenses/operating income											
Registered banks		69.6	75.3	113.0	78.5	74.0	77.1	70.9	70.2	66.3	68.0
Finance companies		64.5	72.8	89.9	67.1	75.3	67.3	61.1	46.1	43.9	42.2

Source: KPMG (various) Financial Institutions Performance Survey.

Table 27. **Comparison of Australian and New Zealand bank performance**

Per cent

	1992		1994		1996	
	New Zealand	Australia	New Zealand	Australia	New Zealand	Australia
Profitability						
Return on average total assets	0.8	–0.3	0.9	1.0	0.9	1.1
Net interest income/average total assets	3.2	3.0	2.7	3.1	2.7	3.0
Return on average net assets	13.9	–4.3	19.9	13.8	23.1	16.5
Efficiency						
Operating expenses/operating income	77.1	70.5	70.2	62.7	68.0	62.1
Operating income per employee (NZ$ 000)	132.0	153.2	143.0	156.3	170.0	168.5
Credit quality						
Total provisions/loans and advances			1.2	2.4	0.7	1.6
Loan writeoffs/average loans and advances			–0.1	0.6	0.0	0.4
Strength/soundness						
Capital adequacy ratio			10.6	11.8	10.4	10.6

Source: KPMG (various) Financial Institutions Performance Survey.

in recent years, the return on total assets in New Zealand has been still somewhat below that in Australia (Table 27), and considerably lower than in some other OECD countries (*e.g*. Canada). This overall change in post-reform profitability is difficult to interpret: it perhaps indicates that, with increased competition, lower costs and margins are, in part, being passed on to consumers. However, in the absence of more detailed information on the factors behind profitability developments, it is unclear whether this is necessarily the case.

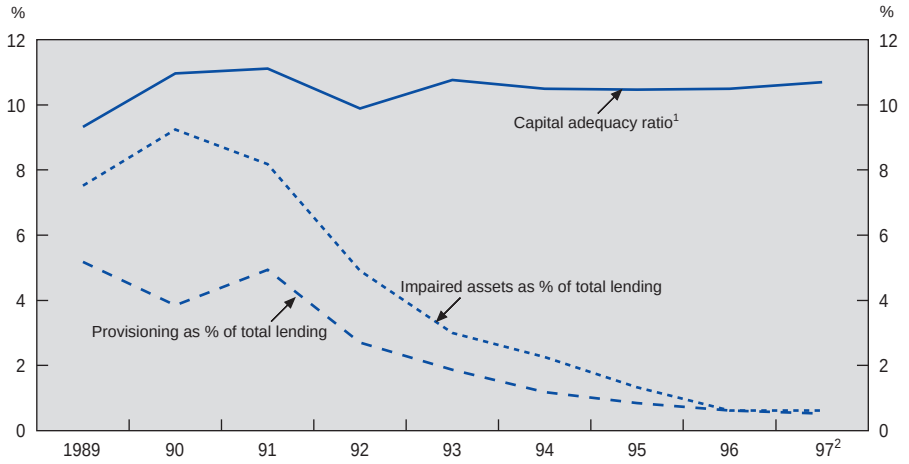
Alongside lower costs and lower margins, there is also evidence of significant gains in service quality and consumer choice, with the number of products and delivery channels having increased greatly and banks generally more likely to cultivate close customer relationships.[93] Examples of these trends include the above-mentioned rapid expansion of ATM and EFTPOS facilities (RBNZ, 1997b): New Zealand has the highest rate of EFTPOS penetration in the world (one terminal per 78 people compared with 132 in Australia and 474 in the United States), and one of the highest rates of ATM penetration (one per 2 400 people). Moreover, despite widespread branch closures, New Zealand banks still maintain a high number of branches per head of population (one per 2 818 people compared with the OECD average of one per 4 400 people). Other services such as telephone and Internet banking are quickly spreading.

Soundness of the financial system

Consistent data on the soundness of the banking sector are only available from 1989 onwards (Figure 34). They show that, following the adverse impacts of the 1987 stock market crash and subsequent economic downturn, asset quality has improved substantially: impaired assets and provisioning each account for just ½ per cent of total lending. New Zealand banks appear to have high credit quality relative to Australian banks (Table 27). The capital adequacy ratio has changed relatively little but, at 10.5 per cent in 1996, remains comfortably above the BIS minimum requirement of 8 per cent. The lack of improvement in the ratio appears to be due to strong asset growth in recent years (RBNZ, 1996). Also, data on market risk (which measure how sensitive balance sheets are to changes in asset prices) indicate that exposures are currently low (RBNZ, 1997*a*).

Although it is too early to draw strong conclusions about the success or otherwise of the new banking supervision regime, there are a number of positive

Figure 34. **INDICATORS OF BANK SOUNDNESS**



1. Non-bank financial institutions only for 1997.
2. September 1997.

Source: Reserve Bank of New Zealand.

signs that the disclosure requirements are currently meeting their objectives (Brash, 1997):

- The financial news media have taken a close interest in the new regime with the quarterly disclosure statements being widely reported and scrutinised. This has been the case, for example, regarding the disclosure of non-compliance by one bank in relation to a particular prudential requirement.
- The regime seems to be encouraging banks to scrutinise each other's financial performance and risk positions. This is likely to assist banks to better manage their inter-bank exposures.
- The Reserve Bank has reported anecdotal evidence that bank directors are now exercising greater scrutiny in relation to their bank's risk positions. This in turn has flowed through into banks developing better risk management systems and requiring greater accountability at various levels of management. Some banks have initiated external reviews of their risk management procedures.

One of the benefits of a market-oriented approach to supervision is that it minimises the compliance costs faced by banks, and indeed this was one of the motivations for the reforms. Data presented to the Wallis inquiry into Australian banking indicate that New Zealand does appear to have very low compliance costs, at 1.4 basis points on total financial system assets. It is not clear whether this figure is strictly comparable with international data, but the Wallis report quotes compliance costs of 10.5 basis points in the United States, 7.6 in Australia and 2.8 in the United Kingdom.

In the area of securities regulation, New Zealand has adopted a light-handed approach with the Securities Commission's primary focus being on law reform, administration of the disclosure regime, monitoring and investigation. It is not primarily concerned with enforcement. The Ministry of Commerce is currently reviewing the role and functions of the Commission. The Securities Act is oriented towards self-enforcing actions and disclosure. There is no comprehensive analysis of the net impacts of this approach. Some concerns were expressed in the aftermath of the 1987 stock market crash that a ''wild-west'' securities market had been able to emerge. However, the above-mentioned review of securities law in 1991 concluded that there were no fundamental problems with the existing approach (although private enforcement of the law was identified as an area of weakness). In 1993, the Todd Task Force identified greater disclosure as desirable in the area of retail investment products and advice. The resulting legislation has only recently come into force and it is too early to assess its impact. Overall, New Zealand's securities regulation seems to be well regarded internationally.

Summary

In summary, although the evidence is partial, there are indications that, in many respects, the reforms have delivered on their objectives. This is most obvious in the case of price stability. Prior to 1984, New Zealand experienced a high and variable inflation rate. In the post-reform period the inflation rate has declined substantially and has been broadly in line with the Reserve Bank's targets. While there have been some criticisms of the Bank's implementation of policy, in hindsight, it is clear that liberalising financial markets made the Bank's job difficult because of reintermediation and internationally open capital markets.

Also, notwithstanding a difficult transition period, New Zealand's overall growth performance has been much better in the post-reform period, with a marked improvement in capital productivity, in particular. While this is undoubtedly a function of many factors, it seems very likely that the absence of constraints on savings and investment together with stable prices have been important contributors to this outcome.

The savings story is more complex. National savings do not appear to have shifted fundamentally in the post-reform period, and may have declined slightly. However, the sectoral composition of domestic savings is quite different: government and business have improved their savings performance, while the household savings rate has declined. Again, there are likely to be many factors at work here: by removing liquidity constraints on households, financial liberalisation generated a rapid expansion of household borrowing. But much depends on the definition of household saving: the current tax treatment of capital gains and home ownership means that there are strong incentives for households to invest in housing and particular savings instruments. Savings measures that take account of this show much higher household saving in recent years. Also, government actions to raise awareness of savings issues are relatively recent and it seems likely that they will take time to take effect.

Although the dependence on foreign savings involves some risks, it is not clear whether the persistence of a current account deficit reflects a fundamental macroeconomic imbalance. While domestic savings have not increased, and the liberalisation of capital flows has made access to foreign savings easier, the quality of New Zealand's foreign liabilities has probably improved and, on the whole, the foreign debt to GDP ratio has broadly stabilised, albeit at a very high level. Also, the increased ability of New Zealand firms to invest offshore has increased international investment income.

Deregulation, together with other structural and macroeconomic pressures has resulted in a major restructuring of the financial services sector during the 1980s and 1990s. In the early years of reform, such rationalisation was characterised by expansion, integration and diversification. In contrast, the post-crash period placed balance sheet pressures on many institutions. Although this did not result in any bank failures, it did generate a period of consolidation. A very large part of the financial services sector is now foreign-owned (predominantly by Australian firms).

There is no comprehensive measure of the efficiency of the financial sector. But partial indicators do show signs of improvement since the late 1980s. Probably the most important impact of liberalisation has been the marked improvement in quality of service and consumer choice that has emerged. Also, sector productivity has finally picked up, and margins and costs have declined. Profitability trends suggests that perhaps some of these improvements have been passed on to consumers.

The extent to which reform has assisted the stability and integrity of the financial system is hard to judge given the timing and effects of the 1987 stock market crash. It is certainly possible to argue, in hindsight, that, in the early years of reform, the regulatory incentives on institutions to manage their risks prudently were not particularly strong (there was perhaps the perception at the time that existing supervision arrangements meant that the government was underwriting banks' positions). In this sense, it is possible to conclude that the supervision regime did not keep pace with the forces generated by opening up the sector and may have exacerbated the effects of the crash (Hansen and Margaritis, 1993). The initial signs are that the recent move to relying more on market disciplines based on disclosure and accountability may be more effective.

Lessons from the reform and scope for further action

The preceding discussion indicates that it is difficult to make strong conclusions about the outcomes of reform since the relevant data are incomplete and disentangling the complex mix of policy and wider economic influences is not easy. Nevertheless, some broad lessons can be drawn, as discussed below, which might be of wider interest and, at the same time, help identify issues still to be addressed and associated policy requirements.

Assessment of progress to date

Among the lessons that emerge from New Zealand's experience of finance sector deregulation, the first one is that broad-based financial liberalisation produces conflicting pressures. For example, the interaction of a disinflationary monetary policy with financial price deregulation and open capital markets initially led to substantially higher borrowing costs. This encouraged a flow of funds into short-term fixed interest instruments and may have discouraged busi-

ness investment. Likewise, deregulation had conflicting effects on savings: uncontrolled interest rates created stronger incentives to save but also provided greatly enhanced access to credit. While the net effect on household savings appears to have been negative, the impact on government savings seems to have been positive.

Although the sequencing of financial reforms probably matters less than the traditional literature suggests, it was one factor in determining outcomes (Evans *et al.*, 1996). In particular, the late liberalisation of the labour market does appear to have had adverse effects both at a macro level (in terms of the costs of disinflation) and at a micro level (in terms of the finance sector's ability to rationalise in the late 1980s). In contrast, judging by the path of the trade balance, early capital account liberalisation does not appear to have generated lasting adverse effects on the tradable sector.

Reform of the financial sector has been characterised by a learning process. This is most obvious in the case of monetary policy implementation where ways of dealing with the new operating environment took time to emerge. But it is also true of financial services rationalisation. After an initial flurry of expansion and diversification, many institutions became over-stretched and subsequently were forced to exit some business lines, reassess their comparative advantage and consolidate their positions. This may reflect the nature of the financial sector as an industry in which ''information capital'' is crucial. In the early years of reform, stocks of information were low and took some considerable time to accumulate. Macroeconomic developments have reinforced this learning process. In particular, the asset price slump of the late 1980s was important in highlighting the risks of rapid expansion into new business. In the early years of reform a more market-oriented supervision regime would probably have highlighted these risks earlier and mitigated the impacts of the crash.

With respect to the conduct of monetary policy some lessons also emerge. First, as many other countries have found, financial deregulation results in reintermediation. This, in turn, weakens the relationship – at least for a time – between the monetary aggregates, prices and nominal outcomes. In combination with the freeing of capital movements, this was a factor in contributing to asset price volatility in the initial years of reform. Second, over time, asset prices have become finely tuned to the actions of the monetary authorities. This has had positive effects, in the sense of creating a very transparent and direct measure of

the Reserve Bank's credibility. But, at times, the greater sensitivity of financial markets to policy actions has also made it more difficult for the Bank to predict the effects of changes in the stance of monetary policy. On balance, given inflation outcomes over the last decade or so, the net impact of financial market liberalisation on the effectiveness of monetary policy would appear to have been positive.

At the same time, financial reform has been helpful in supporting higher quality fiscal policy. The broadening and deepening of securities markets has assisted in the management of public debt. In addition, financial liberalisation has imposed a very tight discipline on fiscal policy by ensuring that the quality or otherwise of budget decisions is immediately reflected in New Zealand's international risk premium. This means that the costs and benefits of fiscal actions translate faster into the real economy. The marked reduction of government involvement in the financial services sector has significantly reduced taxpayer risks and improved the government's balance sheet.

The interaction of different reforms was important. Financial market reforms supported other liberalisation measures. For example, open capital markets assisted rationalisation by firms facing reductions in border protection (in terms of access to funds and creating the option of investing directly offshore). They also generated pressures that encouraged other liberalisation measures. For instance, higher borrowing costs in previously favoured sectors (*e.g.* agriculture) added to the pressures for reform in those sectors. Likewise, other reforms, such as labour market deregulation, competition policy, consumer protection policy[94] and fiscal policy reform supported the achievement of better financial market outcomes and more effective monetary policy.

The failure to address some policy issues may have had adverse spillover effects into other areas of financial policy. A significant example of this is the lack of a neutral tax environment *vis-à-vis* savings instruments. The incentives this creates to invest in housing have complicated the conduct of monetary policy as the residential property market has become an important source of inflationary pressure even in the face of very high real interest rates.

Finally, the impact of reform does not only relate to efficiency. Deregulation has also had significant distributional effects. It has eliminated many of the inequities that operated previously. Credit rationing no longer exists to the disadvantage of particular types of borrowers and access to funds is no longer depen-

dant on whether the activities of a borrower are ones ''favoured'' by government. Also, the distribution of risks in relation to the integrity of the financial system has shifted from taxpayers more generally to shareholders and customers.

Current and future issues

A wide range of existing and future pressures will determine whether further reforms of the financial sector are required and what shape they should take. Some of these will arise due to ongoing structural change in the financial services industry. A number of these structural pressures have specific New Zealand dimensions to them. Others are common to most other OECD countries. There are also several outstanding policy issues that will shape future reforms.

Banking supervision

Prior to the introduction of the new banking supervision regime there was considerable consultation and debate as to its costs and benefits. Given the newness of the arrangements, and future structural change, this debate is likely to remain alive for some time to come. There are a number of significant benefits that the new regime should deliver to the New Zealand financial system (Brash, 1997; Ledingham, 1995). Most importantly, by imposing much stronger market disciplines on banks and by increasing the accountability of directors and management, it should encourage the adoption of better banking practices in general and improved risk management in particular. The quality of bank boards and managers should improve over time. Also, the supply of better information is expected to provide the market with greater scope to react to changes in a bank's financial position. In an increasingly complex and competitive financial services sector, the new regime will give borrowers and lenders better data on which to base investment decisions. Finally, it should reduce the chance of taxpayers being called upon to support an ailing bank.

But there are also a number of possible criticisms of the market-based approach (Brash, 1997; Ledingham, 1995; Mortlock, 1996). Some commentators have suggested that, given that almost all banks in New Zealand are foreign owned, the system effectively ''free-rides'' on the efforts of overseas supervisors. The Reserve Bank rejects this view, arguing that it continues to have access to considerable information on the financial position of banks and retains substantial powers to intervene if necessary. Also, the Bank has noted that, at the time the

review of supervision began, a significant proportion of the banking sector was New Zealand owned and the regime would have been introduced regardless of ownership changes. Moreover, in a highly integrated international banking system, host regulators will always, to some degree, be reliant on the efforts of home regulators, regardless of the supervision regime.

In addition, some concerns have been expressed that it is only through on-site investigations that the Reserve Bank can gain sufficient private information to be well placed to anticipate problems within individual banks. The Reserve Bank believes that, while this would increase the information available, it would not necessarily help anticipate bank distress, given the speed with which risk positions can alter and the breadth of most banks' operations. Also, any benefits of on-site examinations need to be traded-off against the risk that they blur the lines of management responsibility relative to those of the supervisor.

It has also been argued that frequent disclosure might result in adverse shifts in investor confidence if an unexpected deterioration in an institution's circumstances is revealed. In this sense, the new regime might actually result in *less* system stability in times of bank distress. With any level of disclosure this is a risk. The point of the new arrangements is that the combination of frequent and comprehensive disclosure, together with clear accountabilities for directors, should encourage banks to anticipate market reactions and to act quickly to avoid a worsening situation.

A further criticism of the approach is that, while it relies on disclosure, it is unrealistic to expect the vast majority of depositors to remain well-informed. However, while recognising the value of wide public readership of disclosure statements, the system does not rely on this. Rather, it assumes that the news media, financial analysts, investment advisors, wholesale creditors and banks themselves will see it as in their own interests to read and disseminate the information to a wider audience. Initial trends suggest that this is indeed the case.

Finally, it has been suggested that the new framework places an excessive burden on bank directors. While the requirements on directors are much greater than in the past, the view of the Reserve Bank is that, given their role, bank directors should rightly take a high degree of responsibility for the activities and risks faced by their institution. Indeed, even in the absence of new supervision arrangements, since 1993 the Companies Act has placed much greater responsi-

bilities on bank directors. Anecdotal evidence indicates that the latter are now taking a more proactive approach to risk management.

There are also some features of, and developments in, New Zealand's financial markets that are relevant to the further evolution of the supervision regime. *First*, New Zealand's banking industry has two unusual characteristics: around 90 per cent (by assets) of the sector is foreign owned (mainly by Australian institutions), and no international banking groups are headquartered in the country. This raises a potentially important issue: if a bank located in New Zealand did face financial distress (or there were wider system problems), it is likely that the origins of the difficulties would be in Australia. Thus, there is a possibility that the response of the New Zealand authorities might, to a significant degree, be shaped by their counterparts in Australia. This implies the need for close liaison between them.

Second, the standardisation of many traditional products and ongoing competitive pressures mean that further amalgamation of the bank and non-bank financial sectors is inevitable, as is the rationalisation of ownership structures. The trend towards amalgamation will be balanced by moves towards greater specialisation in some lines of business. Altogether, this is likely to increasingly lead to a ''segmented'' financial services industry with a few large international banks/insurers on the one hand and a large number of small niche operators offering specialist services.[95] This structural trend raises a particular policy question: should banks and non-bank financial institutions be subject to the same supervision regime if they are engaged in similar activities? The answer depends on the objectives of the regulation. In New Zealand supervision is aimed at minimising *systemic* risks and so the key issue is whether an institution's role in the financial system influences those risks (Ledingham, 1995). This suggests the maintenance of a regulatory framework covering a relatively narrow range of traditional banking institutions. Moreover, it is worth noting that, given the similar disclosure approaches adopted in banking supervision and securities law in New Zealand, any institutions that raise money publicly are effectively subject to similar regulatory requirements.

Generic structural issues

Several major technological innovations are currently underway in banking and these developments will become increasingly important over time. ATMs,

EFTPOS and telephones will continue to expand as delivery channels and the options available will increase. The only issue for regulators is whether increasing reliance on such electronic transactions might increase operational risks and, therefore, systemic risks. For the most part these technologies are well established and, given experience to date, this does not appear to be of major policy significance.

The policy implications of two other developments – stored value cards and Internet transactions – are less clear. Some commentators have predicted that over the next ten years or so ''smart cards'' will largely replace cash transactions for frequent transactions of low value (KPMG, 1997). Their widespread use would raise some policy issues in relation to the Reserve Bank's monopoly on seigniorage; as to whether non-bank issuers should be subject to a disclosure regime; and whether increasing flows outside the banking system might have implications for monetary policy. However, the technology for ''smart cards'' is in its early stages and electronic cash is, fundamentally, no different from physical cash. On balance, at this stage, they also do not appear to be of major policy relevance (Ledingham, 1996).

Two New Zealand banks are now providing Internet banking, which is predicted to expand steadily in future years. More generally, a number of international brokers and fund managers are offering their services via the Internet. These facilities raise similar regulatory issues to the use of smart cards, but with the added complication that issues of national jurisdiction arise. This means that consumers will need to be well informed about the financial standing of the institutions they are dealing with and the legal status of the transactions they are involved in. Also, given that at least two jurisdictions will be involved in any cross-border transactions, it will be important that the rights and obligations of each party are clear and contract enforcement mechanisms are in place.

Securitisation and the increased use of more innovative financial instruments (*e.g.* financial derivatives) have implications for prudential supervision. For example, rising securitisation of bank assets will have the effect of reducing banks' balance sheets and might also affect asset quality. Likewise, increased use of derivatives means that bank balance sheets may not necessarily be good indicators of the institutions' exposures. In general, these developments imply that regulation which promotes a focus on risk management processes and accountability by bank directors and managers is most likely to be effective. The

current supervision regime is consistent with this approach, but the authorities will need to monitor developments in this area.

Savings issues

It remains an open question whether New Zealand has a fundamental savings problem, and if it does, it is unclear what the cause is. However, the rejection of compulsory private superannuation in the September 1997 referendum (see Chapter III) shifts the policy debate back towards a retirement income system based on a mix of public provision and voluntary private saving. This approach raises a number of policy issues.

With respect to public provision, the two key issues are the long-term sustainability of the current scheme and the appropriate balance between public and private retirement income. These two issues are closely related: it would appear that the existing scheme is sustainable, provided governments *a)* run surpluses and reduce debt and *b)* make some adjustments to the system to reduce the level of payouts somewhat. To the extent that government leans towards reducing debt, private savings may be discouraged (as households see government effectively saving on their behalf). Alternatively, if the gains from an improved fiscal position are returned in the form of tax cuts, households may begin to raise their savings rates. A less generous public scheme would presumably also encourage private saving.

Apart from the level of public provision, the key issue in relation to private saving is the uneven tax treatment of different savings instruments mentioned above. The effect of the 33 per cent rate on superannuation funds is being addressed by moving to a tax credit scheme.[96] However, the treatment of profits made on the sale of assets remains problematic. There is no formal capital gains tax but some asset sale proceeds are taxed depending on the intent and business of the seller. This approach creates significant boundary issues. For example, the absence of a tax on capital gains from ‘‘passive’’ index-based funds clearly creates an incentive to design new indices. Likewise, the tax treatment of capital gains creates stronger incentives towards investment in real estate. The heavy reliance on income taxes relative to consumption taxes is also an issue.

The recent report of the Periodic Review Group on Retirement Income Policy has noted several other possible impediments to private saving:

- *Political uncertainty*. At this stage it is unclear whether a new political consensus will emerge on public pension provision.
- *Lack of well developed annuity markets (including housing equity conversion loans)*. There does not appear to be any particular policy impediment, although the existence of New Zealand Superannuation may in itself hinder the size of these markets. The predominant reasons for the lack of their development seems to be insufficient awareness by consumers and the commercial difficulty of making them attractive to investors. Relatively high real returns on fixed interest investments may also be a factor.
- *Inadequate consumer knowledge.* The establishment of the Office of the Retirement Commissioner in 1995 was one response to this concern. The Office's education role seems to have been moderately effective but it would appear that there is still progress to be made. The 1997 investment product and advisor disclosure regime may assist in this process, although some concerns have been expressed as to whether the compliance costs might outweigh the benefits (Benston, 1997).

In the absence of a structural shift in private savings patterns, it seems likely that foreign savings will remain a significant source of investment funds. However, as noted, given the composition of the current and capital accounts, it is not clear that this reliance on external savings is necessarily a major problem, although in the short run the external deficit complicates macroeconomic management.

Monetary policy

To the extent there are any ongoing concerns about monetary policy, they relate to implementation rather than the overall framework. Pressures in this respect will come from two sources. *First*, given the well-known problems of incomplete information and uncertainty on the one hand and the increased sensitivity of markets to Reserve Bank actions on the other, making judgements about future inflation pressures and the appropriate policy response will always be difficult. *Second*, changes in the structure of the finance sector (internationalisation, technological change, the changing role of banks, etc.) will continue to

present a challenge for the monetary authorities in terms of their ability to influence monetary conditions. In both instances, the most important policy issue is the Reserve Bank's capacity to learn from the past and anticipate the future.

Occasionally also, commentators have suggested that New Zealand capital markets are relatively thin and this might create difficulties for the implementation of monetary policy. In particular, a large proportion of government bonds is held by non-residents, and as the authorities intend to continue running fiscal surpluses, the supply of such bonds will diminish. However, other parts of the market are relatively deep (for example, the NZ dollar is a very actively traded currency). In the future, liquidity management could be conducted in other ways (such as forex swaps).

Government involvement in financial institutions

In order to reduce taxpayer exposure, the government has gradually reduced its direct involvement in the financial sector since 1984. This has mainly been through a programme of privatisation but has also involved restructuring and reducing some risks through, for example, limiting the coverage of the Earthquake Commission (EQC) fund and closing off the Government Superannuation Fund (GSF) to new members. Nevertheless, the government retains a residual interest in the financial sector, which leaves a significant degree of taxpayer exposure (New Zealand Business Roundtable, 1997).

The smallest of the risks in this regard relates to the National Provident Fund (NPF), which the government remains responsible for. Although a restructuring of NPF's operations in 1990 reduced taxpayer exposure, some ongoing risks remain, with the current public liability being around NZ$ 450 million (The Treasury, 1997).

The GSF has been closed off to new members, and reforms have been made to its operation.[97] However, in present value terms it currently has only NZ$ 3 billion of assets against NZ$ 11 billion of pension liabilities, taxpayers being liable for the difference. Also, there are constraints imposed on the form of assets held by the Fund. A recent report has argued that there is a plausible case for fully funding the GSF and allowing it to adopt a more conventional diversified asset portfolio (New Zealand Business Roundtable, 1997).[98] The report also suggests the possibility of tendering out the government's obligations under both

the NPF and GSF schemes and recommends considering full or partial amalgamation of their operations.

In the area of disaster insurance, the EQC fund continues to cover all residential property against natural disasters. The public ownership of the fund, and the legislative requirement to meet any shortfall in the fund's assets, leaves it with a maximum exposure of several billion dollars. As in the case of the GSF, there are limits on the form in which the fund's assets can be held.

Finally, the government continues to retain responsibility for the Public Trust Office (PTO). The Office was established in 1872, at a time when it was believed that independent trustee services were not being provided adequately by the private sector. However, there is now a range of private providers of trustee services. In December 1997, the government announced a restructuring of the PTO's commercial and public policy functions, including eventual removal of the government guarantee, and sought a court ruling as to the ownership of the net equity of the PTO.

Policy requirements

In light of the above discussion, a number of general and specific policy actions could be contemplated. At the general level, the structural pressures facing the financial sector (internationalisation, technological change, etc.) suggest the need for:

- Careful monitoring of such developments and their potential regulatory and monetary policy implications;
- Ongoing international co-ordination and co-operation in banking and securities legislation;
- Assisting consumer education and awareness in a rapidly changing market.

More specifically, with regard to savings, it is important that existing anomalies in the tax system be addressed. The intention to move to a tax credit option under the TTE regime for superannuation funds will be an important step (especially given that average tax rates will fall further in 1998). However, the compliance costs of this approach will need to be carefully monitored. Furthermore, the uneven treatment of tax on capital gains creates incentives for some sectors (mainly households) to ''over-invest'' in housing and the artificial bound-

ary between the treatment of ‘‘passive’’ and ‘‘active’’ managed funds needs to be examined. In doing so, a number of issues would have to be carefully considered: for example, the scale of any current investment distortions, and the necessity to distinguish between real and nominal gains and losses. More generally, the optimal balance between taxation of income, capital gains, and consumption is worth examining from a savings policy perspective.

Moreover, given the rejection of compulsory private retirement saving and the role of public pension provision in determining private savings, it is important that a political consensus on the status of New Zealand Superannuation be established. This includes examining the options for ensuring sustainability (*e.g.* possible changes in eligibility or the level of benefits) and clarifying the associated long-term fiscal strategy (*e.g.* debt repayment versus tax cuts versus more generous public provision). Given the difficulties of interpreting official savings data, policy development would be enhanced by better quality information.

Another area in which specific policy actions should be considered relates to minimising taxpayers’ risk exposure to government-owned financial institutions. In particular it would be useful to examine options for further limiting risks associated with the GSF and the NPF. Reforms might include more fully funding the GSF, allowing it to adopt a more diversified asset portfolio, amalgamating the two Funds, and tendering out the government’s obligations. Also there do not appear to be strong grounds for the government to retain ownership of the Public Trust Office. Finally, it would be worth examining whether the current arrangements in respect of the EQC are optimal from a risk management and efficiency viewpoint.

Regarding the payments system, with the Real Time Gross Settlements System (RTGS) now in place, two legislative reforms are still on the agenda: clarification of the law on netting financial contracts and payments and so-called ‘‘zero hour’’ legislation. The latter would clarify that the liquidation of a company commences from the time the liquidator is appointed and is an important adjunct to RTGS. Reducing cross-border transaction risks remains an area for reform and international linkages of RTGS systems are under discussion. Progress here will, however, importantly depend on international developments.

Finally, some aspects of securities law would benefit from tidying up. Private enforcement of the law was already identified by the Roche Report as an

area of concern in 1991 but no policies have been developed to address this. In 1993, the introduction of a new Takeovers Act was accompanied by the establishment of a panel to draft a takeovers code in order to govern takeover activity. However, the code was put on hold in 1995 until the effectiveness of the new Companies Act and the Stock Exchange's listing rules in protecting minority shareholders had been assessed. The future status of the code will need to be dealt with. Also, some residual legislation needs to be brought up to date with modern developments in the industry, the Life Insurance Act 1908 being the most notable example.

Notes

1. Quoted from the New Zealand Treasury December 1997 Economic and Fiscal Update.
2. Reserve Bank of New Zealand. *Briefing on the Reserve Bank of New Zealand*, October 1996.
3. The second stage of the tax cuts (amounting to NZ$ 1 billion) was postponed, however, damping the subsequent major downward revision in mid-1997.
4. Compensation payments to Maori people based on the 1840 Treaty of Waitangi.
5. Henderson, David (1995), ''The Revival of Economic Liberalism: Australia in an International Perspective'', *Australian Economic Review*, Jan.-Mar., pp 59-85. See also Annex I in OECD, *Economic Surveys, New Zealand 1994*, Paris, for a detailed chronology of New Zealand's economic reform programme.
6. OECD, *Economic Outlook 59*, Paris, 1996, p.43.
7. A considerable amount of caution is advised when estimating and interpreting potential output measures, particularly in the case of New Zealand because of the wide margins of uncertainty surrounding such calculations, given the extent of structural adjustment over the past decade. However, since policy makers must take a view on these matters, having ''an estimate'' is important. The OECD Secretariat estimate for New Zealand's potential output growth are in line with those of the Reserve Bank (Reserve Bank of New Zealand, *Monetary Policy Statement*, December 1997) and the Treasury (New Zealand Treasury, *Pre-Election Economic and Fiscal Update*, 1996).
8. Along with the factors noted below, there is an important measurement issue since New Zealand does not have an ''official'' capital stock series at the aggregate or sectoral level.
9. A recent study of New Zealand's business practices concluded, among other things that, ''The nineties have seen a revolution in organisation strategy and practice. This follows an initial period in the late 1980s in which firms struggled for survival and for new strategic direction. However, few New Zealand enterprises have yet fully developed these characteristics because the assets of sustainable advantage are created over a number of years.'' (Cited in New Zealand Treasury, *Briefing to the Incoming Government*, October 1996.)
10. See for example, Hall, Viv, ''Economic Growth'', in Brian Silverstone *et al.* editors, *A Study of Economic Reform: The Case of New Zealand*, Amsterdam, North Holland, 1996 and Chapple, Simon *et al.*, ''Unemployment'', same volume.
11. Hall (1996), *op. cit.*, p.51.
12. See for example, OECD, *Implementing the OECD Jobs Strategy: Lessons from Member Countries' Experience*, Paris, 1997.

13. Under this scenario, average annual potential output growth is 3.6 per cent, while under the ''status quo'' it is 2.8 per cent. See Annex II for details.

14. See Chapter III in OECD, *OECD Economic Surveys: New Zealand 1996*, Paris.

15. Details of some of these measures are contained in Annex III.

16. Such a Needs Based Assessment helps provide front-line staff with an indication of the level of assistance (both case management, and access to employment programmes) that the job seeker will require to obtain sustainable employment.

17. Youth Action and Job Action are intensive active labour market programmes both operated by the New Zealand Employment Service. In the first case, an employment advisor helps the young job seeker develop his/her plan for moving into sustainable employment. He/she is then referred directly into a job vacancy or to activities which will help him/her to find work, such as training or work experience. In the latter case, assistance begins with an in-depth review of the job seeker's work history, skills, aspirations and job search activities. After which the job seeker is referred to a one week workshop which aims to increase employability by enhancing self-esteem, communication and motivation. At the end of the workshop, the job seeker completes a plan outlining specific actions he/she will take towards finding a job within an agreed time frame.

18. In addition, a new contractual arrangement with a managing agency under the Skill Enhancement programme will recruit and place trainees with employers in the Auckland region. Through this initiative young Maori will be supported into secure jobs with training agreements leading towards nationally recognised qualifications. This will involve an orientation programme of about three weeks, and post-employment support. A parallel initiative will be introduced to assist young Pacific Islands people into industry training in greater Auckland.

19. Domestic Purpose beneficiaries (DPBs) and Widows' (WBs) with no children or a youngest child aged 14 years or more are required to be available for and seeking part-time work as a condition of benefit receipt. Spouses of Unemployment benefit recipients (UBs) with similar characteristics face a full-time availability-for-work test. Those DPBs, WBs and UBs spouses with a youngest child aged between 7 and 13 are required to attend an annual mandatory interview as a condition of benefit receipt.

20. Regional managers known as ''Regional Employment Commissioners'' will be appointed, with responsibility for determining how best to use regional resources to achieve the government's employment objectives.

21. See Harbridge, Raymond *et al.*, ''The Employment Contracts Act and Collective Bargaining Patterns: A Review of the 1996/97 Year'', Graduate School of Business and Government Management, Victoria University of Wellington, Wellington, mimeo.

22. See Maloney, Tim (1997), ''The 'New Economics' of the Minimum Wage? Evidence from New Zealand'', *Agenda*, Volume 4, Number 2, pp. 185-196, which is an update of an earlier study on the same subject.

23. Harbridge, Raymond *et al.* (1997).

24. See in particular, *OECD Economic Surveys of New Zealand* of 1993 and 1996 for more details.

25. See for example, Savage, John and David Cooling, ''A Preliminary Report on the Results of a Survey on the Employment Contracts Act'', New Zealand Institute of Economic Research, Wellington, 1996.

26. Harbridge, Raymond *et al.* (1997).

27. Drawn from Kiely, Peter, ''Employment Law Update'', Graduate School of Business and Government Management, Victoria University of Wellington, Wellington, mimeo, 1997.

28. The government is also reviewing other aspects of industrial relations, including the Holidays Act, in order to determine the extent to which employers and employees can be given flexibility to organise their own leave entitlements.

29. ACC is divided into four major accounts (employers, earners, motor vehicle and non-earners), which are separately funded by each of the various contributors.

30. See for example, Levine, Ross and David Renelt, ''A sensitivity analysis of cross-country growth regression'', *American Economic Review*, Vol. 82, No. 4, September 1992.

31. This Review was initiated by New Zealand car assemblers who desired clarification of the government's trade policy in this area, to allow them to make informed future investment and production decisions.

32. Among OECD member countries Japan, Norway and Iceland allow duty free entry of autos and light trucks.

33. Ministry of Foreign Affairs.

34. Fast-track authority allows the US administration to negotiate trade agreements without the involvement of the US Congress, who under such authority must vote only to accept or reject such agreements but not to amend them.

35. The Asia Pacific Economic Co-operation (APEC) grouping pledged to liberalise trade among themselves by 2010 for industrial country members and 2020 for developing country members. Both New Zealand and Australia are members of APEC.

36. World Trade Organisation, *Trade Policy Review: New Zealand*, Geneva, 1996, p. 111.

37. See for example, Duncan, Ian, ''Public Enterprises'', in Brian Silverstone *et al.* editors, *A Study of Economic Reform: The Case of New Zealand*, Amsterdam, North Holland, 1996.

38. The marginal tax rates measure the difference between the post-tax rate of return and the pre-tax rate of return on a given asset or financing source under the assumption that households will require the same return on these investments as the after-tax return they could get on a demand deposit. See OECD, *Taxing Profits in a Global Economy* (1991), which describes the methodology behind such a measure.

39. Note that these averages are not completely comparable to those contained in *Taxing Profits in a Global Economy* because the most recent calculations include the Czech Republic and exclude Turkey.

40. New Zealand has a two-step statutory personal income-tax scale for investment income (see Annex III for details). This combines with the Low Income Rebate (LIR) to produce a three-step effective tax scale for labour income (before the recent changes, these rates were 15 per cent on income up to NZ$ 9 500; 28 per cent on incomes between NZ$ 9 500 and NZ$ 30 875; and 33 per cent above NZ$ 30 875). The first NZ$ 9 500 of income eligible for

the LIR qualified for it at the rate of 9 cents in the dollar. As a person's income rose above the lower threshold, the LIR was reduced at the rate of 4 cents per additional dollar of income until the top threshold of NZ$ 30 875 was reached, at which point the rebate was completely removed. The LIR is being adjusted to accommodate the tax reductions and will maintain the lowest effective tax rate of 15 per cent for income earned between 0 and NZ$ 9 500.

41. Such a regime implies that contributions to, and income earned by, superannuation schemes are taxable while payments from these schemes are tax exempt.

42. The life insurance and superannuation funds pay the tax on behalf of contributors.

43. The referendum question simply asked New Zealanders whether or not they were in favour of the Retirement Savings Scheme which would be based on compulsory private provision.

44. The gross levels of NZS are NZ$ 19 710 per annum for a married couple, NZ$ 13 147 per annum for a single person living alone, and NZ$ 12 049 per annum for a single person sharing accommodation.

45. The Periodic Report Group is an independent body mandated by the Retirement Income Act 1993 to report on the state of the retirement income framework. The next report is scheduled for 2003.

46. The superannuation surcharge imposes a surcharge of 25 per cent on a pensioner's ''other income'' above a threshold level. For the 1997/98 income year the thresholds are NZ$ 10 296 for single superannuitants and NZ$ 15 444 for married couples.

47. New Zealand Ministry of Health, *Sustainable Funding Path*, 16 December 1996.

48. More details of the 1993 reforms can be found in OECD (1996).

49. Given economies of scale and a dispersed population, many hospitals in provincial areas will have monopolistic characteristics. Attempting to introduce competition into what is largely a bilateral monopoly between purchasers and CHEs, has resulted in only weak market-based incentives and sanctions.

50. New Zealand Ministry of Health (1996).

51. See Chapter III, OECD (1996).

52. New Zealand Ministry of Education, *A Future Tertiary Education Policy for New Zealand: Tertiary Education Review Green Paper*, September 1997.

53. However, a study of shareholder options is being undertaken for Television New Zealand within the constraints of the Coalition Agreement.

54. The government is also investigating options for the sale of Solid Energy Limited, and Wellington and Christchurch airports.

55. The following legislation has been selected for review: Building Act 1991, by March 1998; Health and Safety in Employment Act 1992, by December 1998; Privacy Act 1993, by July 1998; Human Rights Act 1993, by July 1998; and the Meat Act 1981, Dairy Industry Act 1952 and related legislation governing food safety, by March 1999.

56. For details on New Zealand's environmental policies, see OECD (1996*a*), *Environmental Performance Reviews: New Zealand*, Paris, 1996*a*.

57. To be specific land, water, the coast, subdivision, noise and the discharge of contaminants to land, air and water.

58. OECD (1996*a*).

59. It should be kept in mind that the economic costs imposed by the RMA must be viewed against the achievement of environmental outcomes, but admittedly these should not be onerous. Costs are not preferentially levied against industry or the business sector, rather they arise in the achievement of environmental outcomes. The RMA uses the ''user pay'' principle and has several safeguards against unreasonable charges.

60. OECD (1996*a*), *op. cit*., p.175.

61. A case study approach will be followed to assess the compliance costs of resource consents. The specific case studies will include the costs of time delays in processing resource applications. This study will explore the details of the consent process where delays are occurring and what costs are incurred. Other case studies will be assessing the cost effectiveness of land clearance controls, subdivision issues and urban issues. Other approaches to assess compliance costs include improving practice in assessment of the Environmental Court so as to reduce delays in appeal proceedings.

62. The study (released in December 1997) was undertaken by Ernst & Young and covered 73 businesses in the energy, mining, telecommunications, retail, commercial/industrial, manufacturing and tourism sectors.

63. The Environment 2010 Strategy, laid out in 1995, sets the country's long-term goals for and approaches to addressing environmental concerns. The management principles outlined in that strategy include: a commitment to sustainable resource management, application of the precautionary principle, the need to internalise environmental externalities and the importance of identifying least-cost policy tools to accomplish environmental objectives.

64. See for example, New Zealand Treasury, ''The Design of a Possible Low-Level Carbon Charge for New Zealand'', *Working Paper*, April 1997.

65. Such international obligations include those made under the UN Framework Convention on Climate Change to reduce carbon dioxide emissions to 1990 levels by the year 2000.

66. New Zealand Ministry of Transport, *National Land Transport Strategy Draft: Discussion Document*, 1997.

67. It is interesting to note that road transport is the only remaining segment of the transportation system which is yet to face major policy reform.

68. Up until 1989 there were explicit government guarantees in relation to the trustee savings banks and Post Office Savings Bank and an implicit guarantee in relation to the Bank of New Zealand due to its government ownership. Consequently, it has been estimated by the Reserve Bank that in 1984 the government owned or guaranteed around half of the broad money aggregate M3.

69. Although not widely articulated as an explicit objective of reform, deregulation also sought to achieve a more *equitable* distribution of borrowing costs and returns to savers (Treasury, 1984).

70. Prior to 1987 no formal supervision existed, although the four trading banks and the savings banks were monitored by the Reserve Bank in a general sense. The Reserve Bank Amendment Act 1986 introduced the first formal supervision regime that covered registered banks and other ''specified institutions''.

71. Tendering of government bonds commenced in 1983 but was tightly constrained by the Minister of Finance at the time.

72. Such as the introduction of a tender system for issuing Treasury bills.

73. The framework is described in detail in Grimes (1996), Mayes and Riches (1996), and in earlier OECD Surveys.

74. Such a regime implies that contributions to, and income earned by, superannuation schemes are taxable while payments from these schemes are tax exempt.

75. See Annex IV for details.

76. For a summary of recent changes in securities regulation, see Hawke (1997), pp. 13-15.

77. These pressures were exacerbated by the highly seasonal nature of the government's financing requirements.

78. The introduction of the Goods and Services Tax (GST) also contributed.

79. However, if the initial credit constraints were binding, then it is possible that their removal could have led to an increase in borrowing, and decline in net savings, despite higher real returns (see below).

80. In particular, given the creation of the Office of the Retirement Commissioner.

81. Another factor influencing household borrowing is the fact that since the early 1990s lending to households has been seen by banks as more attractive than lending to other sectors, in terms of both risk and margins.

82. The extent to which household and government savings trends have diverged may be suggestive of a ''Ricardian equivalence'' effect, with the higher government savings providing room for tax cuts and households bringing forward consumption in anticipation of those tax reductions.

83. Only if individuals ''actively'' trade stocks, bonds or real estate as part of their income earning activities are the resulting capital gains taxed.

84. The most common barrier was ''political uncertainty''. The survey also found that 46 per cent of respondents considered the tax surcharge on New Zealand Superannuation had a ''fairly big effect'' on willingness to save for retirement.

85. Foreign direct investment is defined as 25 per cent or more equity in a New Zealand enterprise. Long-term portfolio investment represents long-term bonds and corporate equity of less than 25 per cent.

86. In 1991 the Bank of New Zealand required a large capital injection from its then owner, the government. In 1989 the Development Finance Corporation (DFC) was placed in statutory management, although at the time it was not a registered bank.

87. Allowing for both retail and wholesale managed funds, bank deposits account for about half of total household financial assets (Westpac-FPG Household Savings Indices, June 1997).

88. Reported by stockbrokers Doyle Patterson Brown in a client newsletter dated 9 May 1995.

89. Its highest ranking so far has been 11th (out of 46) in 1995.

90. Another study shows already an improvement in TFP performance in finance and business services between 1973-83 and 1984-91 (Hall, 1996).

91. Among other things, interest margins over time will be affected by the fee/margin mix.

92. International comparisons of banking margins, costs and profitability need to be treated with some caution since they reflect not only regulatory and competitive factors but also business composition, strategic, technological and cyclical effects. It should also be noted that, in New Zealand, the decline in margins post-reform may be understated given that they are not adjusted for the average ''riskiness'' of lending (pre-reform risks were very low) and the move towards securitisation is not picked up (this would have reduced average costs to borrowers).

93. For details on customer service developments, see KPMG (various).

94. The two key pieces of consumer protection legislation are the Fair Trading Act 1986 and the Consumer Guarantees Act 1993. The Credit Contracts Act 1981 is also relevant to the financial sector.

95. Some of these niche services are already developing (*e.g.* no-frills mortgage suppliers, master funds, specialist investment advice, and financiers specialising in particular sectors).

96. Such a tax credit scheme will increase compliance costs relative to the current system. However, the scheme will be optional and will allow funds to choose different approaches in order to minimise their compliance costs.

97. In 1995, the Government Superannuation Fund Act was amended to allow contestability in scheme administration and investment management. Also clearer lines of accountability were established by removing the GSF Board and replacing it with an appeals board, with the scheme superintendent becoming chief executive.

98. The report was prepared for the New Zealand Business Roundtable and does not represent government policy.

Bibliography

Benston, G. (1997), Voluntary vs Mandated Disclosure: An Evaluation of the Basis for the Recommendations of the Working Group on Improved Investment Product and Advisor Disclosure, New Zealand Business Roundtable, Wellington.

Bollard, A. (1993), ''The Political Economy of Liberalisation in New Zealand'', Working Paper 93/2, New Zealand Institute of Economic Research, Wellington.

Bowden, R. and B. O'Donovan (1996), ''Financial Markets: Volatility and Policy'', in B. Silverstone, A. Bollard and R. Lattimore (eds.), A Study of Economic Reform: The Case of New Zealand, North-Holland, Amsterdam.

Brash, D. (1997), ''Banking Soundness and the Role of the Market'', An address to the IMF conference on Banking Soundness and Monetary Policy in a World of Global Capital Markets'', Reserve Bank of New Zealand, Wellington.

Buckle, R. (1988), ''Expectations and Credibility in the Disinflation Process'' Discussion Paper 33, New Zealand Institute of Economic Research, Wellington.

Carron, A. (1986), ''Financial Reform in Australia'' in H-S. Cheng (ed.), Financial Policy Reform in Pacific Basin Countries, Lexington Books, Massachusetts.

Cheng, H-S. (1983), ''Financial Reform in Australia and New Zealand'' Federal Reserve Bank of San Francisco Economic Review, Winter.

Deane, R. (1986), ''Financial Sector Policy Reform'', in RBNZ (ed) Financial Policy Reform, Reserve bank of New Zealand, Wellington.

Evans, L., A. Grimes, B. Wilkinson and D. Teece (1996), ''Economic Reform in New Zealand 1984-95: The Pursuit of Efficiency'', Journal of Economic Literature, Vol. XXXIV, December.

Färe, R., S. Grosskopf and D. Margaritis (1996), ''Productivity Growth'', in B. Silverstone, A. Bollard and R. Lattimore (eds.), A Study of Economic Reform: The Case of New Zealand, North-Holland, Amsterdam.

Farrell, J (1997), ''Securities Market Regulation and Competition Policy'', paper presented to the Asia-Pacific Regional Committee Conference, Beijing 16-18 April 1997, New Zealand Securities Commission, Wellington.

New Zealand Business Roundtable (1997), Government-Guaranteed Financial Institutions: Policy Issues Relating to the National Provident Fund, Government Superannuation Fund and the Public Trust Office, a report prepared by First NZ Capital for the New Zealand Business Roundtable, Wellington.

Grimes, A. (1996), ''Monetary Policy'', in B. Silverstone, A. Bollard and R. Lattimore (ed.), A Study of Economic Reform: The Case of New Zealand, North-Holland, Amsterdam.

Hall, V. (1996), ''Economic Growth'', in B. Silverstone, A. Bollard and R. Lattimore (eds.), A Study of Economic Reform: The Case of New Zealand, North-Holland, Amsterdam.

Hansen, E. and D. Margaritis (1993), ''Financial Liberalisation and Monetary Policy in New Zealand'', The Australian Economic Review, 4th Quarter.

Harper, D. and G. Karacaoglu (1987), ''Financial Policy Reform in New Zealand'', in A. Bollard and R. Buckle (eds.), Economic Liberalisation in New Zealand, Allen and Unwin/Port Nicholson Press, Wellington.

Harper, D. (1986), The Financial Services Industry: Effects of Regulatory Reform, Research Paper 35, New Zealand Institute of Economic Research, Wellington.

Hawke, G. (1997), ''The Role of Disclosure in Financial Market Regulation: The New Zealand Experience'', paper presented to meeting on Financial Markets Development, PECC, Santiago, 1 October, Institute of Policy Studies, Wellington.

KPMG (various) Financial Institutions Performance Survey, Wellington.

Ledingham, P. (1995), ''The Review of Bank Supervision Arrangements in New Zealand: The Main Elements of the Debate'', paper presented to the OECD Committee on Financial Markets, Paris, 20-21 June, Reserve Bank of New Zealand, Wellington.

Ledingham, P. (1996), ''Current Policy Issues in the Payments System'', paper presented to a conference on Cheque and Payments Processing, 26 November, Wellington, Reserve Bank of New Zealand, Wellington.

Ledingham, P. (1996), ''The Policy Implications of Electronic Payments'', paper presented to a conference on Consumer Payments Systems, 16 May, Auckland, Reserve Bank of New Zealand, Wellington.

Matthews, K. (1997), ''The State of the New Zealand Banking Industry'', Reserve Bank Bulletin, 60(2).

Mayes, D. and B. Riches (1996), ''The Effectiveness of Monetary Policy in New Zealand'', Reserve Bank Bulletin, 59(1), Reserve Bank of New Zealand, Wellington.

Mortlock, G. (1996), ''New Disclosure Regime for Registered Banks'', draft article, Reserve Bank of New Zealand, Wellington.

OECD (1997) Regulatory Reform in The Financial Services Industry: Where Have We Been? Where Are We Going?, Financial Market Trends, No. 67, June, Paris.

Periodic Review Group (1997), 1997 Retirement Income Report: A Review of the Current Framework: Interim Report, The Retirement Income Policies Periodic Review Group, Wellington.

Phillpott, B. (1991), ''Provisional Estimates of New Zealand Real Capital Stock by SNA Production Groups: 1950-1990'' Research Project on Economic Planning Internal Paper 233, Victoria University of Wellington.

RBNZ (1996), ''The Banking Sector in New Zealand: Aggregate Banking supervision Data'', Reserve Bank Bulletin 59(2), Wellington.

RBNZ (1997*a*), Briefing on the Reserve Bank of New Zealand, Wellington.

RBNZ (1997*b*), ''Monetary Implementation and Signalling: Review of Submissions and Decision'', Discussion Document, Reserve Bank of New Zealand, Wellington.

Savage, J. (1996), ''The Exchange Rate and Macroeconomic Management in New Zealand'', paper presented to the Pacific Economic Co-operation Council PEO Structure meeting, Osaka, 15-19 March, New Zealand Institute of Economic Research, Wellington.

Savage, J. (1997), ''Savings in New Zealand: A Background Paper'', Working Paper 97/8, New Zealand Institute of Economic Research, Wellington.

The Dominion (1997), ''New Zealand banks rated more competitive'', 8 October, p.23.

The Treasury (1984), Economic Management, Wellington.

The Treasurer (1997), The Budget Economic and Fiscal Update, The Treasury, Wellington.

Whitwell, J. (1986), ''Monetary Policy with a Deregulated Financial Sector'', in A. Bollard, and R. Buckle (eds.), Economic Liberalisation in New Zealand, Allen and Unwin/Port Nicholson Press, Wellington.

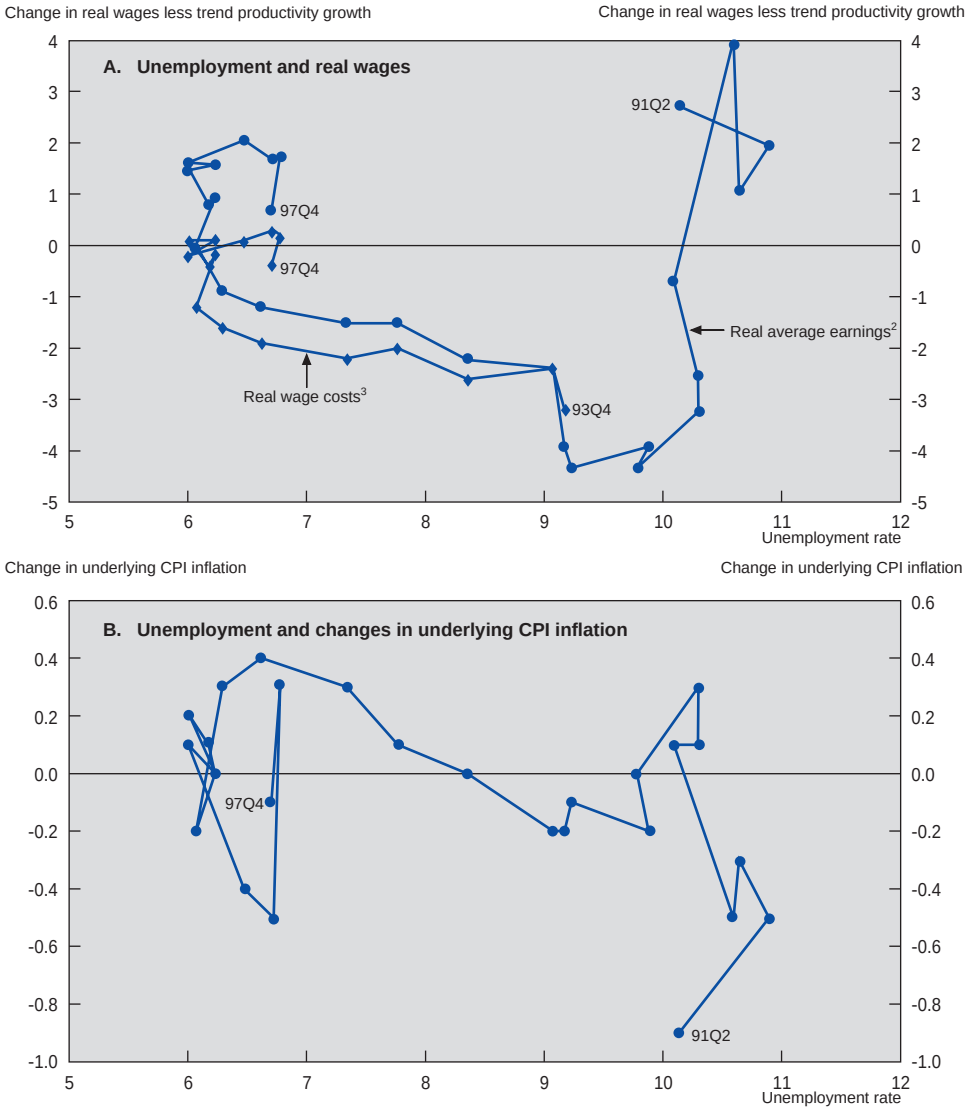
Annex I

Estimating potential output

The OECD Secretariat estimates potential output for New Zealand (as for all Member countries) using a structural, production-function approach.[1] This involves a number steps. First, a two-factor Cobb-Douglas production function is estimated for the business sector for given sample average labour shares. The estimated residuals from this equation are then smoothed to give measures of trend total factor productivity (TFP). Second, potential output for the business sector is then calculated by combining this measure of TFP with the capital stock (which is based on a constructed series) and estimates of ''potential'' employment, using the same estimated production function. The labour input is defined by the NAWRU (non-accelerating wage rate of unemployment); which in effect amounts to adjusting the actual labour input used in the estimated production function for the gap between actual unemployment and the estimated NAWRU level (see below). Third, potential output for the whole economy is then obtained by adding actual value-added in the government sector to the constructed business-sector potential (where actual value-added in the government sector is taken to be equal to potential output in that sector.)

As a starting point, the identification of the NAWRU is derived using the method described by Elmeskov (1993). This method essentially assumes that the change in wage inflation is proportional to the gap between actual unemployment and the NAWRU. Assuming also that the NAWRU changes only gradually over time, successive observations on the changes in inflation and actual unemployment can then be used to calculate a time series corresponding to the implicit value of the NAWRU.[2] This estimate is supplemented with information provided by other relationships, such as those involving real wages. Plotting the annual changes in real wages (measured relative to producer output price inflation) less trend productivity growth (assumed to be 1½ per cent) against the current unemployment rate (Figure A1, panel A) shows that in the post-Employment Contracts Act (1991) period, real wages moved ahead only as the unemployment rate approached 6 per cent. This suggests that the equilibrium rate of unemployment is around 6 per cent. This view tends to be supported by Figure A1, panel B which shows that there has been a gradual decline in underlying inflation pressure as the unemployment rate has moved upward from the low of 6 per cent reached in mid-June 1996.

Figure A1. **UNEMPLOYMENT AND INFLATIONARY PRESSURES FOLLOWING THE EMPLOYMENT CONTRACTS ACT**[1]



1. Real wages are measured as the annual change on the relevant wage variable less the annual change in producer price inflation and an assumed trend productivity growth rate of 1.5% pa.
2. Based on average hourly earnings (ordinary time).
3. Based on total labour costs.

Source: Statistics New Zealand and Reserve Bank.

The OECD Secretariat currently projects potential output growth for New Zealand of 3 per cent over the next several years with total factor growth contributing 1 per cent to that total and a structural unemployment rate of around 6 per cent. This compares with the Reserve Bank of New Zealand which, in its December *Monetary Policy Statement*, estimated potential output growth of 3.5 per cent in 1998 (March year) falling to 2.6 per cent in 2000 and with total factor productivity declining from 1.1 per cent to 0.5 per cent over the same period.

Notes

1. It must be noted that using time series methods for New Zealand is somewhat problematic because of the high degree of structural adjustment that has taken place over the past decade or so, and because of the absence of official capital stock data. Nevertheless, for consistency of treatment across countries, the OECD Secretariat has opted to use these methods for New Zealand, supplemented with other analytical tools as well as judgement. The OECD methodology is described in Giorno, Claude *et al.*, ''Estimating Potential Output, Output Gaps and Structural Budget balances'', *Economics Department Working Papers*, No. 152, Paris, 1995, and the following is drawn heavily from that reference.
2. In algebraic terms: it is assumed that the rate of change of wage inflation is proportional to the gap between actual unemployment and the NAWRU and thus,
   $D^2\log W = -a(U - NAWRU)\ a > 0$
   where D is the first-difference operator and W and U are the levels of wages and unemployment; assuming further that NAWRU is constant between any two consecutive time periods, an estimate of a can be calculated as,
   $a = -D^3\log W/DU$
   which, in turn can be used to give theestimated NARWU as:
   $NARWU = U - (DU/D^3\log W)*D^2\log W$
   The resulting series is then smoothed to eliminate erratic movements.

References

Elmeskov, Jorgen, ''High and Persistent Unemployment: Assessment of the Problem and its Causes'', *OECD Economics Department Working Paper*, No. 132, 1993.

Annex II

Some illustrative scenarios for economic growth

Structural change is critically important to New Zealand if its standard of living *relative* to other OECD countries is not only to be maintained, but improved as well. As noted in Chapter III (Figure 15), the income gap – measured by GDP per capita, based on

Table A1. **Economic growth scenarios**

Average annual growth

	1997-2003	2004-2010	2011-2020
New Zealand [1]			
Real GDP, status quo	3.2	2.9	2.3
Real GDP, improved efficiency	3.3	3.4	2.8
Real GDP, high performance	3.4	3.9	3.1
Population	1.2	1.0	0.8
United States [2]			
Real GDP	2.4	2.4	2.1
Population	0.7	0.7	0.7
Japan [2]			
Real GDP	2.5	2.5	1.8
Population	0.2	0.0	–0.3
Total OECD [2]			
Real GDP	2.8	2.8	2.3
Population	0.5	0.4	0.4

1. The ''status quo'' scenario assumes capital stock growth of 2.8 per cent per annum, total factor productivity growth of 1.0 per cent per annum, and a structural unemployment rate of 6 per cent per annum; ''improved efficiency'' assumes capital stock growth of 2.8 per cent, total factor productivity growth of 1.5 per cent, and a structural unemployment rate of 5 per cent; and ''high performance'' supposes capital stock growth of 3 per cent, total factor productivity growth of 1.75 per cent, and a structural unemployment rate of 3 per cent. Population projections for New Zealand come from Statistics New Zealand and are based on a ''medium'' fertility and mortality rate, and net immigration of 10 000 per annum. Note that the data refer to average annual rates of growth and are slightly different than the simple average rate of growth presented in Table 7 in the text.
2. Growth estimates are based on the average of ''high performance'' and ''business-as-usual'' scenarios outlined in *OECD Economic Outlook 62*, 1997, population data come from UN, *World Population Prospects*.

Source: UN, *World Population Prospects, 1950-2050* (revised), New York, 1996; Statistics New Zealand, *Key Statistics*; OECD, *Economic Outlook 62*, and Secretariat estimates.

current purchasing power parities[1] – between New Zealand and the OECD average remains substantial, at around 15 per cent or so in 1996. To close this gap will require considerably faster rates of economic growth in New Zealand than elsewhere.

Under the ''status quo'', meaning no change in economic performance, New Zealand's per capita incomes are projected to decline slightly against the OECD average over the next several decades.[2] This scenario assumes (Table A1) capital stock growth of 2.8 per cent per annum, total factor productivity (TFP) growth of 1 per cent per annum, and structural unemployment remaining at the currently projected rate of 6 per cent. (Estimates of population growth come from Statistics New Zealand and follow the ''medium'' fertility, mortality and immigration assumption (that is, 10 000 per annum). If there is some improvement in economic efficiency, a boost in TFP from 1 to 1.5 per cent and a slight decline of the structural rate of unemployment by 1 per cent, New Zealand's relative income is projected to stabilise at the current level. On the contrary, under a ''high performance'' scenario, capital stock growth of 3 per cent per annum, TFP growth of 1.75 per cent per annum, and a substantial decline of the structural unemployment rate to 3 per cent, the income gap between New Zealand and the OECD average is projected to narrow to around 10 per cent by 2020.

These scenarios highlight the difficult task New Zealander's face in improving their per capita real incomes, compared with the OECD average. In this regard, further structural reform may provide more favourable conditions for capital accumulation, enterprise and innovation (see Chapter III for details) and hence augment progress in ''catching-up''.

Notes

1. The purchasing power parities (PPPs) used are those calculated by the OECD and published in *Main Economic Indicators*. In the projections, PPPs are assumed to be unchanged from 1996.
2. Economic assumptions for the United States, Japan and the OECD area come from OECD, *Economic Outlook, 62*, December 1997, Tables 14 and 17, and are an average of the ''high performance'' and ''business-as-usual'' projections contained therein. Population projections are derived from the UN (see Table A1).

Annex III

Recent changes to the tax system

Tax Administration

A major tax reform was the introduction of the new Disputes Resolution regime. This was effective from 1 October 1996. The new procedures are designed to settle arguments over the correctness of an assessment or amended assessment before it is issued. This is intended to reduce potential litigation, remove unnecessary compliance costs and secure prompt and equitable resolution of disputes. The disputes resolution process is now broken down into five identifiable phases:

- Pre-assessment – tax disputes are formally initiated by the issue of a notice of proposed adjustment (NOPA) by the commissioner.
- Conference – if matters remain in dispute after the filing of the NOPA and the notice of response, parties are generally required to attend a conference (with their legal representatives) to discuss and clarify the various facts and issues.
- Disclosure – the disclosure process aims to allow the taxpayer and Commissioner to lay all their cards on the table and delineate the nature and scope of the dispute.
- Adjudication and Review – the adjudication unit of IRD will appoint an adjudicator to determine the issue.
- Litigation – the case is then decided by the Courts.

At each stage of the pre-assessment procedure a two-month time limit applies. Failure to respond within the time limit means the other party's position is deemed to be accepted. A small claims jurisdiction has now been established within the Taxation Review Authority. Decisions are non-precedential with no right of appeal.

In parallel with these rules, a new Compliance, Standards and Penalties Regime has been introduced from 1 April 1997. The key features are: a late filing penalty and automatic late payment penalty of 5 per cent on unpaid tax plus 2 per cent per month; two-way use of money interest for overpayments and underpayments of tax from the original due date; civil shortfall penalties determined in relation to benchmark standards of care; and criminal penalties for failing to comply with an obligation and tax evasion. The key areas of offences for criminal penalties are: absolute liability offences for not keeping or providing required information; offences for knowingly failing to comply with an obligation; and evasion. For absolute liability offences a maximum fine of NZ$ 12 000

applies for third and subsequent offences. For other general offences the maximum fine is NZ$ 50 000. A new maximum term of five years imprisonment and/or a fine of NZ$ 50 000 applies for tax evasion offences and failure by an employer to account for PAYE deductions.

International Tax

Transfer pricing

In April 1996 the transfer pricing regime came into effect. This provides that prices charged between related parties must be arm's-length (assuring fair-market valuation) as determined under OECD principles. Before this, New Zealand relied on a rule which allowed the Commissioner to impute a rate-of-return to non-resident controlled companies to protect the tax base from transfer-pricing manipulation. However, the rule was changed as it was considered appropriate that New Zealand's tax treaties require application of the arm's-length standard. The transfer pricing regime was projected to bring in around NZ$ 40 million to NZ$ 140 million.

Thin Capitalisation

Another reform to protect the tax base, the thin capitalisation rule also became effective in April 1996. this provides that if a non-resident controlled New Zealand company over-allocates interest expense to New Zealand, the excess interest is disallowed a tax deduction. A safe-harbour 3:1 debt/equity ratio is allowed before the regime applies. If the safe-harbour is breached, the New Zealand debt/equity ratio is compared to the non-resident owner's world-wide group's debt/equity ratio. If the New Zealand ratio is higher, than the excess of the New Zealand debt (over that expected if the world-wide debt/equity ratio applied), then the interest on the excess is disallowed a tax deduction. This reform was projected to provide around NZ$ 10 million to NZ$ 25 million.

Reduction in Rate of Tax on Non-Resident Companies

In 1996, the rate of tax on non-resident companies with permanent establishments in New Zealand was reduced from 38 per cent to 33 per cent (the same as the rate of tax on New Zealand-resident companies). The reason is to remove the 5 per cent differential which had applied to make up for the fact that there is a non-resident withholding tax applied to distributions from branches (as opposed to New Zealand companies). this non-resident withholding tax was effectively offset with the extension of the Foreign Investor Tax Credit, so it was appropriate to reduce the tax rate on non-resident companies as well. This reform was projected to cost approximately NZ$ 15 million per year.

Extension of Foreign Investor Tax Credit

In December 1995, the Foreign Investor Tax Credit (FITC) was made available to dividends paid to all shareholders of New Zealand companies. Previously, the credit was

available only for dividends paid to shareholders with less than 10 per cent interests. The FITC is intended to reduce the total New Zealand tax imposed on non-residents investing in New Zealand companies. FITC is a company tax credit allowed when an imputed dividend (indicating company tax was paid) is paid to non-resident shareholders. The value of the credit must also be paid as a supplementary dividend to non-resident shareholders; the result is that the sum of the company tax and the non-resident withholding tax imposed on earnings distributed to non-residents cannot exceed the company tax rate (33 per cent). This reform was projected to cost approximately NZ$ 100 million to NZ$ 115 million.

Personal Tax

Personal Tax Scale

Prior to 1 July 1996, the statutory personal-tax rates were as follows:

- 24 per cent on taxable income up to NZ$ 30 875; and
- 33 per cent on taxable income above NZ$ 30 875.

The statutory personal-tax rates apply to investment income (for example, interest on bank deposits and dividends). The statutory rates combine with the low income Rebate (LIR) to produce the effective tax scale for labour income. Prior to 1 July 1996 this tax scale was as follow:

- 15 per cent on income between zero and NZ$ 9 500;
- 28 per cent on income between NZ$ 9 500 and NZ$ 30 875; and
- 33 per cent on income above NZ$ 30 875.

On 1 July 1996 the lower statutory tax rate was reduced from 24 per cent to 21.5 percent and the threshold separating the two rates was increased from NZ$ 30 875 to NZ$ 34 200. The LIR was also adjusted to give the following effective tax scale for labour income:

- 15 per cent on income between zero and NZ$ 9 500;
- 24 per cent on income between NZ$ 9 500 and NZ$ 34 200; and
- 33 per cent on income above NZ$ 34 200.

On 1 July 1998 the lower statutory tax rate will again be reduced, from 21.5 per cent to 19.5 per cent and the threshold separating the two rates will also be increased from NZ$ 34 200 to NZ$ 38 000. The LIR will also be adjusted to give the following effective tax scale for labour income:

- 15 per cent on income between zero and NZ$ 9 500;
- 21 per cent on income between NZ$ 9 500 and NZ$ 38 000; and
- 33 per cent on income above NZ$ 38 000.

The legislation giving effect to the 1 July 1998 changes has been enacted. They were deferred from 1 July 1997 to allow for additional expenditure in priority areas, and to

limit inflation pressures. The combined impact of the two sets of rate reductions on tax revenue over the four fiscal years 1996/97 to 1999/00 is estimated to be: NZ$ 1 181 million, NZ$ 1 253 million, NZ$ 2 431 million and NZ$ 2 518 million.

Family support: Independent Family Tax Credit (IFTC)

The IFTC was introduced on 1 July 1996. It is available to working families who are not receiving significant support form the State. From 1 July 1996 the IFTC reduced the tax paid by eligible families by NZ$ 7.50 per week, per child. On 1 July 1997 the IFTC was increased to NZ$ 15 per week, per child. The full amount of IFTC is available to eligible families with taxable income up to NZ$ 20 000 per annum. It reduces by 18 cents in the dollar of family income between NZ$ 20 000 and NZ$ 27 000 per annum, and by 30 cents in the dollar of family income above NZ$ 27 000 per annum. The estimated aggregate fiscal cost of the IFTC over the four fiscal years 1996/97 to 1999/00 is NZ$ 624 million.

Family Support: Family Support Tax Credit

Family Support Tax Credit is a form of targeted assistance for low- and middle-income families with dependent children. It has the same abatement schedule as the IFTC. The rates of Family Support have changed as follows:

	Pre-1/7/96	From 1/7/96	From 1/7/97	From 1/1/98
For eldest child:				
aged 0-15	NZ$ 42.00	NZ$ 44.50	NZ$ 47.00	NZ$ 47.00
aged 16-18	NZ$ 42.00	NZ$ 44.50	NZ$ 47.00	NZ$ 60.00
Each other child:				
aged 0-12	NZ$ 27.00	NZ$ 29.50	NZ$ 32.00	NZ$ 32.00
aged 13-15	NZ$ 35.00	NZ$ 37.50	NZ$ 40.00	NZ$ 40.00
aged 16-18	NZ$ 35.00	NZ$ 37.50	NZ$ 40.00	NZ$ 60.00

There are no accurate estimates of the fiscal impact of these changes, but they are likely to be less than NZ$ 50 million.

Guaranteed Minimum Family Income (GMFI)

The GMFI is a tax credit that supplements the incomes of low-wage working families with dependent children. To qualify for GMFI a sole parent has to be employed for at least 20 hours per week, and a couple has to have a combined total of at least 30 hours per week of employment. On 1 July 1996 the guaranteed after-tax income was increased from NZ$ 278 to NZ$ 284 per week. On 1 July 1998 the GMFI will be further increased to NZ$ 290 per week. The estimated fiscal cost of the 1 July 1998 increase in GMFI is around NZ$ 1 million.

The New Zealand Superannuitant Surcharge

The New Zealand Superannuitant (NZS) surcharge imposes a surcharge of 25 per cent on a surperannuitant's ''other income'' above an income threshold. For the 1993/94 to 1995/96 income years the thresholds were: NZ$ 4 160 for single superannuitants; and NZ$ 6 240 for a married couple. For the 1996/97 income year the income thresholds were increased to: NZ$ 4 550 for single superannuitants; and NZ$ 6 825 for a married couple. For the 1997/98 income year the income thresholds were increased to: NZ$ 10 296 for single superannuitants; and NZ$ 15 444 for a married couple. The fiscal cost of these increases to the income thresholds were estimated (1996) to be NZ$ 35 million in 1996/97 and NZ$ 70 million in 1997/98. there were also some minor technical amendments made to the NZS surcharge in 1996.

On 1 April 1998 the NZS surcharge will be abolished. The legislation giving effect to the abolition of the surcharge has been enacted. The estimated fiscal cost of the abolition of the surcharge is as follows: NZ$ 24.9 million in 1997/98; NZ$ 230.3 million in 1998/99; NZ$ 279.2 million in 1999/00; and NZ$ 279.2 million in 2000/01.

The Government's tax strategy is to actively maintain the current income and GST (Goods and Services Tax) tax bases. This involves identifying and closing tax loopholes which provide opportunities to avoid tax, broadening the tax bases where it is desirable, and reducing any significant economic distortions. The Taxation of Life Insurance and Superannuation (TOLIS) project is a current tax reform initiative. The project aims to integrate the personal and entity-level taxation of life and superannuation fund investment to ensure individuals are taxed at their personal marginal tax rate. This will effectively ensure consistent tax treatment with other forms of investment, for example, company or unit trust investments.

Annex IV

Key financial sector reforms

1984	July	General election on 14 July. Reserve Bank suspends trading in foreign exchange on 15 July. On 18 July: 20 per cent exchange rate devaluation, removal of most controls on lending and deposit rates. 27 July: first government bond tender under new policy of fully funding the fiscal deficit at market interest rates.
	August	Reserve Bank's discount window opened to all holders of government stock with a maturity of less than six months. Removal of remaining interest rate controls.
	September	Removal of three export credit assistance facilities administered by the Reserve Bank. Removal of Reserve Bank approval and guarantees for institutions in the short-term money market.
	October	Abolition of restrictions on interest rates on overseas borrowing.
	November	Most outstanding directives from the Reserve Bank to trading banks rescinded. Removal of restrictions on access of overseas-owned firms operating in New Zealand to domestic financial markets. Removal of restrictions on New Zealand financial institutions borrowing overseas.
	December	Removal of automatic access to the Reserve Bank's discount window for government securities with more than six months to maturity. Removal of restrictions on New Zealand residents purchasing foreign exchange for investment purposes. (These exchange controls dated back to 1938.)
1985	January	Reserve Bank begins paying interest on trading bank settlement accounts. Liquidity management improved by introduction of tender system for issuing Treasury bills.
	February	Abolition of all compulsory ratios on financial institutions (including reserve asset ratios, public sector security ratios and housing and farming investment ratios).
	March	New Zealand dollar floated on 4 March. Abolition of limits on foreign ownership on New Zealand financial institutions.
	November	Plans for more permissive banking legislation announced.
1986	April	Further changes to policies relating to discountable securities.
	March-May	Liberalisation of stock exchange rules including: incorporation of sharebroking firms permitted; removal of restrictions on advertising and marketing of services; firms allowed to facilitate merger arrangements; removal of a scale of commissions fixed by the exchange.

	May	New ''light-handed'' approach to competition policy introduced in the form of the Commerce Act.
	June	All but one of the trustee savings banks announce their intention to merge in anticipation of government removal of restrictions on the sector.
	July	New banking legislation introduced allowing the registration of new banks and Reserve Bank supervision of a wider range of financial institutions.
1987	January-April	Corporate structures introduced for state-owned enterprises (SOEs). Privatisation programme begins with partial privatisation of the Bank of New Zealand. New banking legislation takes effect.
	December	Further economic reform measures announced. Included are plans to make superannuation funds, life offices and related organisations subject to taxation.
1988		Securities Amendment Act introduced to: provide remedies against insider trading in the securities of public issuers; require disclosure of interests by public issuers; and regulate dealing in futures contracts.
	April	Imputation regime introduced: unit trusts are taxed at investors' marginal rate.
	June	Development Finance Corporation (DFC) sold to National Provident and Salomon Brothers.
	July	New Zealand Debt Management Office established.
1989		TTE tax regime introduced: retail and wholesale superannuation schemes are placed on the same footing.
		Further liberalisation of foreign direct investment.
	August	Sale of Rural Bank to Fletcher Challenge.
	December	Reserve Bank Act passed. Reserve Bank's operational independence increased and price stability become the explicit focus of monetary policy.
1990	March	Review of Companies Act, securities legislation and takeover law announced.
	May	Sale of State Insurance Office of Norwich Insurance.
1991	November	Existing government retirement income scheme changed to new National Superannuation scheme with higher abatement rates and a progressive increase in age of eligibility to 65. Tightening of tax surcharge.
	December	Announcement of new regulatory regime for foreign direct investment in order to streamline approvals and increase promotion of New Zealand as an investmnet destination. Also, the government legislated that unrelated non-residents need no pay non-resident withholding tax of 10 or 15 per cent on interest received on New Zealand securities, but would instead pay a much smaller levy.
1992	July	Sale of Bank of New Zealand to National Australia Bank.
		Todd Task Force'' on Private Provision for Retirement Reports. Task Force recommends improved voluntary private provision to be integrated with existing public provision. Better public information on savings issues, products and institutions recommended. The Task Force raised a number of issues to do with the tax treatment of superannuation funds. Tax incentives to save are rejected.

1993	July	Government moves to facilitate overseas investment in domestic government securities by requiring the Debt Management Office to pay the 2 per cent levy on interest income of non-resident investors.
		''Accord'' on superannuation policy signed by political parties. Retirement Income Act introduced.
		The government decides that it will itself meet the levy payable on interest on government bonds. The Foreign Investor Tax Credit is introduced. This effectively offsets the non-resident withholding tax on dividends paid to portfolio shareholders if company tax had been paid on distributed earnings.
		New Companies Act and Takeovrs Act introduced. The Companies Act codified directors' duties and enhanced minority shareholders rights.
1994	June	Fiscal Responsibility Act introduced requiring greater transparency and accountability in the conduct of fiscal policy. Governments required to follow principles of sound fiscal management and make deviations from fiscal norms explicit.
1996	January	New banking supervision legislation introduced. The new framework is centred on an extensive public disclosure regime for banks. The regimes also imposes strong responsibilities on bank directors regarding the content of disclosure statements. The Reserve Bank retains responsibility for bank registration, supervision and monitoring and extensive powers to intervene if the stability of the financial system is threatened.
		Investment Advisor (Disclosure) Act and Securities Amendment Act introduced (to come into effect in October 1997). These Acts set down specific disclosure requirements for providers of financial instruments and advice and maintain a ''light-handed'' approach to securities regulation.
1997		Payments system reform begins with the introduction of a real time gross settlements system.
		Reserve Bank introduces formal monetary conditions index (MCI).
	July	Government releases report by the Taxation of Life Insurance and Superannuation Group (TOLIS) which was set up to suggest a more neutral tax treatment of superannuation fund earnings. The government favours a tax credit option.
		Interim report of the Periodic Report Group (PRG) on Retirement Income Policy is released. PRG broadly supports existing system of public provision together with voluntary private saving. Some long-term adjustments to the existing scheme were explored including income testing and raising the age of eligibiltiy.
	September	Referendum rejects proposed compulsory retirement savings scheme.

Annex V

Chronology of main economic events

1996

January

Standard and Poor's raised New Zealand's long-term foreign-currency credit rating to AA+ from AA because of the country's ''prudent fiscal and monetary policies''.

February

Moody's raised the government's debt rating to AA1, reducing the number of countries rated ahead of New Zealand to nine.

The Government announced that, at the end of 1995, its assets outstripped its liabilities by NZ$ 1.8 billion. Since the first Crown balance sheet was produced in 1992, the Government's net worth has improved by nearly NZ$ 10 billion.

Tax Reduction and Social Policy Programme announced (TRASP): *a)* a two-stage programme of tax reductions; and *b)* increase in family assistance and work incentives given changes to benefit abatement rates and introduction of an independent family tax credit.

March

The Reserve Bank released its March Economic Projections, forecasting underlying inflation in the years to September 1996 and 1997 of 1.9 and 0.8 per cent, respectively.

April

The March quarter consumer price index was released and underlying inflation breached the 0 to 2 per cent target band, prompting the Minister of Finance to assess the performance, as required by the Policy target Agreement, of the Reserve Bank Governor.

May

The 1996 Budget was presented. The main features were:

- Forecasts show a surplus of NZ$ 2.8 billion in 1996/97, rising to NZ$ 4.9 billion in 1989/99.
- Debt repayment, which will yield savings on interest payments of around NZ$ 1.1 billion in 1989/99.
- Under the TRASP programme, a range of policies designed to return over NZ$ 3 billion into the hands of working New Zealanders by 1998/99.
- In the 1997/98 year, new spending of NZ$ 546 million, primarily for health and education.

June

Sale of government's 49.9 per cent shareholding in the Maori Development Corporation Limited. The sale price was NZ$ 20.93 million (25 June 1996).

Release of the Reserve Bank's June Monetary Policy Statement. Underlying inflation in the years to December 1996 and 1997 was projected to be 2.4 and 0.9 per cent, respectively.

July

First stage of tax and social policy programme took effect.

August

Sales of the Crown's shares in Forestry Corporation of New Zealand Limited to a Fletcher Challenge Ltd consortium in a deal which valued the assets at NZ$ 2.026 billion.

Sale of the Crown's shares in Works Corporation. The sales price plus associated capital repayments was NZ$ 112 million.

September

The government released its Pre-election Economic and Fiscal Update, which projected a rise in the operating surplus from NZ$ 2 billion in 1996/97 to NZ$ 6.4 billion in 1999/2000.

The Reserve Bank released its September Economic Projections, forecasting underlying inflation in the years to December 1996 and 1997 of 2.5 and 0.8 per cent, respectively.

October

General Election was held under the new Mixed Member Proportional representation system. Parties entered into Coalition negotiations following election night when no

clear majority emerged. The National Party now holds 44 seats in parliament, New Zealand First 17, the Labour Party 37, the Alliance Party 13, Act 8 and United 1.

December

The National and New Zealand First Parties emerge from negotiations to form a Coalition Government. Coalition Agreement is published, which sets out the Coalition government's guiding principles and a three-year policy programme.

The new position of ''Treasurer'' is created, and heads up the finance portfolios.

A new Policy Targets Agreement between the Reserve Bank Governor and the Minister of Finance was signed and the inflation target was widened from 0-2 per cent to 0-3 per cent. Release of the Reserve Bank's December Monetary Policy Statement. Underlying inflation in the years to December 1997 and 1998 was projected to be 0.8 and 0.3 per cent, respectively.

1997

March

Budget Policy Statement released.

Adult minimum wage increased to NZ$ 7 (1 March).

The Reserve Bank released its March Economic Projections, forecasting underlying inflation in the years to December 1997 and 1998 of 1.5 and 0.8 per cent, respectively.

April

The Postal Services Bill introduced (22 April).

June

The 1996 Budget was presented. The main features were:

- Forecasts show a surplus of NZ$ 1.5 billion in 1997/98, rising to NZ$ 2.6 billion in 1999/2000. (These forecasts take into account amounts for new initiatives in later budgets and tax reductions in 1998/99.)
- In the 1997/98 year, new spending together with the abolition of the surcharge will total NZ$ 900 million. Second stage of tax reductions postponed to 1 July 1998. Superannuation surcharge to be removed from 1 April 1998.
- Removal of all remaining tariffs well within APEC's 2010 deadline. Early review of tariffs on motor vehicles to be completed by the end of 1997, to achieve a swift removal of them from the year 2000.

– Government to consider the sale of non-strategic assets on a case-by-case basis. As a first step the government will scope for sale its interests in Government Property Services Limited and the Vehicle Testing Limited.
– Greater competition in electricity generation by investigation of further break-up of the state-owned Electricity Corporation of New Zealand Ltd.

New Open Skies Air Transport Agreement between New Zealand and the United States.

Release of the Reserve Bank's June Monetary Policy Statement and the introduction of a new forecasting system, featuring a projected path for both interest and exchange rates and a Monetary Conditions Indicator (MCI) as an intermediate policy instrument. The MCI has a nominal base of 1000 for the December 1996 quarter, which compared to the desired level of 897 in June.

July

Transitional Health Authority set up 1 July replacing the four Regional Health Authorities.

Government is also considering the future of its shareholding in Auckland Airport Company.

September

Deed of Settlement signed with Ngai Tahu (NZ$ 170 million).

Proposal for a possible compulsory retirement saving scheme defeated in a national referendum.

The Reserve Bank released its September Economic Projections, stating a desired level for the MCI of 740, falling to 670 in June 1998.

December

Jenny Shipley is sworn in as New Zealand's first woman Prime Minister, replacing Jim Bolger who stepped down as Prime Minister and leader of the National Party.

Release of the Reserve Bank's December Monetary Policy Statement, stating a desired level for the MCI of 665, falling to 625 in December 1998.

STATISTICAL ANNEX AND STRUCTURAL INDICATORS

Table A. **Selected background statistics**

	Average 1987-96	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
A. Percentage change in constant 1991/92 prices											
Private consumption	2.0	2.4	2.3	0.8	–0.3	–1.9	–0.1	2.2	5.6	4.9	4.4
Gross fixed capital formation	3.4	0.1	–2.2	4.8	–1.2	–18.6	1.4	14.8	16.7	12.0	6.3
Public investment	–3.8	–16.7	–5.2	–7.4	8.6	–22.8	–16.6	–14.1	16.9	3.3	15.6
Private investment	5.8	7.9	–1.1	9.0	–4.1	–17.4	7.0	21.8	16.7	13.9	4.9
Residential construction	3.9	–3.9	4.2	15.1	2.0	–15.8	3.4	17.0	12.7	1.9	2.0
Private non-residential	6.7	12.8	–3.1	6.7	–6.6	–18.1	8.7	23.9	18.3	18.1	5.9
GDP	1.8	0.7	2.6	–0.8	0.3	–2.3	0.6	4.8	6.1	3.3	2.7
GDP price deflator	4.3	13.5	8.0	6.4	3.8	1.0	1.7	2.8	1.6	2.6	1.9
Employment	0.9	0.8	–3.1	–2.6	0.9	–1.4	0.4	2.0	4.3	4.7	3.4
Compensation of employees (current prices)	4.9	14.5	6.1	3.5	2.0	–1.0	1.4	3.4	6.1	7.2	6.0
Productivity (real GDP/employment)	0.9	0.4	2.8	3.5	–1.1	–0.3	0.5	3.0	1.7	–1.0	–0.5
Unit labour costs (compensation/real GDP)	3.1	13.1	6.5	2.7	2.2	0.8	0.5	–1.5	0.0	3.5	3.0
B. Percentage ratios											
Gross fixed capital formation as per cent of GDP at constant prices	19.2	19.7	18.9	19.9	19.5	16.3	16.4	18.0	19.8	21.4	22.2
Stockbuilding as per cent of GDP at constant prices	0.7	–0.2	–0.5	1.2	0.7	–0.4	0.8	1.7	2.0	1.3	0.7
Foreign balance as per cent of GDP at current prices	2.0	0.5	3.7	0.6	0.7	3.5	2.4	3.1	2.7	1.5	0.8
Compensation of employees as per cent of GDP at current prices	45.7	49.9	48.0	46.8	45.8	46.0	45.6	43.8	43.1	43.6	44.2
Direct taxes as per cent of household income	20.3	21.0	21.2	20.3	21.1	19.4	19.8	20.1	20.5	20.2	19.5
Unemployment rate	7.5	4.1	5.6	7.1	7.8	10.3	10.3	9.5	8.2	6.3	6.1
C. Other indicator											
Current balance (billion US dollars)	–1.4	–1.8	–0.5	–1.6	–1.2	–0.9	–1.1	–0.5	–1.2	–2.2	–2.6

Source: Statistics New Zealand and OECD.

Table B. **Gross domestic product and expenditure**

NZ$ million, current prices

Year ending 31 March	1989	1990	1991	1992	1993	1994	1995	1996	1997
Compensation of employees	31 869	32 959	33 368	33 001	33 785	35 263	37 523	40 000	42 200
Operating surplus	19 603	21 004	21 425	21 795	22 817	26 729	28 962	30 444	31 174
Consumption of fixed capital	5 764	6 168	6 525	6 884	7 403	7 700	8 193	8 734	9 287
Indirect taxes	9 398	10 848	11 135	10 837	10 888	11 403	12 223	12 879	13 474
less: subsidies	180	206	205	241	316	310	325	317	318
Gross domestic product	66 454	70 773	72 248	72 277	74 578	80 786	86 577	91 739	95 816
Final consumption expenditure									
Private	40 523	43 455	45 760	45 810	46 680	48 988	52 938	56 660	59 742
General government	11 023	11 733	12 291	12 269	12 682	12 578	12 535	13 195	13 831
Increase in stocks	–62	1 406	–116	85	757	1 729	1 438	1 122	546
Gross fixed capital formation	12 892	14 303	13 795	11 536	12 280	14 768	17 607	19 187	20 072
Statistical discrepancy	–401	–338	0	0	0	0	0	529	776
Gross national expenditure	64 377	70 897	71 730	69 701	72 398	78 063	84 518	90 164	94 191
Exports of goods and services	18 060	19 151	19 960	21 680	23 889	25 311	27 173	27 188	27 527
less: Imports of goods and services	15 582	18 938	19 441	19 104	21 709	22 588	25 114	26 141	26 678
Expenditure on gross domestic product	66 855	71 110	72 249	72 277	74 578	80 786	86 577	91 211	95 041
Gross domestic product at 1991-92 prices									
Index 1991-92 = 100	101.0	101.7	101.2	100.0	101.2	107.5	113.4	117.0	119.9

Source: Statistics New Zealand.

Table C. **Gross domestic product by kind of activity**

NZ$ million, current prices

Year ending 31st March	1988	1989	1990	1991	1992	1993	1994	1995
Agriculture	3 708	4 074	4 491	3 989	4 511	4 344	4 956	4 852
Fishing and hunting	230	260	249	233	236	270	272	285
Forestry and logging	333	557	615	701	850	1 052	1 494	1 306
Mining and quarrying	597	644	836	1 005	1 082	1 107	1 126	1 080
Food, beverage and tobacco	3 592	3 910	4 015	4 260	4 441	4 389	4 607	4 853
Textiles, apparel and leather	922	800	864	817	813	803	840	873
Wood and wood products	700	716	752	720	723	866	970	1 197
Paper products and printing	1 661	1 671	1 827	1 965	1 934	1 886	1 979	2 215
Chemicals, petroleum, rubber, plastic	1 504	1 604	1 776	1 490	1 481	1 574	1 800	2 178
Non-metallic mineral products	405	427	413	424	381	417	496	579
Basic metal products	257	255	460	424	477	671	650	613
Fabricated metal products	2 792	2 693	2 840	2 605	2 534	2 653	3 032	3 356
Other manufacturing	128	144	151	142	122	136	156	165
Electricity, gas, water	1 757	1 992	2 134	2 086	2 107	2 126	2 282	2 327
Construction	2 942	2 997	3 216	2 803	2 389	2 325	2 600	3 048
Trade, hotels and restaurants	9 698	10 524	10 292	11 411	10 244	11 102	12 539	13 853
Transport, storage	3 110	3 470	3 687	3 653	3 633	3 745	4 057	4 480
Communication	2 100	2 148	2 183	2 349	2 677	2 507	2 475	2 631
Finance, insurance, real estate and business services	9 498	10 298	10 771	10 681	10 641	10 693	11 573	12 746
Dwellings	4 060	4 907	5 275	5 914	6 214	6 153	6 265	6 603
Community, social, personal services	2 325	2 584	2 720	2 839	3 121	3 418	3 730	4 034
Imputed bank service charge	–2 847	–2 818	–2 996	–3 000	–2 935	–2 581	–2 665	–3 145
Total, market production groups	49 473	53 854	56 570	57 509	57 676	59 656	65 234	70 128
Producers of Government services	7 195	7 873	8 414	8 606	8 471	8 555	8 716	8 820
Other producers	566	644	698	769	852	907	952	1 025
Total, non-market production groups	7 761	8 517	9 112	9 375	9 323	9 462	9 667	9 846
Total, all production groups	57 234	62 372	65 682	66 884	66 998	69 118	74 901	79 973
Indirect taxes		4 082	5 091	5 364	5 279	5 460	5 885	6 603
Gross domestic product	61 641	66 454	70 773	72 248	72 277	74 578	80 786	86 577

Source: Statistics New Zealand.

Table D. **Labour market**

Thousand

Yearly average	1989	1990	1991	1992	1993	1994	1995	1996	1997
Civilian employment, total	1 468	1 481	1 461	1 467	1 496	1 559	1 632	1 688	1 693
of which:									
Agriculture	151	157	157	159	158	162	158	160	147
Industry	372	364	343	334	351	390	410	416	404
Other activities	945	960	961	974	987	1 007	1 066	1 112	1 142
Unemployment	113	125	167	169	157	138	110	110	121
Unemployment rate (per cent of civilian labour force)	7.1	7.8	10.3	10.3	9.5	8.2	6.3	6.1	6.7

Source: Statistics New Zealand.

Table E. **Prices**

Yearly average	1989	1990	1991	1992	1993	1994	1995	1996	1997
	December quarter 1993 = 1 000								
Consumer' price index									
Food	915	982	991	992	1 003	999	1 012	1 026	1 049
Total	893	948	972	982	995	1 012	1 050	1 074	1 087
Producer prices (inputs)	898	940	948	967	992	1 005	1 013	1 018	1 022
Export prices	997	983	941	1 019	1 045	1 003	986	951	..
Import prices	954	961	970	1 035	1 031	995	993	968	..
Terms of trade	1 046	1 021	970	985	1 013	1 009	993	983	..

Source: Statistics New Zealand.

Table F. **Monetary aggregates components**

NZ$ million, end quarter

	1995		1996				1997			
	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
Notes and coin held by the public	1 326	1 486	1 397	1 391	1 348	1 495	1 501	1 423	1 462	1 630
Total transaction account balances	9 572	10 449	10 208	10 041	10 114	10 080	11 060	11 029	10 842	10 888
Less: Inter-institutional trans balances	152	39	39	34	597	47	53	44	40	57
Less: Government deposit	17	19	17	14	15	26	24	28	27	33
M1	10 730	11 877	11 548	11 384	10 850	11 502	12 484	12 380	12 236	12 428
Total other call funding	21 673	22 487	24 148	25 006	24 061	23 400	25 313	25 184	24 418	..
Less: other call inter-institutional funding	2 174	1 520	1 746	1 788	2 249	1 349	998	950	1 223	..
M2	30 229	32 845	33 951	34 601	32 662	33 564	36 839	36 653	35 431	33 875
Total term funding	52 679	53 629	54 912	61 195	60 781	64 248	58 655	61 825	64 853	..
Less: Inter-institutional term funding	7 959	6 923	10 342	11 167	9 410	10 019	9 512	10 458	9 793	..
Less: Government deposit	865	789	570	210	270	82	84	198	160	281
M3	74 084	78 762	77 950	84 419	83 762	87 898	86 624	88 453	92 190	91 947

Source: *Reserve Bank Bulletin.*

Table G. **Central government revenue and expenditure**

NZ$ million

Year ending June[1]	1994	1995	1996	1997
REVENUE	**30 183**	**33 648**	**35 059**	**34 778**
Levied through the Crown's Sovereign Power	27 895	30 438	32 468	32 179
Direct taxation	17 585	19 843	21 255	20 489
Indirect taxation	10 120	10 370	10 978	11 427
Compulsory fees, fines, penalties and levies	190	225	235	263
Earned through the Crown's Operations	2 288	3 210	2 591	2 599
Unrealised gains/losses arising from revaluation of commercial forests	–292	–65	–87	–48
Investment income	1 368	2 170	1 606	1 596
Sales of goods and services	713	667	662	664
Other operational revenue	499	438	410	387
EXPENSES	**29 639**	**30 400**	**31 743**	**32 953**
By functional classification				
Social security and welfare	11 479	11 724	12 240	12 620
Education	4 627	4 803	4 949	5 335
Health	4 602	4 886	5 228	5 626
Core government services	1 723	1 340	1 565	1 667
Law and order	1 150	1 190	1 234	1 281
Defence	1 049	1 013	970	946
Transport and communications	815	796	821	888
Economic and industrial services	711	673	997	763
Primary services	299	309	304	351
Heritage, culture and recreation	241	233	247	277
Housing and community development	39	46	40	47
Other	14	181	48	68
Finance costs	3 788	3 757	3 703	3 072
Net foreign-exchange (gains)/losses	–898	–551	–603	12
REVENUE LESS EXPENSES	544	3 248	3 316	1 825
Net surplus/deficit, less distributions attribuable to State-owned enterprises and Crown entities	211	–553	–2	83
OPERATING BALANCE	755	2 695	3 314	1 908

1. From 1992/93 onward, the reporting entity includes all SOEs and Crown entities, as well as the Reserve Bank of New Zealand.

Source: Financial Statements of the Government of New Zealand.

Table H. **Balance of payments**[1]

NZ$ million

	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
Exports	12 234	13 475	14 778	15 408	16 564	18 121	19 354	20 189	20 534	20 603
Imports	11 237	10 189	13 186	13 883	12 976	15 101	16 150	17 880	19 168	19 874
Trade balance	**996**	**3 286**	**1 592**	**1 524**	**3 588**	**3 019**	**3 204**	**2 309**	**1 366**	**728**
Services, net	–777	–920	–1 309	–1 395	–1 457	–1 760	–1 187	–534	–527	–465
Balance on goods and services	**219**	**2 366**	**283**	**129**	**2 131**	**1 259**	**2 017**	**1 775**	**839**	**263**
Investment income, net	–3 418	–3 269	–3 249	–2 767	–4 408	–4 057	–4 186	–5 737	–6 383	–6 777
Transfers, net	166	160	349	586	680	786	1 249	1 850	2 224	2 750
Current balance	**–3 033**	**–744**	**–2 618**	**–2 050**	**–1 598**	**–2 012**	**–919**	**–2 114**	**–3 320**	**–3 764**
Long-term official capital transactions										
Government borrowing	3 259	3 259	2 487	1 431	339	2 993	3 147	2 801	78	260
Government repayments	4 780	3 404	2 536	1 364	2 092	4 382	5 075	3 504	2 626	2 362
Short-term official capital transactions (net)										
Government borrowing (net)	–583	114	411	41	–144	39	–57	–971	–309	–326
Reserve Bank borrowing (net)	0	–1	55	–55	34	–35	3	1	0	0
Total official capital – borrowing	2 675	3 371	2 953	1 415	228	2 998	3 093	1 831	–231	–67
Total official capital – repayments	4 948	4 108	2 632	1 364	2 092	4 382	5 075	3 504	2 626	2 362
Net errors and omissions[2]	4 732	395	2 719	3 667	1 150	3 643	2 798	4 543	6 778	8 794
Memorandum item:										
Net apparent capital inflow	2 459	–341	3 039	3 719	–716	2 258	816	2 873	3 923	6 366

1. On an accrual basis.
2. Includes direct investment, other private and government capital movements and capital movements by monetary institutions.

Source: Statistics New Zealand.

Table I. **Imports: value, volume, prices and commodity groups**

US$ millions

	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
Value	7 256	7 305	8 776	9 484	8 497	9 205	9 304	11 913	13 945	14 724
Volume index (1989 = 100)	89	82	100	107	97	107	112	130	139	144
Price index (1989 = 100)	93	93	100	101	102	109	108	104	104	101
Value of principal commodity groups:										
Live animals, beverages and tobacco	451	513	590	584	604	609	664	833	974	1 051
Minerals, chemicals and plastic materials	1 578	1 597	1 843	2 082	1 985	2 073	2 155	2 535	2 934	3 198
Manufactured goods	493	544	622	697	656	740	723	880	1 067	1 085
Textiles and textiles articles	429	414	487	506	502	538	534	679	726	762
Metals and articles of metals	545	530	585	576	536	551	552	696	857	874
Machinary and mechanical appliances	1 575	1 789	2 014	2 243	1 973	2 099	2 215	2 916	3 555	3 732
Vehicles and aircraft	1 006	819	1 368	1 477	1 033	1 387	1 200	1 843	2 071	2 131

Source: Statistics New Zealand and OECD.

Table J. **Exports: value, volume, prices and commodity groups**

US$ millions

	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
Value	7 189	8 807	8 867	9 378	9 759	9 789	10 223	12 184	13 645	14 360
Volume index (1989 = 100)	99	103	100	106	117	120	125	137	141	148
Price index (1989 = 100)	83	88	100	99	95	102	105	101	99	96
Value of principal commodity groups:										
Total meat	1 242	1 356	1 441	1 483	1 542	1 599	1 582	1 662	1 751	1 838
Dairy produce	815	1 050	1 099	1 260	1 347	1 317	1 470	1 660	1 787	2 307
Fruit, vegetables, prepared food-stuff, beverage and tobacco	792	882	831	920	1 013	1 012	983	1 225	1 429	1 537
Forest products	510	697	741	913	983	1 009	1 292	1 497	1 715	1 670
Minerals, chemicals and plastic materials	475	645	713	937	1 001	926	986	1 334	1 424	1 546
Metals and articles of metals	500	716	763	752	751	683	676	804	1 015	950
Manufactured goods	2 167	2 658	2 434	2 298	2 249	2 287	2 550	3 143	3 569	3 488

Source: Statistics New Zealand and OECD.

Table K. **Foreign trade by area**

US$ millions

	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
Exports, total	7 189	8 807	8 867	9 378	9 759	9 789	10 223	12 184	13 645	14 360
OECD countries	5 163	6 185	6 255	6 453	6 497	6 669	7 216	8 787	9 677	9 909
EC	1 605	1 662	1 659	1 661	1 618	1 599	1 581	1 945	2 127	2 300
of which: United Kingdom	684	632	633	666	606	629	621	735	809	922
United States	1 087	1 197	1 164	1 217	1 247	1 209	1 185	1 342	1 353	1 316
Japan	1 157	1 558	1 539	1 523	1 564	1 436	1 491	1 867	2 230	2 213
Australia	1 128	1 533	1 678	1 797	1 833	1 940	2 043	2 606	2 802	2 932
Republic of Korea	159	205	295	400	423	405	487	586	709	677
Non-OECD countries	2 025	2 622	2 612	2 925	3 261	3 120	3 008	3 397	3 968	4 451
China	416	674	492	389	547	651	709	992	1 160	1 215
Other Asia	325	436	511	544	655	775	685	790	997	1 120
Others	1 284	1 512	1 609	1 992	2 059	1 694	1 613	1 615	1 811	2 116
Imports, total	6 651	6 691	8 018	8 691	7 768	8 493	8 568	11 025	12 938	13 657
OECD countries	5 549	5 461	6 518	7 044	6 216	6 776	6 887	8 915	10 438	11 038
EC	1 532	1 372	1 577	1 673	1 433	1 631	1 722	2 229	2 811	2 781
of which: United Kingdom	649	577	729	641	508	546	506	691	763	719
United States	1 069	1 122	1 347	1 570	1 299	1 667	1 529	2 121	2 407	2 259
Japan	1 259	1 136	1 456	1 309	1 196	1 243	1 391	1 678	1 771	1 915
Australia	1 334	1 447	1 672	1 776	1 731	1 796	1 841	2 382	2 815	3 347
Republic of Korea	112	164	161	142	134	131	136	177	221	251
Non-OECD countries	1 102	1 230	1 500	1 647	1 552	1 716	1 680	2 110	2 500	2 618
China	368	424	452	428	466	562	613	781	941	970
Other Asia	251	232	333	388	340	494	461	618	887	946
Others	483	575	715	830	746	661	606	712	673	703

Source: Statistics New Zealand and OECD.

Table L. **Production and employment structure**

March ending year	Per cent of GDP[1]					Per cent of total employment				
	1993	1994	1995	1996	1997	1993	1994	1995	1996	1997
Tradeables										
Agriculture, fishing, hunting, forestry and logging	6.8	7.5	7.0	6.7	6.8	10.7	10.5	10.2	9.7	9.2
Mining and quarrying	1.5	1.5	1.3	1.3	1.4	0.2	0.3	0.3	0.3	0.3
Manufacturing	18.4	18.5	18.8	18.6	18.3	16.5	17.3	18.2	17.8	16.8
Non-tradeables										
Electricity, gas and water	2.8	2.8	2.7	2.7	2.6	0.7	0.7	0.7	0.8	0.8
Construction	3.2	3.3	3.5	3.7	3.8	5.4	5.5	6.0	6.2	6.5
Trade, restaurants and hotels	14.7	14.6	14.9	14.8	14.6	21.3	21.0	21.1	21.3	21.3
Transport, storage and communication	9.1	9.2	9.8	10.5	10.9	6.1	5.9	6.0	5.9	5.9
Finance, insurance, real estate and business services	14.7	14.2	13.8	13.7	13.9	10.6	10.0	10.3	10.7	11.5
Community, social and personal services	5.6	5.7	6.0	6.1	6.3	28.4	28.6	27.1	27.0	27.3

1. 1991/92 prices.
Source: Statistics New Zealand.

Table M. **Labour market indicators**

Calendar years	1994	1995	1996	1997
A. Labour market performance				
Unemployment rate: Total	8.2	6.3	6.1	6.7
Male	8.5	6.2	6.1	6.6
Female	7.7	6.3	6.2	6.7
Youth[1]	15.0	11.9	11.7	13.0
B. Structural or institutional characteristics				
Labour force (per cent change)	1.1	2.6	3.1	0.9
Participation rate:[2] Total	64.2	64.8	65.8	65.6
Male	73.8	74.3	74.8	74.5
Female	55.0	55.8	57.3	57.1
Employment/population (15 and over)	57.3	60.7	61.8	61.2
Employment shares[3]				
Agriculture	10.5	9.7	9.5	8.7
Industry	25.0	25.1	24.7	23.8
Services	64.5	65.1	65.5	67.2
of which: public sector[4]	17.0	16.1	15.8	..
Part-time work (as per cent of total employment)[5]	21.6	21.5	22.4	22.7
Wage or salary earners (per cent of total)	78.4	78.7	78.8	..

1. 15 to 24 years old.
2. Total labour force as a per cent of population 15 and over.
3. Per cent of total employment.
4. Approximation using QES central and local government non-trading employment as per cent of QES total employment. This excludes agriculture.
5. Part-time is less than 30 hours per week.

Source: Statistics New Zealand, *Household Labour Force Survey*.

Table N. **Financial market**[1]

Year ending December	1992	1993	1994	1995	1996	1997
Sector size						
Credits distributed by financial markets/GDP[2]	95.5	97.0	98.0	104.1	112.4	..
Domestic financial assets/GDP[3]	115.7	112.9	111.8	116.6	124.4	..
Internationalisation of markets						
Foreign business of the banking sector						
Assets[4]	3.3	4.5	4.0	3.4	3.7	3.2
Liabilities[5]	12.1	12.7	13.2	12.4	12.5	16.0
Efficiency of markets						
Developments of interest rate margin[6]	3.13	3.00	2.9	3.0	2.96	2.87

1. All M3 financial institutions.
2. NZ$ claims of registered banks and all M3 financial institutions.
3. Total assets less foreign currency claims.
4. Foreign currency claims/total claims.
5. Foreign currency funding/total funding
6. Spread between M3 institutions average weighted interest rates for the December quarter for NZ$ funding and claims.

Source: Reserve Bank of New Zealand.

Table O. **The public sector**[1]

Percentage of GDP

Year ending June	1993	1994	1995	1996	1997
Budget indicators					
Current receipts (excluding interests)	38.7	36.1	37.3	37.1	35.7
Non-interest expenditures (financial)	36.5	31.6	30.2	30.7	31.3
Primary budget balance	2.2	4.5	7.1	6.4	4.4
Net interest (including net capital transfers)	3.3	3.6	4.0	2.8	2.4
Government budget balance (adjusted financial balance/operating balance)	–1.1	0.9	3.1	3.6	2.0
Structure of expenditure and taxation					
General expenditure					
Education	..	5.6	5.5	5.4	5.6
Transportation	..	1.0	0.9	0.9	0.9
Health	5.5	5.6	5.5	5.7	5.9
Tax receipts					
Personal income tax	17.4	16.4	16.9	17.0	16.0
Corporate tax	5.2	3.6	4.5	4.4	3.4
Other indicators					
Income tax as a percentage of total tax	64.0	63.5	65.7	65.9	64.2
Gross public debt as a percentage of GDP	62.8	56.1	50.1	45.0	37.5

1. Excluding local government.

Source: New Zealand Treasury.

BASIC STATISTICS:

INTERNATIONAL COMPARISONS

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Units	Reference period[1]	Australia	Austria	Belgium	Canada	Czech Republic	Denmark	Finland	France	Germany	Greece
Population												
Total	Thousands	1996	18 289	8 060	10 157	29 964	10 316	5 262	5 125	58 380	81 877	10 465
Inhabitants per sq. km	Number	1996	2	96	333	3	131	122	15	106	229	79
Net average annual increase over previous 10 years	%	1996	1.3	0.6	0.3	1.3	0	0.3	0.4	0.5	3	0.5
Employment												
Total civilian employment (TCE)[2]	Thousands	1996	8 344	3 737 (94)	3 675 (95)	13 676	4 918	2 593	2 087	21 951	35 360	3 824 (95)
of which: Agriculture	% of TCE	1996	5.1	7.2 (94)	2.5 (95)	4.1	6.3	4	7.1	4.6	3.3	20.4 (95)
Industry	% of TCE	1996	22.5	33.2 (94)	26.7 (95)	22.8	42	27	27.6	25.9	37.5	23.2 (95)
Services	% of TCE	1996	72.4	59.6 (94)	71.4 (95)	73.1	51.7	69	65.3	69.5	59.1	56.4 (95)
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1996	398.9	228.7	268.2	579.2	56.2	174.9	125.1	1 536.6	2 353.5	91.2 (95)
Per capita	US$	1996	21 812	28 384	26 409	19 330	5 445	33 230	24 420	26 323	28 738	8 722 (95)
At current prices using current PPPs[3]	Bill. US$	1996	372.7	172.4	222	645.1	..	118	96.7	1 198.6	1 736.1	133.5
Per capita	US$	1996	20 376	21 395	21 856	21 529	..	22 418	18 871	20 533	21 200	12 743
Average annual volume growth over previous 5 years	%	1996	3.9	1.6	1.2	2.2	2	2.2	1.6	1.2	1.4	1.3 (95)
Gross fixed capital formation (GFCF)	% of GDP	1996	20.3	23.8	17.3	17.7	33	16.7	16.1	17.4	20.6	17 (95)
of which: Machinery and equipment	% of GDP	1996	10.2 (95)	8.8 (95)	7.5 (95)	6.6	..	7.9 (95)	6.4 (95)	7.8	7.6	7.7 (95)
Residential construction	% of GDP	1996	4.6 (95)	5.9 (95)	4.6 (95)	5.4	..	3.2 (95)	3.5 (95)	4.4	7.3	3.3 (95)
Average annual volume growth over previous 5 years	%	1996	5.6	2.1	0.3	2.2	9.4	2	–4.1	–1.5	0.2	0.5 (95)
Gross saving ratio[4]	% of GDP	1996	18	21.9	22.2	17.8	..	17.6	19.6	18.7	20	16 (95)
General government												
Current expenditure on goods and services	% of GDP	1996	17	19.8	14.5	18.7	21.5	25.2	21.9	19.4	19.8	20.8 (95)
Current disbursements[5]	% of GDP	1995	35.6	48.6	52.2	45.8	..	59.6	55.9	50.9	46.6	52.1
Current receipts	% of GDP	1995	34.9	47.4	49.9	42.7	..	58.1	52.8	46.9	45.9	45
Net official development assistance	% of GNP	1995	0.36	0.33	0.38	0.38	..	0.96	0.32	0.55	0.31	0.13
Indicators of living standards												
Private consumption per capita using current PPPs[3]	US$	1996	12 596	12 152	13 793	12 959	..	12 027	10 282	12 506	12 244	9 473
Passenger cars, per 1 000 inhabitants	Number	1994	460	433	416	466	282	312	368	430	488	199
Telephones, per 1 000 inhabitants	Number	1994	496	466	449	576	209	604	551	547	483[8]	478
Television sets, per 1 000 inhabitants	Number	1993	489	479	453	618	476	538	504	412	559	202
Doctors, per 1 000 inhabitants	Number	1995	2.2 (91)	2.7	3.7 (94)	2.2	2.9	2.9 (94)	2.8	2.9	3.4	3.9 (94)
Infant mortality per 1 000 live births	Number	1995	5.7	5.4	7.6 (94)	6.3 (94)	7.7	5.5	4	5.8 (94)	5.3	8.1
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1996	1.7	5.2	2.7	2.4	..	3.2	3.8	2.6	4.2	11.8
Consumer prices	%	1996	2.4	2.9	2.2	1.4	11.9	1.9	1.5	2	3.1	11.6
Foreign trade												
Exports of goods, fob*	Mill. US$	1996	60 288	57 870	170 223[7]	202 320	21 910	51 030	40 576	288 450	521 263	11 501
As % of GDP	%	1996	15.1	25.3	63.5	34.9	39	29.2	32.4	18.8	22.1	12.9 (95)
Average annual increase over previous 5 years	%	1996	7.5	7.1	7.6	9.7	..	6.2	12.1	6.3	5.4	5.8
Imports of goods, cif*	Mill. US$	1996	61 374	67 376	160 917[7]	170 931	27 721	44 987	30 911	271 348	455 741	27 402
As % of GDP	%	1996	15.4	29.5	60	29.5	49.3	25.7	24.7	17.7	19.4	30.4 (95)
Average annual increase over previous 5 years	%	1996	9.7	5.9	5.9	7.7	..	5.6	7.3	3.9	3.3	6.6
Total official reserves[6]	Mill. SDRs	1996	10 107	15 901	11 789[7]	14 202	8 590	9 834	4 810	18 635	57 844	12 171
As ratio of average monthly imports of goods	Ratio	1996	2	2.8	0.9	1	..	2.6	1.9	0.8	1.5	5.3

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
10. Refers to the public sector including public enterprises.

Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Hungary	Iceland	Ireland	Italy	Japan	Korea	Luxembourg	Mexico	Netherlands	New Zealand
Population												
Total	Thousands	1996	10 193	270	3 621	57 473	125 864	45 545	418	96 582	15 494	3 640
Inhabitants per sq. km	Number	1996	77	3	52	191	333	458	161	48	380	14
Net average annual increase over previous 10 years	%	1996	–0.3	1.1	0.2	0	0.4	1	1.3	2	0.6	1.1
Employment												
Total civilian employment (TCE)[2]	Thousands	1996	3 605	142	1 307	20 036	64 860	20 764	212 (95)	32 385 (95)	6 983	1 688
of which: Agriculture	% of TCE	1996	8.4	9.2	10.7	7	5.5	11.6	2.8 (95)	23.5 (95)	3.9	9.5
Industry	% of TCE	1996	33	23.9	27.2	32.1	33.3	32.5	30.7 (90)	21.7 (95)	22.4	24.6
Services	% of TCE	1996	58.6	66.2	62.3	60.9	61.2	55.9	66.1 (90)	54.8 (95)	73.8	65.9
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1996	43.7 (95)	7.3	70.7	1 214.2	4 595.2	484.8	17	329.4	396	65.9
Per capita	US$	1996	4 273 (95)	27 076	19 525	21 127	36 509	10 644	40 791	3 411	25 511	18 093
At current prices using current PPPs[3]	Bill. US$	1996	..	6.3	68.8	1 148	2 924.5	618.5	13.5	751.1	324.5	63.6
Per capita	US$	1996	..	23 242	18 988	19 974	23 235	13 580	32 416	7 776	20 905	17 473
Average annual volume growth over previous 5 years	%	1996	–2.4 (95)	1.5	7.1	1	1.5	7.1	4.8	1.7	2.3	3.7
Gross fixed capital formation (GFCF)	% of GDP	1996	19.3 (95)	17.5	17.2	17	29.7	36.8	20.8	18	19.7	20.9
of which: Machinery and equipment	% of GDP	1996	..	6.7	5.5 (95)	8.8	10.1 (95)	13	..	8.8	9.4	10
Residential construction	% of GDP	1996	. .	3.9	4.9 (95)	4.5	5.3 (95)	7.6	..	4.7	5	5.6
Average annual volume growth over previous 5 years	%	1996	–0.9 (95)	–1.4	6	–1.4	1.3	6.9	0.2	–0.7	2.2	9.6
Gross saving ratio[4]	% of GDP	1996	..	15.6	21.7	20.5	31.4	34.2	37.5	22.7	25.7	16
General government												
Current expenditure on goods and services	% of GDP	1996	24.9 (95)	20.8	14.1	16.4	9.7	10.6	13.6	9.7[10]	14	14.4
Current disbursements[5]	% of GDP	1995	..	35.1	39.2 (94)	49.5	28.5	15.1	..	..	51.8	..
Current receipts	% of GDP	1995	..	36	39.3 (94)	44.5	32	25.1	..	..	50	..
Net official development assistance	% of GNP	1995	..	..	0.29	0.15	0.28	0.03	0.36	..	0.81	0.23
Indicators of living standards												
Private consumption per capita using current PPPs[3]	US$	1996	..	14 244	10 020	12 224	13 912	7 354	17 811	5 045	12 477	10 895
Passenger cars, per 1 000 inhabitants	Number	1994	212	434	264	517	342	115	544	91	383	457
Telephones, per 1 000 inhabitants	Number	1994	170	557	350	429	480	397	564	93	509	470
Television sets, per 1 000 inhabitants	Number	1993	427	335	301	429	618	215	261	150	491	
Doctors, per 1 000 inhabitants	Number	1995	3.4	3.9 (94)	3.4	3.0 (94)	1.7	1.6 (92)	1.8 (94)	1.1	2.2 (93)	1.6
Infant mortality per 1 000 live births	Number	1995	11	6.1	6.3	6.6 (94)	4.3	9	5.3 (94)	17 (94)	5.5	7.2 (94)
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1996	..	..	3.7	3.5	1.8	..	..	–1.6	2.4	1.5
Consumer prices	%	1996	23.2	2.6	2.2	4.5	0.7	5.3	2.4	19.7	2.5	2
Foreign trade												
Exports of goods, fob*	Mill. US$	1996	15 674	1 891	48 416	250 842	411 067	129 715	..	96 000	203 953	14 316
As % of GDP	%	1996	35.9	26	68.5	20.7	8.9	26.8	..	29.1	51.5	21.7
Average annual increase over previous 5 years	%	1996	8.9	4	14.8	8.2	5.5	12.5	..	17.6	8.9	8.2
Imports of goods, cif*	Mill. US$	1996	18 105	2 032	35 763	206 904	349 149	150 340	..	89 469	184 389	14 682
As % of GDP	%	1996	41.4	27.9	50.6	17	7.6	31	..	27.2	46.6	22.3
Average annual increase over previous 5 years	%	1996	9.6	3.4	11.5	2.5	8	13.9	..	12.4	7.8	11.8
Total official reserves[6]	Mill. SDRs	1996	6 812	316	5 706	31 954	150 663	23 670	..	13 514	18 615	4 140
As ratio of average monthly imports of goods	Ratio	1996	..	1.9	1.9	1.9	5.2	..	..	1.8	1.2	3.4

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
10. Refers to the public sector including public enterprises.

Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Norway	Poland	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States
Population											
Total	Thousands	1996	4 370	38 618	9 935	39 270	8 901	7 085	62 695	58 782	265 557
Inhabitants per sq. km	Number	1996	13	123	108	78	20	172	80	240	28
Net average annual increase over previous 10 years	%	1996	0.5	0.3	–0.1	0.2	0.6	0.8	2	0.3	1
Employment											
Total civilian employment (TCE)[2]	Thousands	1996	2 110	14 977	4 475	12 394	3 963	3 803	20 895	26 088	126 708
of which: Agriculture	% of TCE	1996	5.2	22.1	12.2	8.7	2.9	4.5	44.9	2	2.8
Industry	% of TCE	1996	23.4 (95)	31.7	31.4	29.7	26.1	27.7	22	27.4	23.8
Services	% of TCE	1996	71.5 (95)	46.2	56.4	61.6	71	67.4	33.1	71	73.3
Gross domestic product (GDP)											
At current prices and current exchange rates	Bill. US$	1996	157.8	117.9 (95)	103.6	584.9	251.7	294.3	181.5	1 153.4	7 388.1
Per capita	US$	1996	36 020	3 057 (95)	10 425	14 894	28 283	41 411	2 894	19 621	27 821
At current prices using current PPPs[3]	Bill. US$	1996	106.7	..	130.1	587.2	171.4	180.6	383.3	1 095.5	7 388.1
Per capita	US$	1996	24 364	..	13 100	14 954	19 258	25 402	6 114	18 636	27 821
Average annual volume growth over previous 5 years	%	1996	4.1	2.2 (95)	1.5	1.3	1	0.1	4.4	2.2	2.8
Gross fixed capital formation (GFCF)	% of GDP	1996	20.5	17.1 (95)	24.1	20.1	14.8	20.2	25	15.5	17.6
of which: Machinery and equipment	% of GDP	1996	8.4	..	11.7 (93)	6.1 (95)	7.9	9.3	11.9	7.6	8.3 (95)
Residential construction	% of GDP	1996	2.6 (94)	..	5.2 (93)	4.3 (95)	1.9	11[9]	8.4 (95)	3	4.1 (95)
Average annual volume growth over previous 5 years	%	1996	2.8	5.4 (95)	2.2	–1	–2.6	–0.8	6.9	1.3	6.9
Gross saving ratio[4]	% of GDP	1996	29.9	..	21.6	20.7	16	27.1	22.3	14.6	16.6
General government											
Current expenditure on goods and services	% of GDP	1996	20.5	16.9 (95)	18.5	16.3	26.2	14.3	11.6	21.1	15.6
Current disbursements[5]	% of GDP	1995	45.8	..	42.5 (93)	41.2	63.8	47.7	..	42.3 (94)	34.3
Current receipts	% of GDP	1995	50.9	..	39.8 (93)	37.9	57.5	53.8	..	37.2 (94)	32.1
Net official development assistance	% of GNP	1995	0.87	..	0.27	0.24	0.77	0.34	0.07	0.28	0.1
Indicators of living standards											
Private consumption per capita using current PPPs[3]	US$	1996	11 593	..	8 522	9 339	10 096	15 632	4 130	11 865	18 908
Passenger cars, per 1 000 inhabitants	Number	1994	381	186	357	351	406 (93)	451	47	372	565
Telephones, per 1 000 inhabitants	Number	1994	554	131	350	371	683	597	201	489	602
Television sets, per 1 000 inhabitants	Number	1993	427	298	190	400	470	400	176	435	816
Doctors, per 1 000 inhabitants	Number	1995	2.8	2.3	3	4.1 (93)	3.1	3.1 (94)	1.2	1.6 (94)	2.6 (94)
Infant mortality per 1 000 live births	Number	1995	4	13.6	7.4	6 (94)	4	5	46.8 (94)	6.2 (94)	8 (94)
Wages and prices (average annual increase over previous 5 years)											
Wages (earnings or rates according to availability)	%	1996	3.2	..	..	5.8	4.8	..	..	4.9	2.7
Consumer prices	%	1996	1.9	..	5.6	4.7	2.7	2.2	81.6	2.7	2.9
Foreign trade											
Exports of goods, fob*	Mill. US$	1996	49 576	24 417	24 614	102 067	84 836	79 581	23 301	259 941	625 075
As % of GDP	%	1996	31.4	20.7	23.8	17.5	33.7	27	12.8	22.5	8.5
Average annual increase over previous 5 years	%	1996	7.8	..	8.6	11.2	9	5.3	11.1	7	8.2
Imports of goods, cif*	Mill. US$	1996	35 575	37 185	35 192	121 838	66 825	78 052	43 094	287 033	795 289
As % of GDP	%	1996	22.5	31.5	34	20.8	26.5	26.5	23.7	24.9	10.8
Average annual increase over previous 5 years	%	1996	6.9	..	6.1	5.5	6	3.2	15.1	6.5	10.3
Total official reserves[6]	Mill. SDRs	1996	18 441	12 409	11 070	40 284	13 288	26 727	11 430	27 745	44 536
As ratio of average monthly imports of goods	Ratio	1996	6.2	..	3.8	4	2.4	4.1	3.2	1.2	0.7

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
10. Refers to the public sector including public enterprises.

Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

OECD PUBLICATIONS, 2, rue André-Pascal, 75775 PARIS CEDEX 16
PRINTED IN FRANCE
(10 98 05 1 P) ISBN 92-64-15990-8 – No. 50147 1998
ISSN 0376-6438